



AMITY
UNIVERSITY
ONLINE

POST GRADUATE PROGRAMMES (PG)

- Master of Business Administration
- Master of Computer Applications
- Master of Commerce (Financial Management / Financial Technology)
- Master of Arts (Journalism and Mass Communication)
- Master of Arts (Public Policy & Governance)
- Master of Science (Data Science)
- Master of Science (Psychology)

UNDERGRADUATE PROGRAMMES (UG)

- Bachelor of Business Administration
- Bachelor of Computer Applications
- Bachelor of Commerce
- Bachelor of Commerce (Hons)
- Bachelor of Arts (Journalism and Mass Communication)
- Bachelor of Arts (General / Political Science / Economics / English / Sociology)

PROFESSIONAL ETHICS AND SOCIAL RESPONSIBILITY FOR SUSTAINABILITY



AMITY
UNIVERSITY
ONLINE

PROFESSIONAL ETHICS AND SOCIAL RESPONSIBILITY FOR SUSTAINABILITY

Amity Helpline: (Toll Free) 18001023434
For Student Support: (+91) 8826334455
Support Email ID: studentssupport@amityonline.com
<https://amityonline.com>

Product code



9103202604015

AMITY

Professional Ethics and Social Responsibility for Sustainability

All Rights Reserved

No parts of this publication may be reproduced, stored in a retrieval system or transmitted in any form or by any means, electronic, mechanical, photocopying, recording or otherwise without the prior permission of the publisher.

SLM & Learning Resources Committee	
Chairperson	Ms. Monica Agarwal
Members	Prof Abhinash Kumar
	Dr. Coral Barboza
	Dr. Divya Bansal
	Dr. Sachit Paliwal
	Dr. Mona Chaudhary
	Dr. Rashmi Saxena
	Dr. Harshita Singh
	Dr. Sunil Kumar
	Dr. Shilpa Agarwal
	Dr Amrisha Minocha
	Dr. Apurva Chauhan
Member Secretary	Ms. Ruchi Kamra

CONTENTS

	Page No.
Module I: Philosophy and Ethics	01
1.1 Introduction to Ethical Philosophy: Definition, Nature, Scope and Branches	01
1.2 Basic Theories (Deontology, Utilitarianism, Virtue Theory, Rights Theory, Casuist Theory)	07
1.3 Morals, Values and Ethics	10
1.4 Moral Issues, Moral Dilemmas & Moral Autonomy	15
1.5 Basic Ethical Principles	18
1.6 Contemporary philosophy: Action, Ethics and Responsibility	21
1.7 Linking Philosophy, Ethics & Its implications	24
1.8 Case Study	25
Module 2: Ethics at Workplace	32
2.1 Professional Ethical Codes	32
2.2 Workplace Rights & Responsibilities (Whistle Blowing)	36
2.3 CSR	40
2.4 Conflicts of Interest	44
2.5 Managing Boundaries and Multiple Relationships (Socialising with Current or Former Clients, Making Referrals)	46
2.6 Organisational Loyalty	48
2.7 Ethnocentrism Vs. Cultural Relativism	51
2.8 Case Study	55
Module 3: Ethical Considerations	60
3.1 Legal Aspects of Professional Ethics	60
3.2 Understanding IPR & Confidentiality Breaches	62
3.3 Principles of Natural Justice	71
3.4 Working with Minors	75
3.5 Redressal Mechanism- Organisational Complaint Procedure	78

CONTENTS

3.6 The Ethics in Accounting, Finance and Investment with Case study	82
3.7 Case Study	87
Module 4: Global Issues in Different Sectors	94
4.1 Globalisation of MNCs, International Trade	94
4.2 Business Ethics and Corporate Governance	98
4.3 Environmental Ethics and Bioethics	104
4.4 Sustainable Development Goals	108
4.5 Manufacturing and Marketing Ethics	110
4.6 Ethics Pertaining to Different Discipline	111
4.6.1 Ethics in Marketing and Sales	111
4.6.2 Ethics in Media and Journalism	113
4.6.3 Ethics in Technology, Cybersecurity and Rights Protection in Cyberspace	114
4.6.4 Ethics in Management and Psychology	115
4.6.5 Digital Intellectual Property Rights and Emerging Ethical Challenges	117
4.7 Case Studies	119
Module 5: Name of Module: Research Ethics and Academic Integrity	125
5.1 Best practices in Research/Standards Setting Initiatives and Guidelines: COPE, WAME, etc	125
5.2 Academic misconducts: Falsification, Fabrication and Plagiarism (FFP), Teaching Ethics	132
5.3 Redundant Publications: Duplicate and Overlapping Publications, Salami Slicing, Selective Reporting and Misrepresentation of Data	139
5.4 Violation of Publications Ethics, Authorship and Contributor Ship	141
5.5 Use of Plagiarism Software Like Turnitin, Urkund and Other Open Source Software Tools	142
5.6 Complaints and Appeals Examples and Fraud from India and Abroad	146
5.7 Case Study	152

Module I: Philosophy and Ethics

Learning Objectives

At the end of the module, you will be able to:

- Define what is Ethical Philosophy
- Explain the nature and scope of ethical philosophy
- Understand the scope of theories of Deontology, Virtue theory, rights theory etc.
- Define moral, values and ethics and the issues associated with them

Introduction

When the term "philosophy" was first employed by the ancient Greeks, it signified the pursuit of knowledge for its own sake and included all fields of speculative thinking, including the arts, sciences and religion.

1.1 Introduction to Ethical Philosophy: Definition, Nature, Scope and Branches

In its most basic form, philosophy (derived from the Greek philosophía, which means "the love of wisdom") is the study of knowledge, or "thinking about thinking," while other definitions may better capture its scope:

- Philosophy is a discipline that addresses fundamental questions about how individuals ought to live (ethics), the nature of existence and reality (metaphysics), the sources and validity of knowledge (epistemology) and the principles governing correct reasoning (logic).
- According to The American Heritage Dictionary, philosophy involves the systematic examination of the nature, causes and principles of reality, knowledge and values, relying primarily on logical reasoning rather than purely empirical methods.
- The Penguin English Dictionary defines philosophy as the study of the ultimate nature of existence, reality, knowledge and goodness, as understood through human reasoning.
- As described in the Kernerman English Multilingual Dictionary, philosophy forms the foundation for the pursuit of knowledge and truth, particularly concerning human nature, behaviour and belief systems.
- The Microsoft Encarta Encyclopaedia characterises philosophy as a rational and critical inquiry into fundamental principles, emphasising reflective and analytical thinking.



Notes

To summarise with various definition across literature, Philosophy is

- A study of the broadest and most abstract aspects of the world and the categories we use to think. This encompasses the mind, matter, reason, truth, proof and other relevant domains.
- It involves rigorous consideration of the basic nature of the world, the foundation of human knowledge and the assessment of human behaviours within predetermined bounds.

Nature of Philosophy

Based on the definitions, the beliefs and the practices, the dispositions of philosophy are discussed herewith.

- Philosophy is a collection of opinions or convictions about life and the cosmos that are frequently accepted without question.
- This interpretation is referred to as "having" a philosophy or philosophy in an informal sense. "My philosophy is," usually refers to a casual personal opinion on the topic at hand.
- Philosophy is the process of examining and challenging our most ingrained ideas and convictions.
- It is impossible to treat the two philosophical notions of "having" and "doing" as completely separate from one another. This is due to the fact that we cannot develop a philosophy in the critical, reflective sense if we lack a philosophy in the formal, personal sense.
- Merely possessing a philosophy is not the same as engaging in philosophical inquiry. A true philosophical outlook is inquiring and critical, marked by open-mindedness, tolerance and a willingness to examine all perspectives without bias.
- To philosophise involves more than reading or knowing philosophical theories; it requires developing skills of argumentation, applying analytical techniques and engaging deeply with philosophical material so that one can think independently and critically. Philosophers are therefore reflective and evaluative in their approach.
- Philosophy represents a rational effort to understand and interpret the world.
- It seeks to integrate insights from various sciences along with human experience into a coherent and consistent worldview.
- Philosophers aim to view life not through the narrow lens of any single profession—such as science, business, or art—but from a comprehensive perspective that recognises life as an interconnected whole.
- One important function of philosophy is the logical examination of language and the clarification of meanings associated with concepts and terms.



- Indeed, philosophers across traditions have employed analytical methods to refine language and resolve conceptual confusion.
- Some thinkers regard this analytical role as the central purpose of philosophy, with a few asserting that it constitutes philosophy's only legitimate function.
- Philosophy also consists of a set of enduring questions that have consistently engaged human thought and to which philosophers have continually sought answers.
- It probes deeply into the most fundamental issues of human existence, addressing questions that concern meaning, knowledge and values. While certain philosophical problems have been addressed to the satisfaction of many thinkers,
- Numerous issues remain only partially resolved and many philosophical questions continue to invite further inquiry and debate.
 - What is the truth?
 - What is the distinction between right and wrong?
 - What is life and why am I here?
 - Why is there anything at all?

Few Important Aspects of Philosophy

To improve our comprehension of philosophy, let's examine a few key facets of the subject.

- In contrast to scientific questions, philosophical issues are typically foundational and abstract. Philosophy is usually performed by reflection rather than experimentation, even though research methods may be similar to those employed in the study of the natural sciences.
- It has generated some of the most important innovative ideas over the ages and its contributions to politics, sociology, mathematics, science and literature are immeasurable. However, in popular usage, it sometimes conveys the sense of frivolous or pointless musings. Many philosophers contend that even while studying philosophy might not provide "the meaning of life, the universe and everything," it is crucial for each of us to consider these issues since an unexamined life is not worthwhile living.
- Its techniques for assessing arguments can be helpful in a variety of circumstances in different spheres of life and it also offers a good opportunity to learn how to think more clearly about a wide range of subjects. Philosophy enhances cognitive learning and is essential for investigating oneself and related systems that could affect us and society as a whole.



Notes

- The field of philosophy is so vast that it is challenging to divide it into logical and comprehensible chunks. Geographical division between Eastern and Western philosophy is arguably the most fundamental division at the highest level, with African philosophy potentially emerging as a third branch.
- There are 4 common ways in which Philosophy can be usefully broken down or organised:
 - By Branch / Doctrine
 - By Historical Period
 - By Movement / School
 - By Individual Philosophers

Branches of Philosophy

We frequently ask ourselves, institutions, systems and society what is right and wrong, about our own existence, how we operate, the rules set forth by the systems, the values upheld by the societies and so on. These philosophical inquiries can all be divided into several branches. These associations enable philosophers to engage with other thinkers who share their interests and concentrate on a collection of related subjects. These categories are neither mutually exclusive nor exhaustive. Additionally, there are instances when these philosophical questions overlap with those of science, religion, or mathematics, as well as with each other.

1. Aesthetics

"Critical reflection on art, culture and nature" is the definition of aesthetics. The topics covered include the nature of art, taste and beauty, enjoyment, emotional values, perception and the creation and appreciation of beauty. The study of sensory or sensory-emotional values—also known as sentiment and taste judgments—is a more appropriate description. Its primary subfields are music theory, literary theory, art theory and film theory. One example from art theory is figuring out the collection of ideas that guide the work of a certain artist or creative movement, such as the Cubist aesthetic.

2. Ethics

The study of what constitutes good and evil, right and wrong values and good and bad behaviour is known as ethics, sometimes called moral philosophy. Determining moral standards and how to live a good life are the core topics of its research. It also involves examining if there is a universal moral code or the ideal way to live and if so, how we discover it. The three main subfields of ethics are normative ethics, meta-ethics and practical ethics. Regarding what defines moral behaviour, there are three main ethical viewpoints:

- Consequentialism evaluates deeds according to their effects. Utilitarianism is one such perspective that evaluates deeds according to their net happiness (or pleasure) and/or lack of suffering (or pain).

- Deontology, which evaluates deeds according to their morality. In the traditional version that Immanuel Kant defended, deontology is concerned with whether a choice respects the moral agency of other people, independent of its consequences.
- Virtue ethics, which evaluates deeds according to the moral character of the person performing them and if they are consistent with the behaviours of an ideal virtuous agent.

3. Epistemology

The area of philosophy that examines knowledge is called epistemology. Given that we currently live in an information economy, this is a crucial field. Perceptual experience, reason, memory and witness are among the potential sources of knowledge that epistemologists study. They also look at issues related to reason, belief, justification and the nature of truth. In this field, there are three main questions:

- What are the sources of information? How do we know or where does true knowledge originate? This is the origins question.
- What does knowledge consist of? Is it possible for us to know if there is a real universe outside of our minds? This is the issue of appearance versus reality.
- Do we have valid knowledge? How can we tell the difference between truth and error? This is the issue of verification and truth testing.

This is crucial. Humans are biased when it comes to the knowledge we have. We dispute or critically examine our intellectual property because we typically believe that the version of our knowledge that we hold is the only accurate version. This becomes dangerous and using this information leads to complete failure.

The majority of people who have traditionally provided answers to these queries fall into one of two schools of thought: empiricism or rationalism.

- The rationalists maintain that the fundamental principles of the cosmos can only be discovered by human reason. Everything revolves on humans, who are at its center.
- According to the empiricists, human knowledge is restricted to what can be experienced as all knowledge ultimately comes from sensory experience.

Our perception of reality is based on our comprehension of what is known. On the other hand, our theory of knowledge is based on how we perceive ourselves in connection to reality as a whole.

4. Metaphysics

Metaphysics is the study of the widest elements of reality, such as existence, time, objects and their properties, wholes and their parts, events, processes and causation and the relationship between the mind and body.

Ontology, the study of being and cosmology, the study of the world as a whole, are included in metaphysics.

Notes

Realism, which maintains that there are entities that exist independently of their mental perception and idealism, which maintains that reality is mentally constructed or otherwise immaterial, are major points of contention as Metaphysics addresses identity and the relationship between mind and body.

Metaphysics deals with identity. Essence is the set of characteristics that make an object what it really is and without which it loses its identity, whereas accident is a property that an object possesses that enables it to retain its identity. are entities that are thought to exist in space and time, as opposed to abstract objects like numbers and universals, which are traits shared by several particulars like gender or redness. There is disagreement over whether universals and abstract things exist at all.

5. Logic

Moving on to the following point, logic is the study of argument and reasoning. When conclusions are inevitably inferred from certain premises, this is known as deductive reasoning. Conclusions are inferred using rules of inference, such as modus ponens, which requires that "B" be concluded given "A" and "If A then B." Logic became a formal science since sound thinking is a fundamental component of all sciences, social sciences and humanities fields. Mathematical logic, philosophical logic, modal logic, computational logic and nonclassical logics are examples of subfields.

Whether mathematical entities are objective and discovered (known as mathematical realism) or constructed (known as mathematical antirealism) is a central subject in mathematics philosophy.

6. Mind and language

The nature, origins and applications of language are examined in philosophy of language. Philosophy of mind examines the nature of the mind and how it interacts with the body, as shown by disagreements between dualism and materialism. This field has been linked to cognitive science in recent years.

7. Philosophy of science

The foundations, techniques, history, implications and goals of science are all examined in the philosophy of science. Numerous of its divisions align with particular scientific fields. For instance, philosophy of biology focuses on the ethical, epistemological and metaphysical problems in the biological and biomedical sciences.

8. Political philosophy

The study of governance and how people (or families and clans) relate to societies, including the state, is known as political philosophy. It covers issues of justice, law, property and citizens' rights and responsibilities. Because they all have a normative or evaluative component, political philosophy, ethics and aesthetics are traditionally related fields that fall under the umbrella of value theory.

9. Philosophy of religion

Unlike theology, which starts from religious convictions, philosophy of religion addresses issues pertaining to religion and religious concepts from a theoretically neutral standpoint. It wasn't until the 19th century that religious issues were recognised as a distinct area from philosophy. Some of the issues include the existence of God, the relationship between reason and faith, religious epistemological concerns, the relationship between religion and science, how to understand religious experiences, the possibility of an afterlife, the problem of religious language, the existence of souls and responses to religious diversity and pluralism. This will include the discussion of atheists, agnostics, deists and deities. Atheists reject the existence of gods and other divine entities. An agnostic is neither a believer in any religion or a god. A deist acknowledges the existence of God but holds that natural rules govern how the universe functions even if God created it. Everybody has their own beliefs, which are supported by their respective religious philosophies.

10. Meta-philosophy

The goals, limitations and techniques of philosophy itself are examined in meta-philosophy. The question of whether meta-philosophy is a topic that comes before philosophy or if it is a fundamental component of philosophy is up for debate.

1.2 Basic Theories (Deontology, Utilitarianism, Virtue Theory, Rights Theory, Casuist Theory)

Deontology

It is an ethical framework that distinguishes between right and wrong using rules. It is an ethical perspective that emphasises the morality of deeds rather than the morality of the results of those deeds. It makes the case that one's obligations and the rights of others should be taken into account while making judgments. The word "deon" in Greek refers to a responsibility or obligation.

Deontology is often associated with the philosopher Immanuel Kant. Kant argues that moral behaviour follows universal moral precepts such as "Don't lie." Steer clear of stealing. Don't cheat. Deontology is simple to apply. All that is required is that individuals carry out their responsibilities and follow the regulations. This approach typically fits very nicely with our natural sense of right and wrong. Contrary to consequentialism, which judges actions based on their results, deontology does not need weighing the pros and drawbacks of a circumstance. Subjectivity and unpredictability are avoided because you only need to follow pre-established rules. Strict devotion to deontology can have unacceptable consequences, notwithstanding its benefits. For example, suppose you are a software



Notes

programmer and learn that a nuclear weapon that could start a war is about to be launched. Although getting into any software system without authorisation is against your professional code of ethics, you can halt the launch by hacking the network. Additionally, it is a type of dishonesty and deceit. This rule should not be broken, according to deontology. But if the missile is let to fire, thousands of civilians will die. Therefore, when the principles are adhered to, deontology is easy to apply. But it also means deciding what is good and wrong without taking the possible consequences of our judgements into account.

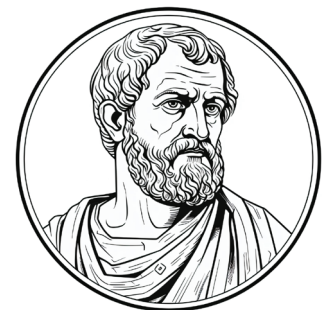
Utilitarianism

Utilitarianism is an ethical theory that bases morality on outcomes. It's consequentialism. Utilitarianism holds that the most moral choice is the one that will benefit the greatest number of people. It is the only moral defence of going to war or employing force. It is also the most widely used approach to moral reasoning in business because it considers costs and rewards. Furthermore, utilitarianism finds it difficult to explain concepts like justice and individual rights. For example, suppose that four hospital patients require organ transplants for their livers, kidneys, lungs and hearts. If a healthy person walks into the hospital, organ harvesting might save four lives at the expense of one. One could claim that the largest number of people would gain from this. Few, though, would consider it to be the most moral, let alone acceptable, course of action. Therefore, even though utilitarianism is perhaps the most reason-based approach to determining what is good and wrong, it has obvious limitations.



Virtue Ethics

This philosophy was created by Aristotle and other ancient Greeks. It is the effort to understand and live a decent life. The foundation of this character-based approach to morality is the notion that virtue is something we cultivate through practice. By exercising bravery, honesty, justice, giving and other virtues, one might develop an honourable and moral character. Aristotle thought that people would be more likely to make the right choice in moral quandaries if they cultivated virtuous habits.



Theory of rights

The Rights Approach focuses on respect for human dignity. According to this perspective, our freedom to choose how we spend our lives is the foundation of our dignity and as free, equal and logical individuals, we have a moral obligation to respect others in the same way. Some of these rights, like life and freedom, are outlined in the Constitution

and the Bill of Rights. These rights include, but are not limited to, the freedom of expression, the freedom of religion, property ownership and contractual relationships. Other rights could include the right to privacy, the right to factual information about issues that influence our decisions, the right to health—that is, the right to be safe from damage and injury—and similar rights.



This method asks us to determine our responsibilities and duties as well as the legal rights of others and ourselves in each circumstance. Evaluate how well people impacted are handled and how well everyone's moral, legal and contractual rights are upheld and/or safeguarded by the activity. Therefore, the morally required behaviour that does not violate the rights of others would be considered ethical.

Casuist Theory

In ethics, casuistry is a case-based approach to reasoning. It is especially used in specialised areas of professional ethics like bioethics and corporate ethics. In casuistry, generic principles are usually used to argue analogically from paradigms, or clear-cut situations, to difficult cases. Cases that are comparable are handled similarly. Casuistry and legal reasoning are similar in this regard. Authoritative works pertinent to a given case may also be used in casuistry.



Casuistry is valued by practitioners in a variety of professions as a methodical yet adaptable approach to considering ethical dilemmas in everyday life. When rules or ideals clash, casuistry can be very helpful. What should be done, for instance, when a corporate executive's professional obligation to safeguard the public conflicts with their obligation to satisfy a client's expectations?

Additionally, scenarios where the application of rules is uncertain due to unusual or complex circumstances can be clarified with the aid of casuistry. Should conventional mail and email have the same privacy protections? Is it moral for someone to exploit an idea they developed while working for one company to benefit another?

Casuistry aims to identify practical solutions as well as shed light on the moral relevance and meaning of the specifics in these situations. A subset of applied ethics, often known as practical ethics, is how some practitioners categorise casuistry. It is regarded as the area of ethics that deals with applying moral principles to real-world issues.

Some limit the definition of applied ethics to deductive reasoning from cases to principles. As a result, the philosophers see casuistry as an alternative to applied ethics.

Notes

1.3 Morals, Values and Ethics

What is Ethics?

What is ethics? is always the first question that comes up. The philosophical study of the following can be referred to as ethics:

1. The ideas of moral good and evil, moral right and wrong, as understood within any philosophical framework
2. Any system or code of moral rules, principles, or values. These may be associated with religions, cultures, professions, or virtually any other group that is at least partly characterised by its moral outlook.



The second question that comes to the mind is Why does Ethics Matter? Ethics matters because:

1. Because values in most ethical systems reflect and foster close human relationships, mutual respect, and trust.
2. Because it serves as the foundation for individuals and groups to define themselves and thus build the identity of their own or individual members; and
3. Because it may be "rational" for a self-interested person to be moral because, in the long run, their self-interest is arguably best served by reciprocating the moral behaviour of others. Numerous ethical and philosophical ideas support this.

The Origin of Ethics

When did ethics begin and how did it originate?

If one is referring to ethics proper, which is the methodical investigation of morality, then ethics could only have emerged when people began to consider the ideal way to live.

Long after human cultures had established some sort of morality, typically in the form of accepted norms of right and bad behavior, this reflective stage began to take shape. Even though it may have ultimately found them lacking, the process of reflection tended to emerge from such customs. Thus, the establishment of the first moral codes marked the beginning of ethics.



Almost every human community has a myth that explains how morals came to be. The Code of Hammurabi is a black Babylonian column with a relief in the Louvre in Paris that depicts the sun deity Shamash giving the code of laws to Hammurabi, who died

around 1750 BCE. Another example would be the story found in the Hebrew Bible (Old Testament) about God giving the Ten Commandments to Moses, who lived from the 14th to the 13th century BCE, on Mount Sinai. Plato (428/427–348/347 BCE) tells an ostentatiously fictitious story in the dialogue Protagoras about how Zeus felt sorry for the unfortunate humans, who were physically inferior to the other beasts.

Zeus compensated for these shortcomings by endowing people with a moral sense and the ability to uphold the law and justice, enabling them to collaborate and exist in bigger societies.

An EPIC that serves as a testament to what is right and bad in civic life is the Bhagwat Geeta, where Lord Krishna guides Arjun toward creating a better society even at the expense of losing ill-minded peer relatives. Ramayana is the same.

It is not surprising that morality would possess all the strength and enigma of divine origin. Nothing else could provide such strong justifications for upholding the moral norm. The clergy gained authority that it would not easily give up by claiming that morality had a divine basis, acting as its custodian and interpreter. It is nevertheless occasionally claimed that morality cannot exist without religion due to the strong connection between morality and religion. This perspective holds that ethics is a subfield of theology rather than a separate academic discipline (see moral theology).

Plato was already aware of several problems with the idea that morality was created by a divine force. In his dialogue with Euthyphro, Plato explored the notion that an endeavour is acceptable when it enjoys divine favour. Plato noted that if this were the true, it would be impossible to claim that the gods endorse such deeds because they are virtuous. So why do they think well of them? Is their endorsement wholly subjective? Because Plato believed that this was impossible, he maintained that there had to be some moral principles that were unaffected by the gods' preferences. Because the alternative suggests that, for instance, torture would have been acceptable and neighbourliness bad if the gods had approved of torturing children and disapproved of assisting one's neighbours, modern philosophers have usually accepted Plato's argument.

Moral Philosophy

The study of ethics, sometimes referred to as moral philosophy, includes the systematisation, defence and endorsement of concepts of good and bad behaviour.

These days, philosophers usually divide ethical perspectives into a number of major categories:

1. **Meta-ethics:** Metaethics explores the origins and meaning of our ethical ideals. Are they just products of society? Do they go beyond simply expressing our personal feelings? The topics of universal



Notes

truths, God's will, the function of reason in moral decisions and the definition of ethical terminology themselves are all crucial to metaethical responses to these queries.

The meaning of ethical judgments is the main focus of metaethics, which aims to comprehend the nature of ethical attributes, claims, attitudes and judgments as well as how they might be justified or supported. Metaethical theories do not attempt to categorise specific choices as better, worse, good, bad, or evil, in contrast to normative ethical theories. Instead, it attempts to describe the fundamental nature and significance of the issue under discussion. It focusses on second-order issues, particularly the ontology, semantics and epistemology of ethics. Moral Realism and Moral Anti-Realism are the two main schools of thought in metaethics.

Moral Realism – Often referred to as Moral Objectivism, this theory maintains that there are objective moral standards and that evaluative statements are fundamentally factual assertions that can be true or incorrect, regardless of our emotions, sentiments, or beliefs about the objects of evaluation. It is a cognitivist viewpoint since it maintains that ethical statements are truth-apt because they express correct notions.

Moral Anti-Realism – It maintains that there are no objective moral principles and can take one of three forms, depending on whether:

- Ethical assertions are thought to be subjective claims that support Ethical Subjectivism.
- They are not legitimate claims at all, which is known as non-cognitivism.
- Alternatively, erroneous objective assertions are referred to as moral scepticism or moral nihilism.

2. Normative ethics: Normative ethics, often known as prescriptive ethics, is the area of ethics that deals with determining what is good or bad, how things should or ought to be and what behaviours are proper or wrong. It seeks to create a set of guidelines or standards for behaviour. The more pragmatic goal of normative ethics is to provide moral principles that govern appropriate and inappropriate behaviour. This could be outlining the good habits we should form, the responsibilities we should carry out, or the consequences of our actions on other people.

Consequentialism, deontology and virtue ethics are the three primary categories into which normative ethical theories are typically divided.

- **Consequentialism** - The consequentialist ethical theory holds that the morality of an action is decided by its consequences. For instance, the majority of people would agree that lying is wrong. Consequentialism, on the other hand, contends that lying is morally acceptable if it saves a life. Here are two examples of consequentialism. Hedonism and utilitarianism.
- **Utilitarianism** - Utilitarianism is a system of ethics that bases morality on outcomes. Consequentialism, that is. Utilitarianism holds that the most moral choice is the one that will benefit the largest number of people. It is the only ethical basis for going to

war or using force. It is also the most widely used approach to moral reasoning in business because it considers both costs and rewards.

Furthermore, utilitarianism finds it difficult to explain concepts like justice and individual rights. For example, suppose that four hospital patients require organ transplants for their livers, kidneys, lungs and hearts. If a healthy person walks into the hospital, organ harvesting might save four lives at the expense of one. One could claim that the largest number of people would gain from this. Few, though, would consider it to be the most moral, let alone acceptable, course of action. Therefore, even though utilitarianism is perhaps the most reason-based approach to determining what is good and wrong, it has obvious limitations.

- **Hedonism** - Hedonism is the belief that pleasure, or the absence of pain, is the most important consideration when determining the morality of a potential course of action. "Party, drugs and rock 'n' roll" are examples of pleasure, but it may also refer to any inherently worthwhile experience, such as reading a good book. One kind of consequentialism that comes in several forms is hedonism. For instance, normative hedonism holds that people's main motivation should be pleasure. Motivational hedonism, on the other hand, maintains that people only act in certain ways because of pleasure or suffering.

A person with egotistical hedonism must make decisions solely based on their personal enjoyment. Altruistic hedonism, on the other hand, holds that the greatest method to determine whether an action is moral is to provide pleasure for everyone. Regardless of the kind of hedonism, detractors criticise it as a moral compass since it disregards all other values, such as justice or freedom, when determining what is right and wrong.

Returning to consequentialism, it is sometimes criticised since it might be challenging, if not impossible, to predict the outcome of an action beforehand. It's true that nobody can predict the future with absolute confidence. Furthermore, consequentialism can often result in judgments that are unpopular even when the outcomes are arguably favourable.

Deontology

Deontology is an ethical system that uses rules to determine what is right and wrong. It is an ethical perspective that emphasises the morality of deeds rather than the morality of the results of those deeds. It makes the case that decisions ought to take other people's rights and obligations into account. The word "deon" in Greek refers to a responsibility or obligation. Deontology is often associated with the philosopher Immanuel Kant. Kant argues that moral behaviour follows universal moral precepts such as "Don't lie." Steer clear of stealing. Don't cheat. Deontology is simple to apply. All that is required is that individuals carry out their responsibilities and follow the regulations. This approach typically fits very nicely with our natural sense of right and wrong. Contrary to consequentialism, which judges actions based on their results, deontology does not need weighing the pros and drawbacks of a circumstance. Subjectivity and unpredictability are avoided because you only need to follow pre-established rules.

Notes

Strict devotion to deontology can have unacceptable consequences, notwithstanding its benefits. For example, suppose you are a software programmer and learn that a nuclear weapon that could start a war is about to be launched. Although getting into any software system without authorisation is against your professional code of ethics, you can halt the launch by hacking the network. It is also a form of deceit and dishonesty. Deontology holds that this norm should not be violated. But if the missile is let to fire, thousands of civilians will die. Therefore, when the principles are adhered to, deontology is easy to apply. But it also means deciding what is good and wrong without taking the possible consequences of our judgements into account.



3. Virtue Ethics - This philosophy was created by Aristotle and other ancient Greeks. It is the effort to understand and live a decent life. The foundation of this character-based approach to morality is the notion that virtue is something we cultivate through practice. By exercising bravery, honesty, justice, giving and other virtues, one might develop an honourable and moral character. Aristotle thought that people would be more likely to make the right choice in moral quandaries if they cultivated virtuous habits. Returning to the subject of normative ethics, ethicists Mark White and Robert Arp illustrate the differences between the three normative ethics ideologies using the film *The Dark Knight*, in which Batman vanquishes the Joker.

- White, Arp, and Utilitarian support Batman's murder of the Joker. Batman could save many lives by taking this one.
- Conversely, deontologists would oppose killing the Joker because they believe that killing is wrong.
- However, a virtue ethicist would emphasize the character of the Joker's killer.

4. Descriptive Ethics - A value-free approach to ethics, descriptive ethics looks at ethics from the standpoint of real-world decisions made by moral agents. It is the study of people's moral beliefs and implies the existence of ideas of worth or behaviour rather than explicitly endorsing them.

While information from descriptive ethics is also used in philosophical discussions, people who study evolutionary biology, psychology, sociology, history, or anthropology are more likely to do so. Comparative ethics is another name for descriptive ethics. The reason for this is that a lot of activities might include comparing ethical systems, comparing the ethics of different societies, comparing the ethics of the past and present and contrasting the ethics that people say they adhere to with the standards of conduct that really govern their behaviour. It is not intended to assess the reasonableness of moral standards or to help individuals make moral decisions.

- 5. Applied Ethics** - Applied ethics, a branch of philosophy that aims to apply ethical theory to actual circumstances, is the fourth branch of moral philosophy. Strict, principle-based ethical approaches frequently produce solutions to issues that are either impossible to apply or not widely accepted.

In its discussions, Applied Ethics is far more prepared to incorporate the knowledge of psychology, sociology and other pertinent fields. Applied ethics would address the following issues.

- Is euthanasia immoral?
- Is affirmative action right or wrong?
- What are human rights, and how do we determine them?
- Do animals have rights as well?

Medical ethics, bioethics, legal ethics, corporate ethics, environmental ethics, information ethics and media ethics are all included in the discipline of applied ethics. Applied ethics involves analysing specific controversial subjects, such as abortion, infanticide, animal rights, environmental issues, the death penalty, or nuclear weapons.

1.4 Moral Issues, Moral Dilemmas & Moral Autonomy

Moral Issues

A moral problem can be defined as one that must be solved while keeping moral principles in mind in addition to technical considerations. "Moral issue is a working issue of moral concern with the potential to help or harm anyone, including oneself."

- A moral conflict would involve a factual disagreement (or a disagreement in belief) when one or both beliefs are incorrect. Moral issues are those that involve a difference of belief rather than a question of desire. There wouldn't be a conflict over attitude (or emotion).
- Moral difficulties are those that involve experiencing a certain type of emotion that is believed to be intuitively distinct from other types of emotions, such as religious or artistic emotions. (For instance, some believe that consciousness is the source of these emotions.) These emotions may include remorse, shame, or satisfaction.
- A variant of consequentialist ethics, moral dilemmas are those behaviours that have the potential to benefit or hurt us or others. This approach has a number of drawbacks. Since extremely few, if any, human acts have no repercussions that either benefit or damage us or others, very few human decisions or actions are not morally problematic. According to this perspective, only choices that have no potential to be beneficial or detrimental would be considered immoral. Such



Notes

decisions are hard to imagine. Therefore, it's possible that every choice made and action taken raises some ethical issues.

Moral Dilemma

Conflict is what unites the two well-known situations. In each scenario, an agent believes that she has moral justifications for performing both of the two activities, but she is unable to perform both. These kinds of circumstances have been referred to as moral dilemmas by ethicists. The following are essential characteristics of a moral dilemma: the agent must perform each of two (or more) actions; the agent is capable of performing each action; nevertheless, the agent is unable to perform both (or all) of the actions. As a result, it appears that the agent is doomed to moral failure; no matter what she does, she will either act immorally or fail to act morally.

A moral dilemma is an unsolvable moral conflict, meaning that no completely satisfactory solution is available because every course of action leaves a residue that is nonetheless morally obligatory. In psychology and philosophy classes, moral dilemmas are commonly used to help students think about the reasoning behind their attitudes and actions. Moral conundrums include, for example:



- The traditional "lifeboat dilemma," in which there are eleven passengers on the sinking ship and only ten spaces in the lifeboat. Who will remain behind must be decided. A train heading near a fork in the tracks has a faulty brake system. A man performing routine track maintenance is on the right, while a woman crossing with her two kids is on the left. Which side to direct the rushing train toward is up to the engineer.
- When a husband finds that he has a fatal condition, he chooses to ask his wife for help in putting an end to the suffering before it worsens. Additionally, moral quandaries offer students engaging social themes to explore in position and research papers. Typical subjects for these kinds of assignments include:
 - The Death Penalty
 - Doctor-Assisted Suicide
 - Ending the Drug War
 - The Draft
 - Government Spying
 - Prison Reform
 - Legalising (or decriminalising) Marijuana
 - Fossil Fuels vs. Renewable Energy

Steps in confronting moral dilemmas - To face/overcome the above said moral dilemmas, one can follow one or more of the following steps.

- **Step 1:** Determining the relevant moral considerations. It entails finding solutions for competing rights, contradictory obligations, and incompatible ideals.
- **Step 2:** Gathering all the moral considerations that are pertinent to the moral aspects at play.
- **Step 3:** Sorting the aforementioned moral factors according to their relevance to the circumstance.
- **Step 4:** Asking factual questions. Put otherwise, identifying several ways to address moral quandaries and considering all of their ramifications.
- **Step 5:** Encouraging conversations and recommendations from friends, coworkers, and other interested parties to analyze the moral conundrums.
- **Step 6:** Making the ultimate choice, that is, choosing the more sensible course of action after considering all pertinent moral considerations.

Moral Autonomy

The idea of moral autonomy is self-governing or self-determining, that is, acting on one's own initiative free from outside influence or distortion. Moral autonomy pertains to personal beliefs about right and wrong behaviour that are apart from ethical considerations. Self-determination is enhanced by the idea of moral autonomy.

Moral autonomy pertains to an individual's autonomous perspective on moral and ethical matters. This idea can be found in political philosophy as well as moral and ethical philosophy.

Moral Autonomy – Skills Needed:

- **Capacity to connect the issues with legal, economic and religious principles:** It is crucial to be able to analyse a problem and determine how it relates to the current law or the issue at hand. the capacity to discern between the two and identify the moral justifications.
- **Capacity to analyse, elucidate and comprehend the arguments against moral issues:** If the issue is in opposition to certain moral ideals or the ethical standards that society should uphold, it is important to preserve clarity regarding the distinctions and similarities. It is important to evaluate both differences and similarities according to the reasons and aspects that warrant concern.
- The capacity to offer fact-based solutions to moral dilemmas Solutions should be proposed in accordance with the moral concerns based on the facts and truths of the problem if the moral issues are not satisfactory and should be. These recommendations ought to be coherent and cover every facet of the issue. Partiality is not permitted in any of these areas.
- **You need to be creative enough to see the issues from every angle:** After learning about the issue's facts and illusions, a comprehensive grasp of the problem

Notes

is obtained by considering it from a variety of perspectives. This makes it possible to offer a suitable substitute option.

- **Tolerance while making moral judgments, which might lead to problems:** When the entire analysis considers all the perspectives on the matter, the outcome may or may not be acceptable to the individuals concerned. Therefore, to assure people that the decisions were made without favouring any party, a thorough explanation of the measures performed should be provided when announcing the verdict or the decisions made. Additionally, the acts should be presented more effectively.
- **Tolerance while making moral judgments, which might lead to problems:** When the entire analysis takes into account all the perspectives on the matter, the outcome may or may not be acceptable to the individuals concerned. Therefore, in order to assure people that the decisions were made without favouring any party, a thorough explanation of the measures performed should be provided when announcing the verdict or the decisions made. Additionally, the acts should be presented more effectively.

1.5 Basic Ethical Principles

Introduction

The term "basic ethical principles" refers to those broad conclusions that support moral recommendations and assessments of human behaviour. The fundamental ideas listed below are among those that are widely acknowledged in our cultural tradition and are especially pertinent to corporate ethics:

Truthfulness and Confidentiality

Honesty and secrecy are two ideas that you might encounter frequently in your daily work. Telling the truth to someone who has a right to know the truth is what it means to be truthful. The idea of confidentiality compels you to maintain information or knowledge that you have a duty or right to keep private. Employees will be able to discuss delicate topics openly if management is aware that they will always operate with the ethical concept of confidentiality in mind. The professional duty to maintain confidentiality stems from the likelihood that disclosure of the information may cause harm.

There are three types of secrets:

- **Natural Secret:** information that, by its very nature, is dangerous if disclosed. Such disclosures could cause humiliation or jeopardise one's life.
- **Promised Secret:** information that we have promised to conceal which, if broken, leads to public mistrust.
- **Professional Secret:** information that, if disclosed, would be detrimental to the client, the profession and society that uses the profession's services. Because its breach might result in the greatest harm, a professional secret is the most severe of all secrets.

Autonomy

You may already be aware of the ethical concept of autonomy, but you may not be familiar with it. The phrase refers to each person's freedom of choice, independence and self-determination. The fundamental focus of the concept of autonomy in a corporate setting is the ethical obligation of an organisation or stakeholder to respect the customers' right to make decisions for their personal well-being. However, there are situations where concern for the community's welfare may limit an individual's freedom of choice or autonomy.

"Respect for Persons" is a typical way to refer to autonomy. Two ethical beliefs are incorporated into respect for people:

- People should be viewed as autonomous agents and

People who have less agency should be protected. Thus, the principle of respect for persons is divided into two distinct moral requirements:

- The need to safeguard individuals with limited autonomy and the need to acknowledge autonomy.
- Respecting autonomy means giving consideration to people's thoughtful decisions and ideas while avoiding interfering with their behaviour unless it is obviously harmful to others. The necessity of informed voluntary consent follows from this concept.

Informed consent

Informed consent is the process by which a service provider explains to a client the benefits, drawbacks and available options of a specific procedure or intervention. It is thought that the customer is capable of making an informed decision regarding whether or not to use a service. Organisations are required by law and ethics to obtain informed consent. A client's evaluation based on the matter's documentation is implicit in giving informed consent. All components of informed consent must be documented "in a form, progress notes, instruction manuals and terms and conditions," according to the legal system.

The following components must be included in the informed consent discussion's documentation:

- The nature of the procedure,
- The risks and benefits of the procedure,
- Reasonable alternatives,
- The risks and benefits of alternatives, and
- Assessment of the client's understanding of elements 1 through 4.

The service provider has a duty to explain everything to the client and refrain from pressuring them to agree. The supplier is required to offer a recommendation and explain why.

Notes

Beneficence and Non-maleficence

Generally speaking, "Beneficence" refers to deeds of kindness or generosity that transcend rigid requirement. Acts of kindness, charity and mercy with a strong moral obligation to do good to others are characteristics of beneficence. For all professionals, doing the right thing is a basic moral need. It is the professional's steadfast responsibility to put the client's interests and welfare first in the professional-client relationship. In addition to honoring their choices and shielding them from harm, stakeholders are handled ethically when measures are made to ensure their well-being.

While the idea of nonmaleficence instructs you to "do no harm" to your clients, whether on purpose or accidentally, the term beneficence refers to "doing good" for your clients.

In this regard, two broad guidelines have been developed as complementing manifestations of good deeds:

- Do not harm and
- Maximise possible benefits and minimise possible harms.



Every stakeholder's safety and well-being must be guaranteed. According to this principle, the advantages for subjects or for humanity as a whole must be deemed to outweigh the hazards to associates.

Justice

Fairness, equality and impartiality are all components of justice, which is a complicated ethical concept. To put it another way, treating everyone fairly is a duty. A service's risks and rewards must be allocated equitably without causing demographic disparities among the stakeholders according to predetermined classes. Two perspectives are used to pursue justice:

- Distributive justice is the principle that individuals should be treated equally, regardless of ethnicity, gender, culture, age, marital status, health, social status, economic status, political or religious beliefs, or any other personal characteristics. Everyone should receive the same treatment.
- Social justice is based on ensuring equal rights to access and participation in all aspects of goods and services provided within a community, irrespective of personal traits. Resources that improve living standards should be available to all members of society.

Encouraging the involvement and empowerment of all stakeholders who are affiliated with the organisation to exercise their rights is one way that corporations can practice distributive and social justice. Unfair treatment of affiliates in their line of work may hinder their ability to win the public's trust, which will lower the value of the brand.

1.6 Contemporary philosophy: Action, Ethics and Responsibility

Philosophy of Action

One of the main subfields of modern philosophy is the concept of action. The primary focus of philosophy of action is human behaviour, with the goal of differentiating between activity and passivity. The concept of voluntary, purposeful, culpable and involuntary behaviours is expanded upon. Legal and ethical issues pertaining to freedom, intention, belief, responsibility and other topics are relevant to the theory of action. It has to do with determinism, the mind-body dilemma and the idea of causality. Action is related to fundamental human issues like autonomy and responsibility.



Action & Mere Behaviour:

A person's actions must involve more than just his body moving in a particular manner. This "something more" distinguishes action from mere behaviour.

While nervously tapping one's foot is undoubtedly an activity, a leg convulsion doesn't seem to be an action at all. The philosophers have put up a variety of terminology to describe such differences. "Mere behaviour," "activity," "action," "full-blooded action," "intentional action," "intentional movement," and so on are the most frequently used terminology.

The Meta-Physics of Actions:

1. Causalism vs. Non-causalism:

The activity can be explained by desires, beliefs and intentions, but it is unclear if this is a causal explanation.

When the bell rung, it was either because someone had pressed the button or because it was time to eat.

It is evident in 1 that the source of the bell's ringing—someone pressing a button—is being used to explain the phenomenon. In contrast, in 2, the bell's ringing is explained by pointing to something that couldn't have caused it.

2. The Individuation of Actions:

How many actions are involved when a task is completed? What is the relationship between them? These are still the most important findings. The bell is rung by pressing the button in the preceding example. In this case, how many activities are involved? What is the relationship between them? It's obvious that pressing a button and a bell

Notes

ringing are two very distinct things, but touching the button was what caused the bell to ring. The question at hand is whether there are two or just one of these activities.

There is only one action involved when someone does action X by performing action Y. In the example, ringing the bell and pressing a button are two distinct actions.

3. Action and Determinism:

Determinism is often raised in relation to human action freedom. According to the hypothesis, an individual's motivations drive his behaviour.

This means that the agent's actions were caused. In theory, it may be argued that when an action is motivated by reasoning, the agent is just responsible for the activity. A free action only requires that the agent direct it in a certain manner. It's possible that such a guided action was clearly causally determined.

The Epistemology of Actions

People's actions are guided by the theory of knowledge, especially in relation to its methods, validity and scope as well as the differentiation between opinion and justified belief.

It is acknowledged that we are aware of our own behaviour "without observation." "A project director might be able to schedule the project accurately without having reports on it, provided that his subordinates carry out his orders. This is described as a case of 'practical knowledge,' and it is accepted that our knowledge of our own actions is of the kind that produces the action. 'Practical knowledge' holds for more than just our knowledge of our actions and extends to our own beliefs based on a passive knowledge.

Philosophy of Responsibility

People and groups are evaluated as responsible or not, depending on how seriously they take their responsibilities. Often this is done informally via moral judgment. On the other side, this also is done formally through legal judgement. The moral philosophy has tended to ask two simple questions about responsibility:

- "What is it to be responsible?" and
- "What is a person responsible for?"

The first question is usually taken while enquiring about moral agency. What features of (normal, adult) human are involved in our holding one another responsible? The second as a question is used in case of holding people accountable for their actions. It is a question most often asked in connection with causation and accountability.

These two apparently simple questions ("What is it to be responsible?" and "What is a person responsible for?") about individual responsibility points to the previously stated four points:

1. Moral Agency.

Normal human adults represent our paradigm case of responsible agents. What is distinctive about them, that we accord them this status?

Human beings have free will, that is, distinctive causal powers or a special metaphysical status, that separates them from everything else in the universe.

- Human beings can act based on reason(s).
- Human beings have a certain set of moral or proto-moral feelings.

The above points are principally concerned with evaluation of the self. A rational/moral agent chooses to act in the light of principles – that is, he deliberates among reasons. Therefore, standards of rationality apply to all adult humans and when they fail to act rationally, it is simply and crudely considered as a Bad Thing.

2. Retrospective Responsibility.

In assigning responsibility for an outcome or event, we may simply be telling a causal story. The responsibility attribution is concerned with the morality of somebody's action(s). Among the many different causes that led to an outcome, a specific action is identified as the morally salient one. Example:

If we say the captain was responsible for the shipwreck, we do not deny that all sorts of other causes were in play. But we do single out the person which we think ought to be held responsible for the outcome. Philosophers sometimes distinguish this usage, by speaking of "liability responsibility." Retrospective responsibility usually involves a moral judgment of the person responsible.

This judgment typically pictures the person as liable to various consequences: to feeling remorse (or pride), to being blamed (or praised), to making amends (or receiving gratitude) and so forth.

3. Prospective Responsibility.

This form of "responsibility" is as a synonym for "duty." When we ask about a person's prospective responsibilities, we are concerned with what he ought to be doing or attending to. The term describes a particular person's duties or used to single out the duties, or "area of responsibility," that somebody has by virtue of their role.

This bears at least one straightforward relation to the question of retrospective responsibility. We will tend to hold someone responsible when he fails to perform the duties. Hence, referring to the ship examples, a captain is responsible for the safety of the ship; hence he will be held responsible if there is a shipwreck.

In terms of prospective responsibility, then, we may think that everyone has a duty to make certain amends when certain risks of action materialise – just because all our actions impose risks on others as well as ourselves. The duties assigned to an individual

Notes

shall also encompass the 'rights' to make necessary amendments in case of a foreseen risk. In this case, retrospective responsibility is justified, not by whether the person controlled the outcome or could have chosen to do otherwise, but by reference to these prospective responsibilities.

4. Responsibility as a Virtue.

While theories of moral agency tend to regard an agent as either responsible or not, with no half-measures, our everyday language usually deploys the term "responsible" in a more nuanced way. As just indicated, one way we do this is by weighing degrees of responsibility, both about the sort of prospective responsibilities a person should bear and a person's liability to blame or penalties. A systematic arrangement is desired to overcome the nuanced way of weighing the responsibility and making the meaning of responsibility clearer.

Once clarity is established,

- The responsible person can be relied on to judge and to act in certain morally desirable ways.
- In the case of more demanding ("more responsible") roles, a person can be trusted to exercise initiative and to demonstrate commitment; and
- When things go wrong, such a person will be prepared to take responsibility for dealing with things.

1.7 Linking Philosophy, Ethics & Its implications

Relationship between Ethics and Philosophy

There is no one opinion about the relation between ethics and philosophy. Hegel and Green, believes that ethics is based upon philosophy. Rahall believe that philosophy is based upon ethics. This is a debatable opinion. Be it what it may, it is definite that the two are closely related. The relation is based upon the following factors:

- Ethical ideals are founded in the moral order of the universe. Being a normative science, ethics details ethical ideals. These ethical ideals are founded in the moral order of the universe. Thus, their study takes ethics into the field of philosophy.
- Ethical ideals are based upon the nature of objects. Ethical judgments are categorical imperatives. They are themselves based upon the nature of objects for which ethics must go to philosophy.
- Philosophy expounds ethical assumptions. The three self-evident postulates of ethics are God, freedom of will and the immortality of the soul. The description of their nature and the analysis of their validity is the subject of philosophy.
- Philosophy details the relation of man to the world. Ethics treats man as a self-conscious being, not a natural fact. Thus, for the discussion of the relation between man and God, world and society, ethics must turn to philosophy.

- Philosophy systematises both facts and values. Ethics being a science of values is related to philosophy because the latter systematises both facts and values.
- Many philosophical problems come under ethics. Ethics must explain many philosophical problems.

Ethics Vs Philosophy

Ethics	Philosophy
Moral principles a person can follow.	Study of the fundamental nature of knowledge, reality and existence as an academic discipline.
Comprise of moral guidelines and advice a human can follow in his lifestyle.	Contains theories and ideologies postulated by philosophers concerning specific subject matter in life.
There is no specific origin; has a strong relation to religions and morality in human society.	There are specific founders or several pioneering figures known as philosophers.
Cannot be separated according to period, country and subject matter since they are universally considered moral principles.	Has varied branches according to period, school, movement, country, subject matter, etc.

1.8 Case Study

Case studies: The Case of Aarav Mehta, Compliance Head at Zenith Pharmaceuticals Ltd.

Background

Zenith Pharmaceuticals Ltd. is a well-known Indian pharmaceutical manufacturing company supplying affordable medicines to both domestic and international markets. The company operates under strict regulatory frameworks governed by drug safety laws, environmental regulations and corporate governance norms.

Mr. Aarav Mehta, a senior professional with over 15 years of experience, is the Head of Compliance and Ethics at Zenith Pharmaceuticals. His primary role is to ensure that the company adheres to legal standards, ethical guidelines and internal codes of conduct. His professional identity is deeply tied to integrity, transparency and regulatory responsibility.

The Ethical Situation

During an internal audit, Aarav discovers that one of the company's manufacturing plants has been disposing chemical waste improperly into a nearby water source. While the practice has reduced operational costs and improved short-term profitability, it violates environmental laws and poses serious health risks to nearby rural communities.

Notes

When Aarav raises the issue with senior management, he is advised to delay reporting the violation until after a major government tender is secured. Management argues that disclosure at this stage could result in:

- Loss of the tender
- Heavy penalties
- Damage to the company's reputation
- Possible layoffs of workers

Aarav is assured that corrective action will be taken later and is reminded that his responsibility is to protect the company's interests.

The Moral Dilemma

- Aarav now faces a moral dilemma:
- As a compliance officer, his role demands strict adherence to law and ethical standards.
- As a corporate employee, he is expected to align with management decisions and safeguard organisational success.

The dilemma reflects a conflict between:

- Role morality (acting in line with professional role expectations)
- Personal morality (acting according to personal values of honesty and social responsibility)

Analysis Using Ethical Philosophy

1. Deontological Perspective (Duty-Based Ethics)

From a deontological viewpoint, Aarav has a duty to report violations, regardless of consequences. Environmental laws and professional codes impose a moral obligation to act truthfully and lawfully. Delaying disclosure would be ethically wrong because it violates rules and duties intrinsic to his role.

2. Utilitarian Perspective (Consequences-Based Ethics)

Management's argument reflects utilitarian reasoning—prioritising outcomes such as profit, employment and company survival. However, a broader utilitarian analysis shows that environmental damage and health risks to the community create greater long-term harm, outweighing short-term organisational benefits.

3. Virtue Ethics Perspective

Virtue theory focuses on character traits such as integrity, courage and responsibility. A virtuous professional would act with moral courage, even when personal or professional risks are involved. Aarav's integrity as an ethical leader is tested in this situation.

4. Rights Theory

Local communities have a right to clean water and a safe environment. Suppressing the violation infringes upon these basic human rights. Aarav's silence would indirectly support the violation of these rights.

5. Casuist Theory

By comparing this case with previous environmental ethics cases, it becomes evident that organisations that delayed reporting faced greater legal penalties and reputational damage later. Ethical reasoning based on precedents supports immediate disclosure.

Morals, Values and Ethics in the Case

- **Morals:** Aarav's personal belief that harming communities is wrong
- **Values:** Integrity, accountability and social responsibility
- **Ethics:** Professional codes, legal standards and corporate governance principles

Moral Autonomy

Moral autonomy refers to the ability to make independent ethical decisions. Aarav must decide whether to:

- Obey management instructions blindly, or
- Exercise independent moral judgment aligned with ethical principles

True moral autonomy requires Aarav to act according to ethical reasoning rather than authority pressure.

Ethical Principles Involved

- **Integrity:** Truthful reporting of violations
- **Responsibility:** Accountability toward society and environment
- **Justice:** Fair treatment of affected communities
- **Non-maleficence:** Avoiding harm to others
- **Transparency:** Open disclosure of unethical practices

Decision and Action

After careful reflection, Aarav formally reports the violation to the regulatory authority and submits a compliance report to the board's ethics committee. He also recommends immediate corrective measures and community remediation programs.

Consequences

- The company faces fines and temporary suspension of the plant

Notes

- Aarav faces internal resistance but gains support from independent directors
- Zenith Pharmaceuticals later rebuilds its reputation by adopting sustainable practices
- Aarav is recognised as an ethical leader and is later appointed to the board's ethics oversight committee

Linking Philosophy, Ethics and Responsibility

This case demonstrates how ethical philosophy guides real-world decision-making. Role morality does not excuse unethical behaviour; instead, it intensifies responsibility. Professionals in powerful roles must balance organisational loyalty with broader ethical obligations to society.

Conclusion

The case of Aarav Mehta highlights that role morality is not moral immunity. Ethical decision-making requires integrating philosophical theories, personal values and professional responsibility. Acting ethically may involve short-term costs but leads to long-term trust, sustainability and moral legitimacy.

Summary

- Philosophy includes all fields of speculative thought, including arts, sciences and religion and was defined as the pursuit of knowledge for its own sake.
- It is a system of ideas or points of view about life and the cosmos that are commonly maintained without question.
- The term ethics can apply to any philosophical theory, or any system of moral laws, principles, or values and philosophical study of moral right and wrong.
- Even if such conventions were ultimately judged deficient, the process of reflection tended to emerge from them.
- As a result, the establishment of the first moral rules marked the beginning of ethics.
- Systematising, defending and endorsing conceptions of good and bad behaviour are part of moral philosophy.
- A moral issue is one that must be handled not just by analysing technical details, but also by considering moral ideals.
- It is a current moral matter having potential to benefit or damage anybody, including oneself. Ethics encompasses a wide range of philosophical issues.
- Many philosophical issues must be explained through ethics.

Glossary

- **Philosophy:** As used originally by the ancient Greeks, the term “philosophy” meant the pursuit of knowledge for its own sake and comprised ALL areas of speculative thought, including the arts, sciences and religion.
- **Ethics:** Ethics, also known as moral philosophy, studies what constitutes good and bad conduct, right and wrong values and good and evil.
- **Epistemology:** Epistemology is the branch of philosophy that studies knowledge. This is very important branch especially in today’s reference as we are living in the knowledge economy.
- **Political Philosophy:** Political philosophy is the study of government and the relationship of individuals (or families and clans) to communities including the state.
- **Utilitarianism:** Utilitarianism is an ethical theory that determines right from wrong by focusing on outcomes.

Check Your Understanding

1. **Ethical philosophy is involving?**
 - a. Systemising the concepts of right or wrong
 - b. Defending concepts of right or wrong
 - c. Both
 - d. None
2. **Which of the following statement is true?**
 - a. Ethics is a science of character
 - b. Ethics is not a practical science
 - c. Ethics is not an art
 - d. Above all
3. **Which of the following is the correct scope of ethics?**
 - a. In non-moral sphere
 - b. In non-social sphere
 - c. In moral sphere
 - d. In non-religious sphere
4. **What are the branches of ethical philosophy?**
 - a. Non-Descriptive Ethics
 - b. Normative Ethics
 - c. Both
 - d. None

Notes

5. Deontology is the word come from.

- a. Latin word
- b. Greek word
- c. Indian word
- d. Portuguese word

Exercise

1. Define Ethical Philosophy and explain its nature, scope and branches. How do these elements help individuals and professionals address ethical issues in real-life situations?
2. Explain any three basic ethical theories—Deontology, Utilitarianism, Virtue Theory, Rights Theory, or Casuist Theory. Illustrate how each theory would approach the same ethical problem differently.
3. Distinguish between morals, values and ethics with suitable examples. How do these concepts influence individual behaviour and professional decision-making?
4. What is a moral dilemma? Discuss the concept of moral autonomy and explain its importance in resolving moral issues. Support your answer with a practical example.
5. Examine the concept of role morality using a case study of a professional (such as a teacher, doctor, auditor, or manager). How do ethical principles, responsibility and contemporary ethical thinking influence decision-making in that role?

Learning Activities

- Analyse short real-life scenarios involving moral issues and moral dilemmas. Apply basic ethical theories such as Deontology, Utilitarianism, Virtue Theory, Rights Theory and Casuist Theory to evaluate decisions and understand moral autonomy and ethical principles.
- Study a brief case on role morality where professional duties conflict with personal values. Discuss how action, ethics and responsibility are connected and reflect on the relationship between philosophy and ethics in real-life decision-making.

Check Your Understanding- Answer

1. c
2. d
3. c

4. b

5. b

Further Readings and Bibliography

- Rachels, J. and Rachels, S. (2019). The elements of moral philosophy. McGraw-Hill Education.
- Beauchamp, T. L. and Childress, J. F. (2019). Principles of biomedical ethics. Oxford University Press.
- Velasquez, M. G. (2018). Business ethics: Concepts and cases. Pearson Education.
- Sandel, M. J. (2010). Justice: What's the right thing to do? Farrar, Straus and Giroux.
- MacIntyre, A. (2007). After virtue: A study in moral theory. University of Notre Dame Press.

Notes

Module 2: Ethics at Workplace

Learning Objectives

At the end of the module, you will be able to:

- Define ethical codes and why they are required
- Understand the principles and codes of professional ethics
- Learn about workplace rights and responsibilities
- Understand the concept of Corporate Social Responsibility
- Learn about managing boundaries and organisational loyalty

Introduction

A professional code of ethics provides the employees with a set of guidelines they can use to make good decisions in the workplace. It allows you to set a baseline expectation for what is socially acceptable and how professionals should approach problems. Creating a professional code of ethics takes some time, but it can help your organisation's employees work honestly and with integrity, which may create a more harmonious work environment.



2.1 Professional Ethical Codes

A professional code of ethics is a set of principles designed to help professionals distinguish right from wrong to govern their decision-making. Often referred to as an ethical code, these principles outline the mission and values of an organisation, how the professionals within the organisation are supposed to approach problems and the standards to which the employees are held.

Why is a Code of Ethics Important?

A professional code of ethics is designed to ensure employees are behaving in a manner that is socially acceptable and respectful of one another. It establishes the rules for behaviour and sends a message to every employee that universal compliance is expected.

It also provides the groundwork for a pre-emptive warning if employees break the code. A code of ethics can be valuable not just internally as a professional guide but also externally as a statement of a company's values and commitments.

The Components of the code of Professional Ethics:

The below given categories are based on the business code of ethics and common principles of ethics that are listed in various organisations.

Respect for others. Treat people as you want to be treated. It's mandatory to respect everyone you interact with. Be kind, polite and understanding. You must respect others' personal space, opinions and privacy. Any kind of violence is strictly prohibited and may result in withdrawal from job. Any one is also not allowed to harass or victimise others. What constitutes harassment or victimisation? If someone, be it customer, colleague or stakeholder, is offensive, demeaning or threatening to a person, the code of ethics guidelines shall be referred for support.



- **Integrity and Honesty:** Tell the truth and avoid any wrongdoing to the best of your ability. Employees should always keep in mind the organisation's mission. All employees work together to achieve specific outcomes. An employee's behaviour should contribute to the organisational goals. Be honest and transparent when you act in ways that impact other people (e.g. taking strategic decisions or deciding on layoffs). Organisations don't tolerate malicious, deceitful or petty conduct. Lies and cheating are huge red flags and, if someone is discovered, he may face progressive discipline or immediate termination depending on the damage.

Stealing from the company or other people is illegal. If someone is caught, he will face repercussions depending on the severity of his actions.

- **Conflict of Interest:** Align your action with organisational objectives. Conflict of interest may occur whenever your interest in a particular subject leads you to actions, activities or relationships that undermine our company. This includes situations like using your position's authority for your own personal gain or exploiting company resources to support a personal money-making business. Even when you seemingly act to the company's advantage, you may disadvantage it. For instance, if an employee uses dubious methods to get competitor and raise their sales record, their action will have a positive impact on the company's revenue, but it will put us at a legal risk and promote unhealthy business practices.
- **Justice:** Make sure your objectives are fair and don't disadvantage others. Don't act in a way that exploits others, their hard work or their mistakes. Give everyone equal opportunity and speak up when someone else doesn't. (What you call a Whistle Blowing) Be objective when making decisions that can impact other people, including when you're deciding to hire, promote or even fire someone. Be sure that you can justify any decision with written records. Seek and use the most objective methods in any case. Also, don't discriminate against people with protected characteristics, as this is forbidden. If you suspect you may have an unconscious bias that influences your decisions, take the psychometric tests. When

Notes

exercising authority, be fair. Don't show favouritism toward specific employees and be transparent when you decide to praise or reward an employee. If you need to discipline an employee, be sure to have prepared a case that you can present. You must not retaliate against employees or applicants (such as in cases when they've filed complaints) as this is forbidden by law. Be just toward customers or vendors, too. If you think the company was wrong in a specific instance, don't try to cover it up or accuse the other side. Discuss with the management to find solutions that can benefit both sides.

- **Lawfulness:** Know and follow the law – always. An employee shall follow all laws which apply to the organisation. Depending on the role and profession, there might be various laws that one need to observe. For example, accountants and medical professionals have their own legal restrictions and they must be fully aware of them.

When you're preparing contracts, clauses, disclaimers or online copy that may be governed by law (such as consent forms), make sure to verify from the legal counsel before finalising anything.

Organisations have confidentiality and data protection policy that cover the employees. They must not expose, disclose or endanger information of customers, employees, stakeholders or our business and always follow the cybersecurity policy, too.

Following laws regarding fraud, bribery, corruption and any kind of assault is a given mandate within the legal envelop of the constitution

- **Competence and Accountability:** Work hard and be responsible for your work. We all need to put a healthy amount of effort in our work. Not just because we're all responsible for the organisation's success, but also because slacking off affects our colleagues. Incomplete or slow working might hinder other people's work or cause them to shoulder the burden themselves. This creates conflict with the respect and integrity principles of self and others.



Employees must take responsibility for their actions. All people make mistakes or need to take tough decisions and it's important they own up to them. Employees shall be allowed to take responsibility and come up with ways to fix their mistakes wherever possible.

- **Teamwork:** Collaborate and ask for help. Working well with others is a virtue, rather than an obligation. Employees will certainly get to work autonomously and be focused on their own projects and responsibilities. But they should also be ready to collaborate with and help others. All members within an organisation should be generous with their expertise and knowledge. Be open to learning and evolving.

Recognising Unethical Business Activities:

All unethical business activities will fall into one of the following categories:

1. **Taking things that don't belong to you:** The unauthorised use of someone else's property or taking property under false pretences is taking something that does not belong to you. Even the smallest offense, such as using the postage meter at your office for mailing personal letters or exaggerating your travel expenses, belongs in this category of ethical violations.
2. **Saying things, you know are not true:** Often, when trying for a promotion and advancement, fellow employees discredit their coworkers. Falsely assigning blame or inaccurately reporting conversations is lying. Although "This is the way the game is played around here" is a common justification, saying things that are untrue is an ethical violation.
3. **Giving or allowing false impressions:** The salesperson who permits a potential customer to believe that cardboard boxes will hold the customer's tomatoes for long-distance shipping when the salesperson knows the boxes are not strong enough has given a false impression. A car dealer who fails to disclose that a car has been in an accident is misleading potential customers.
4. **Buying influence or engaging in a conflict of interest:** A conflict of interest occurs when the official responsibilities of an employee or official are influenced by the potential for personal gain. Suppose a company awards a construction contract to a firm owned by the father of the provincial attorney general while the provincial attorney general's office is investigating that company. If this construction award has the potential to shape the outcome of the investigation, a conflict of interest has occurred.
5. **Hiding or divulging information:** Failing to disclose the results of medical studies that indicate your firm's new drug has significant side effects is the ethical violation of hiding information about the potential harm your product has to purchasers. Taking your firm's product development or trade secrets to a new place of employment constitutes the ethical violation of divulging proprietary information.
6. **Taking unfair advantage:** Many current consumer protection laws were passed because so many businesses took unfair advantage of people who were not educated or were unable to discern the nuances of complex contracts. Credit disclosure requirements, truth-in-lending provisions and new regulations on auto leasing all resulted because businesses misled consumers who could not easily follow the jargon of long, complex agreements.
7. **Committing improper personal behaviour:** Although the ethical aspects of an employee's right to privacy are still debated, it has become increasingly clear that personal conduct outside the job can influence performance and company reputation. Thus, a company driver must abstain from substance abuse because of safety issues. Even the traditional company holiday party and summer picnic have come under scrutiny due to the possibility that employees at and following these events might harm others through alcohol-related accidents.

Notes

8. **Abusing power and mistreating individuals:** Suppose a manager harasses an employee or subjects employees to humiliating corrections or reprimands in the presence of customers. In some cases, laws protect employees. Many situations, however, are simply interpersonal abuse that constitutes an ethical violation.
9. **Permitting organisational abuse:** Many firms with operations overseas, have faced issues of organisational abuse. The unfair treatment of workers in international operations appears in the form of child labour, demeaning wages and excessive work hours. Although a business cannot change the culture of another country, it can perpetuate—or stop—abuse through its operations there.
10. **Violating rules:** Many organisations use rules and processes to maintain internal control or respect the authority of managers. Although these rules may seem burdensome to employees trying to serve customers, a violation may be considered an unethical act.
11. **Condoning unethical actions:** What if you witnessed fellow employee embezzling company funds by forging her signature on a check? Would you report the violation? A winking tolerance of others' unethical behaviour is itself unethical.

2.2 Workplace Rights & Responsibilities (Whistle Blowing)

What is a Right and What is a Responsibility?

- **Right** - A right is something you are entitled to receive, e.g. to be treated in a fair, ethical and legal way.
- **Responsibility** - A responsibility is a duty or something you should do, e.g. to treat others with respect.

Classification of Rights and Responsibilities:

Rights and responsibilities can be classified as follows:

- **Legal:** As set out by national, e.g. the right to be treated equally regardless of age, gender, marital status, etc.
- **Social:** The treatment of workers by employers, e.g. payment of a fair wage, prevention of bullying in the workplace, etc.
- **Environmental:** A safe and healthy workplace. In addition, the employer must ensure that they do not damage the local environment.
- **Ethical:** Doing what is right, e.g. fair treatment of employees and suppliers, engaging in fair trade.

In practice, many of the rights and responsibilities are a combination of some or all the above. For example, discrimination in the workplace is illegal as well as being both socially and ethically wrong.

Rights of Employees - Employees are safeguarded by law in several employment areas and employees have the right to:

- Receive a fair day's pay for a fair day's work.
- Receive at least the minimum wage.
- Receive a contract of employment.
- Adequate rest breaks.
- Holiday pay.
- Work in a safe and respectful atmosphere, free from danger, bullying or discrimination.
- Join a trade union.

Responsibilities of Employees - Employees have the responsibility (either by law or morally) to:

- Carry out their duties as stated in their contract of employment.
- Arrive at work on time.
- Be loyal to their employer and not disclose confidential business information.
- Treat customers, co-workers and the employer with respect and ensure they don't bully or discriminate against other employees.
- Follow workplace rules and safety instructions.
- Wear any protective equipment and uniform provided to them by the employer.
- Attend all training provided by the business.

Rights of Employers - Employers have the right to:

- Decide on the objectives of the business.
- Hire suitable staff for their business.
- Dismiss dishonest or unsuitable staff.
- Expect loyalty from their staff.

Responsibilities of Employers - The responsibilities of the employer are to:

- Ensure the workplace is safe and has healthy working conditions.
- Provide employees with adequate training and adequate gears, if necessary.
- Provide employees with statutory holidays and leave, e.g. maternity / paternity / parental leave.
- Pay agreed wages. They must pay at least the minimum wage to their employees and equal pay to men and women.

Notes

- Deduct Pay as You Earn (PAYE), Tax Deduction at Source (TDS), Pay Related Social Insurance (PRSI) and Universal Social Charge (USC) from their employees' pay and keep employment records including Revenue payments for each employee.

The responsibility of employers also include:

- Ensure all employees are treated equally in the business and that bullying/harassment does not exist. They must not discriminate when advertising, recruiting or promoting staff.
- Comply with all employment law and give employees a written contract of employment.
- Keep employee records which will help in making decisions about pay rises, promotions and dismissals. The records shall include relevant personal information, Job application form/CV, Employee's behaviour record, Timesheets, Employee's employment contract, Records of PAYE, Tax deduction, PRSI and USC paid and similar information.

How Organisations Influence Ethical Conduct

People choose between right and wrong based on their personal code of ethics. The ethical environment created by their employers also influences them. Poor business ethics can create a very negative image for a company; can be expensive for the firm and/or the executives involved.

Organisations can reduce the potential for the liability claims by leading through example, through various informal and formal programs and by educating their employees about ethical standards.



1. Leading by Example

Employees often follow the examples set by their managers. Leaders and managers establish patterns of behaviour that determine what's acceptable and what's not within the organisation. While Ben Cohen was president of Ben & Jerry's ice cream, he followed a policy that no one could earn a salary more than seven times that of the lowest-paid worker. He wanted all employees to feel that they were equal.

2. Offering Ethics Training Programs

In addition to providing a system to resolve ethical dilemmas, organisations also provide formal training to develop an awareness of questionable business activities and practice appropriate responses. Many companies have some type of ethics training program. The ones that are most effective begin with techniques for solving ethical dilemmas. Next, employees are presented with a series of situations and asked

to come up with the “best” ethical solution. According to a recent survey by the Ethics Resource Centre. Most of the modern organisations across globe provide some sort of ethics training for employees.

3. Establishing a Formal Code of Ethics

Most large companies have created, printed and distributed codes of ethics. In general, a code of ethics provides employees with the knowledge of what their firm expects in terms of responsibilities and behaviour toward fellow employees, customers and suppliers.

Some ethical codes offer a lengthy and detailed set of guidelines for employees. Others are not really codes at all but rather summary statements of goals, policies and priorities. Some companies have their codes framed and hung on office walls, included as a key component of employee handbooks and/or posted on their corporate websites.

If senior management abides by the code of ethics and regularly emphasises the code to employees, then it will likely have a positive influence on behaviour.

4. Whistleblowing

A whistle-blower is a person who exposes any kind of information that reveals illegal, unethical, or not correct activities within an organisation that is either private or public.

Many whistle-blowers have stated that they were motivated to act and put an end to unethical practices after witnessing injustices in their businesses or organisations. In addition to ethics, social and organisational pressures are also motivating forces.

Research have shown that individuals are more likely to blow the whistle when several others know about the wrongdoing, because they would otherwise fear consequences for keeping silent.

The motivation for whistleblowing isn't always virtuous and the outcome isn't always positive either. There are cases involving employees who blew the whistle as an act of revenge against their employer or supervisor, for instance. While it's possible for the whistleblower to be viewed as a “hero” for his/her courage and truth telling, it's also possible to be seen as a traitor or gossip—as just one of the many disgruntled employees who are simply trying to get even for a perceived but imaginary injustice.

One of the barriers to whistleblowing is the belief—widespread in the professional world—that individuals are bound to secrecy within their work sector. Accordingly, whistleblowing becomes a moral choice that pits the employee's loyalty to an employer against the employee's responsibility to serve the public interest. As a result, whistleblower protection laws and regulations have been enacted to guarantee freedom of speech for workers and contractors in certain situations. Whistle-blowers have the right to file complaints that they believe give reasonable evidence of a violation of a law, rule, or regulation; gross mismanagement; gross waste of funds; an abuse of authority; or a substantial and specific danger to public health or safety.

Notes

2.3 CSR

What is Corporate Social Responsibility?

Acting in an ethical manner is the concern of businesses for the welfare of society. It consists of obligations beyond those required by law or union contract. This definition makes two important points.

- First, CSR is both voluntary and law abiding.
- Second, the obligations of corporate social responsibility are broad. They extend beyond investors in the company to include workers, suppliers, consumers, communities and society at large.



Understanding Social Responsibility

Peter Drucker, the late globally respected management expert, said that we should look first at what an organisation does to society and second at what it can do for society. This idea suggests that social responsibility has two basic dimensions: legality and responsibility.

Legal Responsibilities

Corporations must, of course, follow the law. The second level of the pyramid recognizes that legal considerations are also necessary for a corporation's success.

Economic Responsibilities

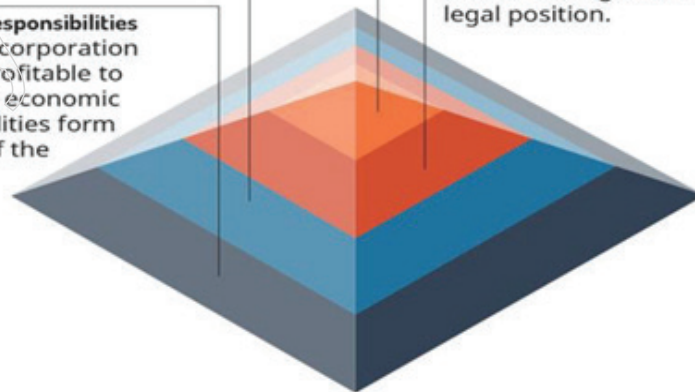
Because a corporation must be profitable to survive, its economic responsibilities form the base of the pyramid.

Philanthropic Responsibilities

The highest level of the triangle, philanthropic responsibilities can be considered only after economic, legal, and ethical responsibilities

Ethical Responsibilities

Resting on the foundation set by economic and legal responsibilities are ethical responsibilities. A corporation can turn its attention to ethical matters only after ensuring its economic and legal position.



The Pyramid of Corporate Social Responsibility

Source: (Attribution: Copyright Rice University, OpenStax, under CC BY 4.0 license.)

Any setup should understand the given responsibilities at attributes of CSR:

1. Responsibilities to Stakeholders

How do businesses meet their social responsibilities to various stakeholders? What makes a company be admired or perceived as socially responsible? Such a company meets its obligations to its stakeholders. Stakeholders are the individuals or groups to whom a business has a responsibility to. The stakeholders of a business are its employees, its customers, the public and its investors.

2. Responsibility to Employees

An organisation's first responsibility is to provide a job to employees. Keeping people employed and letting them have time to enjoy the fruits of their labour is the finest thing business can do for society. Beyond this fundamental responsibility, employers must provide a clean, safe working environment that is free from all forms of discrimination. Companies should also strive to provide job security whenever possible.

Enlightened firms also empower employees to make decisions and suggest solutions to company problems. Empowerment contributes to an employee's self-worth, which, in turn, increases productivity and reduces absenteeism.

3. Responsibility to Customers

To be successful in today's business environment, a company must satisfy its customers. A firm must deliver what it promises, as well as be honest and forthright in everyday interactions with customers. Recent research suggests that many consumers, particularly millennials, prefer to do business with companies and brands that communicate socially responsible messages, utilise sustainable business processes and practice ethical business standards.

4. Responsibility to Society

A business must also be responsible to society. A business provides a community with jobs, goods and services. It also pays taxes that support schools, hospitals and better roads. Some companies have taken an additional step to demonstrate their commitment to stakeholders and society by becoming Certified Benefit Corporations, or B Corps for short.

5. Environmental Protection

Business is also responsible for protecting and improving the world's fragile environment. The world's forests are being destroyed fast. Every second, an area the size of a football field is laid bare. Plant and animal species are becoming extinct at the rate of 17 species per hour. A continent-size hole is opening in the earth's protective ozone shield. Each year we throw out 80 percent more refuse than we did in 1960; as a result, more than half of the nation's landfills are filled. To slow the erosion of the world's natural resources, many companies have become more environmentally responsible. For example, Toyota

Notes

now uses renewable energy sources such as solar, wind, geothermal and waterpower for electricity to run its facilities. When its new \$1 billion North American headquarters opened in Plano, Texas, in May 2017, Toyota said the 2.1 million square-foot campus would eventually be powered by 100% clean energy, helping the auto giant move closer to its goal of eliminating carbon emissions in all its operations. The organisations are abiding by the ISO 14001 standards and adopting rigorous approaches in managing and maintaining the natural environment.

6. Corporate Philanthropy

Companies also display their social responsibility through corporate philanthropy. Corporate philanthropy includes cash contributions, donations of equipment and products and support for the volunteer efforts of company employees. The contribution is intended to uplift the society or overcome the distress of a natural disaster and provide emergency relief. American Express is a major supporter of the Red Cross. The organisation relies almost entirely on charitable gifts to carry out its programs and services, which include disaster relief, armed-forces emergency relief, blood and tissue services and health and safety services. The funds provided by American Express have enabled the Red Cross to deliver humanitarian relief to victims of numerous disasters around the world.

When Hurricane Katrina hit the Gulf Coast, Bayer sent 45,000 diabetes blood glucose monitors to the relief effort. Within weeks of the disaster, Abbott, Alcoa, Dell, Disney, Intel, UPS, Walgreens, Walmart and others contributed more than \$550 million for disaster relief.

7. Responsibilities to Investors

Companies' relationships with investors also entail social responsibility. Although a company's economic responsibility to make a profit might seem to be its main obligation to shareholders, some investors are increasingly emphasising other aspects of social responsibility.

The investors are limiting their investments that coincide with their beliefs on ethical and social responsibility. This is called social investing. For example, a social investment fund might eliminate from consideration the securities of all companies that make tobacco products, liquor, weapons, or have a history of being environmentally irresponsible. Not all social investment strategies are alike. Some ethical mutual funds will not invest in government securities because they help to fund the military; others freely buy government securities, with managers noting that federal funds also support the arts and pay for AIDS research. Today, assets invested using socially responsible strategies total more than \$7 trillion.

Over the last several years, companies have tried to meet their responsibilities to investors as well as to their other stakeholders. In current times, organisations are being held to higher standards by boards of directors, investors, governments, media and even employees when it comes to corporate accountability and ethical behaviour.

Trends in CSR**What are the trends in ethics and corporate social responsibility?**

Important trends related to ethics and corporate social responsibility are:

1. Changes in Corporate Philanthropy

Historically, corporate philanthropy has typically involved companies seeking out charitable groups and giving them money or donating company products or services. Today, the focus has shifted to strategic giving, which ties philanthropy and corporate social responsibility efforts closely to a company's mission or goals and targets donations to the communities where a company does business. The donations are targeted towards uplifting the social standards of the society at large.

2. A Social Contract between Employer and Employee

Another trend in social responsibility is the effort by organisations to redefine their relationship with their employees. Many people have viewed social responsibility as a one-way street that focuses on the obligations of business to society, employees and others.

Now, organisations recognise that the social contract between employer and employee is an important aspect of the workplace and that both groups must be committed to working together for the organisation to prosper. The social contract can be defined in terms of four important aspects: compensation, management, culture and learning and development.

3. The growth of global ethics and corporate social responsibility.

When the businesses expand into global markets, they must take their codes of ethics and policies on corporate social responsibility with them. As a citizen of several countries, a multinational corporation has several responsibilities. These include respecting local practices and customs, ensuring that there is harmony between the organisation's staff and the host population, providing management leadership and developing a solid group of local managers who will be a credit to their community.

When a multinational firm makes an investment in a foreign country, it should commit to a long-term relationship. That means involving all stakeholders in the host country in decision-making. Finally, a responsible multinational will implement ethical guidelines within the organisation in the host country. By fulfilling these responsibilities, the company will foster respect for both local and international laws. Multinational corporations often must balance conflicting interests of stakeholders when making decisions regarding social responsibilities, especially in human rights.

Questions involving child labour, forced labour, minimum wages and workplace safety can be particularly difficult in international operations and shall be dealt with responsibility.

Notes

4. Sustainability

Sustainability has become such an important concept that it is frequently used interchangeably with CSR. Indeed, for some companies it seems that CSR is sustainability. This is perhaps not surprising, given the growing media attention on issues related to sustainability.

Sustainability is a concept derived from environmentalism; it originally referred to the ability of a society or company to continue to operate without compromising the planet's environmental condition in the future. In other words, a sustainable corporation is one that can sustain its current activities without adding to the world's environmental problems.

Sustainability is therefore a very challenging goal and many environmentalists maintain that no corporation today operates sustainably, since all use energy (leading to the gradual depletion of fossil fuels while emitting greenhouse gases) and all produce waste products like garbage and industrial chemicals. Whether or not true sustainability will be attainable soon, the development and promotion of sustainability strategies has become an obsession for most large corporations today, as demonstrated by their websites' inevitable reference to the corporation's sincere commitment to sustainability and responsible environmental practices.

No corporation or corporate executive today will be caught saying they do not really care about the environment. However, if we observe their actions rather than their words, we may have cause for doubt.



2.4 Conflicts of Interest

What Is a Conflict of Interest?

A conflict of interest occurs when an entity or individual becomes unreliable because of a clash between personal (or self-serving) interests and professional duties or responsibilities. Such a conflict occurs when a company or person has a vested interest—such as money, status, knowledge, relationships, or reputation—which puts into question whether their actions, judgment and/or decision-making can be unbiased.

When such a situation arises, the party is usually asked to remove themselves and it is often legally required of them.



- A conflict of interest occurs when a person's or entity's vested interests raise a question of whether their actions, judgment and/or decision-making can be unbiased.
- In business, a conflict of interest arises when a person chooses personal gain over duties to their employer, or to an organisation in which they are a stakeholder or exploits their position for personal gain in some way.
- Conflicts of interest often have legal ramifications.

Understanding Conflict of Interest

A conflict of interest in business normally refers to a situation in which an individual's personal interests' conflict with the professional interests owed to their employer or the company in which they are invested. A conflict of interest arises when a person chooses personal gain over the duties to an organisation in which they are a stakeholder or exploits their position for personal gain in some way. All corporate board members have fiduciary duties and a duty of loyalty to the corporations they oversee. If one of the directors chooses to take action that benefits them at the detriment of the firm, they are harming the company with a conflict of interest.

One example might be the board member of a property insurance company who votes on the induction of lower premiums for companies with fleet vehicles—when they, in fact, own a truck company. Even if the institution of lower premiums isn't a bad business move for the insurer, it could still be considered a conflict of interest because the board member has a special interest in the outcome.

In legal circles, representation by a lawyer or party with a vested interest in the outcome of the trial would be considered a conflict of interest and the representation would not be allowed. Additionally, judges who have a relationship with one of the parties involved in a case or lawsuit will recuse themselves from presiding over the case.

Common Types of Conflicts of Interest

Self-Dealing: Self-dealing is the most common type of conflict of interest in the business world. It occurs when a management-level professional accepts a transaction from another organisation that benefits the manager and harms the company or the company's clients.

Gifting: Gift issuance is also a very common conflict of interest. It happens when a corporate manager or officer accepts a gift from a client or a similar type of person. Companies normally circumvent this issue by prohibiting gifts from customers to individual employees.

Insider Trading: Troublesome situations may also arise when, in the course of professional duties, an individual collects confidential information. Any information of this type used for personal gain by an employee is a huge conflict of interest. The financial industry constantly grapples with this type of conflict of interest in the form of insider trading.

Notes

Nepotism: Finally, the hiring of, or showing favourable workplace treatment to, a relative or spouse—known as nepotism—can result in a potential conflict of interest.

2.5 Managing Boundaries and Multiple Relationships (Socialising with Current or Former Clients, Making Referrals)

What are Personal Boundaries?

Personal boundaries are the physical, emotional and mental limits people use to protect themselves from being drawn too much into their clients' lives and from being manipulated or violated by others.

They allow professionals to maintain psychological safety for themselves and their clients and make objective decisions about the therapeutic process to most effectively assist clients to achieve their goals.



Without these personal boundaries, professionals can run the risk of getting too involved in clients' issues and wanting to “rescue” their client from their situation. While workers cannot “rescue” their clients, they can work with clients to help them achieve their goals, which may include supporting them to change their situation.

What are Professional Boundaries?

Professional boundaries are the legal, ethical and organisational frameworks that protect both clients and employees, or workers, from physical and emotional harm and help to maintain a safe working environment. Sometimes we encounter challenging situations in our therapeutic work, which can make maintaining these boundaries difficult. For example, if a client:

- Offers you gifts
- Invites you to a social function
- Wants to extend your relationship beyond the service provided, e.g., be your friend
- Divulges information, which is not relevant to the business goals.

Situations such as these require workers to have a clear understanding of their role and ethical principles and the organisation's policies and code of conduct. It is also important for workers to be clear and assertive with clients about the boundaries of their role. They should also be clear about what is appropriate behaviour for conducting the business.

Consideration for Maintaining Professional and Personal Boundaries

- **Expectations** - Set clear expectations with clients at the beginning of the process about what they can expect from you, as the professional and what you expect

from them, as the client. This includes acceptable behaviours, mutual respect and a commitment to the therapeutic process.

- **Your role** - Be clear about your role and its limits.
- **Assertiveness** - Be assertive and let clients know if they are behaving inappropriately.
- **Clear relationship** - Only have one relationship at a time with a client, wherever possible. Having both a professional relationship and a personal friendship with a client at the same time can make it difficult to maintain boundaries and a safe and appropriate working environment.
- **Personal information** - Avoid disclosing your personal information to a client.
- **Unnecessary information** - Do not seek unnecessary information from the client that is not relevant to the therapeutic process.
- **Objectivity** - Maintain your objectivity with clients.
- **Triggers** - Understand how to recognise and manage your triggers.
- **Privacy and confidentiality** - Maintain your clients' privacy and confidentiality.
- **Critical reflection** - Engage in regular critical reflection of your work.

Socialising at a Work with Clients

One should be very cautious when it comes to socialising with current or former clients. Socialising with colleagues, clients or bosses during and beyond work for conducting a business can be challenging. There are certain actions that one can take to make the right impression and to make the event enjoyable for all without challenging the business protocols.

- **Keep the conversation appropriate:** Do not tell jokes at a party or gathering that one would never tell in the office. Offending the team members may make them uncomfortable and could hurt their feelings and that is something they may not forget anytime soon.
- **Discuss non-work topics:** Aim to keep the conversation away from business. Get to know the team – ask them about their hobbies, families and interests. Talking about the report one just wrote, or discussing his recent promotion, can be boring or annoying!
- **Be a listener, not a talker:** Most people feel special when someone really listens to what they say. If you're the one doing all the talking, people may perceive you as selfish and self-centred. So, listen first and talk second.
- **Spend time with new people:** Company events are a great way to get to know colleagues and clients and bond as a group. Move around and get to know people that are associated with the client which will make the client think positively about your abilities as a communicator.

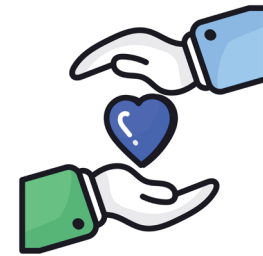
Notes

- **Relax... but not too much:** Be yourself and have fun, but don't relax so much that you say or do something you'll regret the next day. You may feel more comfortable with your co-workers, but this doesn't mean you can let go of all self-control. You still must maintain your reputation and keep the respect of others. Remember that you're representing your company, so dress appropriately and be respectful of everyone else.
- **Deal with inappropriate behaviour, appropriately:** If you see a co-worker behaving inappropriately at the event, you should speak to the person and make him comfortable. Do not call out the misconduct publicly as this could start an argument, which will not do you any favours.

2.6 Organisational Loyalty

What is Organisation Loyalty?

The relationship between employee and employer is changing, especially our understanding of commitment and loyalty. An ethical employee owes the company a good day's work and his or her best effort, whether the work is stimulating or dull. A duty of loyalty and our best effort are our primary obligations as employees, but what they mean can change. A manager who expects a twentieth-century concept of loyalty in the twenty-first century may be surprised when workers express a sense of entitlement, ask for a raise after six months, or leave for a new job after twelve months. Let us understand a wide range of issues from the perspective of what and how employees contribute to the overall success of a business enterprise.



Loyalty

A Duty of Loyalty

Hard work and our best effort likely make sense as obligations we owe an employer. However, loyalty is more abstract and less easily defined. Most workers do not have employment contracts, so there may not be a specific agreement between the two parties detailing their mutual responsibilities.

Instead, the common law of agency in the state is often the source of the rules governing an employment relationship. The usual depiction of duty in common law is the duty of loyalty, which requires that an employee refrain from acting in a manner contrary to the employer's interest.

This duty creates some basic rules employees must follow on the job and provides employers with enforceable rights against employees who violate them. In general terms, the duty of loyalty means an employee is obligated to render "loyal and faithful" service to the employer, to act with "good faith," and not to compete with but rather to advance the employer's interests.

The employee must not act in a way that benefits him- or herself (or any other third party), especially when doing so would create a conflict of interest with the employer. The common law of most states holds a general rule that, without asking for and receiving the employer's consent, an employee cannot hold a second job if it would compete or conflict with the first job.

Antecedents of loyalty

1. **Implicit Social Contract:** The older workers are anticipated spending ten years or even an entire career with one employer, relying on an implicit social contract between employer and employee that rewarded lifetime employment. Currently, about nine in ten millennials (91 percent) say they do not expect to stay with their current job longer than three years,
2. **Working for the Current Organisation is the Best Option:** The Loyalty Research Centre, a consulting firm, defines loyal employees as "being committed to the success of the organisation. They believe that working for this organisation is their best option and loyal employees do not actively search for alternative employment and are not responsive to offers."
3. **Organisational Care:** If there is less a sense that the organisation is going to look after you in the way that it used to, the uncertainty would lead to expect a reduction in loyalty.
4. **Loyalty is a Two-way Street:** Loyalty is a feeling developed through the enactment of mutual obligations and responsibilities between employer and employees. However, most employers do not want to be obligated to their workers in a legal sense; they usually require that almost all workers are employees "at will," that is, without any long-term employment contract. So, when a company says an employee is employed at will, it is sending a message that management is not making a long-term commitment to the employee. Employees may naturally feel less loyalty to an organisation from which they believe they can be let go at any time and for any legal reason.
5. **Emoluments and Career Decision:** One of the major reasons, the concept of loyalty to an organisation seems to be changing at all levels, is the important role money plays in career decisions. When subordinates see chief executive officers (CEOs) and other managers leaving to work for the highest bidder, subordinates quickly conclude that they, too, ought to look out for themselves, just as their bosses do, rather than trying to build up seniority with the company. Switching jobs can often be a way for employees to improve their salaries.
6. **Meaning in the Work:** Beyond money, workers seek meaning in their work and it is largely true that money alone does not motivate employees to higher performance. For some employees, simply being acknowledged and thanked for their service and good work can go a long way toward sparking their loyalty; for others, more concrete rewards may be necessary. However, it is a mistake for managers to think money is not a central factor influencing employees' job satisfaction. Money matters because if

Notes

employees are not making enough money to meet their financial obligations or goals, they will likely be looking to for a higher-paying job.

- 7. The Independent Status:** Many people work for themselves as freelance or contract workers in the new knowledge economy. They may take assignments from one or more companies at a time and are not employees in the traditional sense of the word. Therefore, it seems more reasonable that they would approach work as a certified professional and completing a professional job for a client, after which they move on the next client, always keeping their independent status. These experts are not expected to be bonded with the employer as they are not the employees.

Loyalty and Confidentiality

In the competitive world of business, many employees encounter information in their day-to-day work that their employers reasonably expect they will keep confidential.

Proprietary information, the details of patents and copyrights, employee records and salary histories and customer-related data are valued company assets that must remain in-house, not in the hands of competitors, trade publications, or the news media. Employers are well within their rights to expect employees to honour their duty of confidentiality and maintain the secrecy of such proprietary material.



Sometimes the duty of confidentiality originates specifically from an employment contract, if there is one and if not, the duty still exists in most situations under the common law of agency. Employers also want to protect their trade secrets, that is, information that has economic value because it is not generally known to the public and is kept secret by reasonable means. Trade secrets might include technical or design information, advertising and marketing plans and research and development data that would be useful to competitors.

Often nondisclosure agreements are used to protect against the theft of all such information, most of which is normally protected only by the company's requirement of secrecy, not by the intellectual property law. The central law generally protects registered trademarks (commercial identifications such as words, designs, logos, slogans, symbols and trade dress, which is product appearance or packaging) and grants creators copyrights (to protect original literary and artistic expressions such as books, paintings, music, records, plays, movies and software) and patents (to protect new and useful inventions and configurations of useful articles).

Registered trademarks and content covered by patents and copyrights are protected by law, but trade secrets have no official status and so do not enjoy the same level of law protection. Thus, companies generally protect trade secrets internally, usually with employment agreements or contracts. The multinational companies have started using

various agreements to provide another layer of confidentiality, ensuring that employees with access to sensitive information will not compete with the company during or for some period after their employment there.

The stated purpose of such agreements is to protect the company's intellectual property, which is the manifestation of original ideas protected by legal means such as patent, copyright, or trademark. Common clauses found in employment contracts include those restricting competition and solicitation upon termination of the contract, as well as requiring confidentiality during and after employment.

Non-Compete Clause

The Employee agrees that for a period of one year after the Employee no longer works for the Company, the Employee will not engage in the same or similar activities as were performed for the Company in any business within a 100-mile radius of the Company.

No solicitation of Customers/Employees Clause

The Employee agrees that for a period of two years after the Employee no longer works for the Company, the Employee will not solicit customer, clients, and/or employees of the Company.

Confidentiality/ Non-Disclosure Clause

Employee agrees that during employment with the Company and following the termination of such employment for an unlimited term, the Employee shall not misappropriate, divulge, disclose, or make use of any confidential information, intellectual property, or trade secrets.

Although employee's and employers' concepts of loyalty have changed, it is reasonable to expect workers to have a basic sense of responsibility to their company and willingness to protect a variety of important assets such as intellectual property and trade secrets. Current employees should not compete with their employer in a way that would violate conflict-of-interest rules and former employees should not solicit previous customers or employees upon leaving employment. To summarise, it is reasonable to expect workers to have a basic sense of responsibility to their company and willingness to protect a variety of important assets such as intellectual property and trade secrets. Current employees should not compete with their employer in a way that would violate conflict-of-interest rules and former employees should not solicit previous customers or employees upon leaving employment.

2.7 Ethnocentrism Vs. Cultural Relativism

In an increasingly interconnected world, understanding diverse cultural perspectives is essential for promoting mutual respect, social harmony and global cooperation. Ethnocentrism and cultural relativism are two key concepts that shape how individuals

Notes

perceive and interpret other cultures. While they offer distinctly different viewpoints, both are crucial for comprehending their meanings, implications and differences, particularly for those studying Anthropology, Sociology, intercultural interactions and globalisation.

Ethnocentrism: The Viewpoint of Superiority

Definition and Meaning

Ethnocentrism refers to the tendency to evaluate and judge other cultures using the standards, values and norms of one's own culture. The concept was introduced in 1906 by American anthropologist William Graham Sumner, who described it as a biased mindset in which individuals view their own culture as superior while considering other cultures as inferior, abnormal, or less developed.



Characteristics of Ethnocentrism

- **Cultural Bias:** Preference for one's own cultural beliefs, customs and practices.
- **Sense of Superiority:** The belief that one's culture represents the most advanced or correct way of life.
- **Judgment and Stereotyping:** Formation of negative generalisations or stereotypes about other cultural groups.
- **Cultural Insensitivity:** Limited respect or appreciation for cultural diversity and differences.
- **Hindered interactions:** Reduced effectiveness in communication, cooperation and mutual understanding across cultures.

Examples of Ethnocentrism

- **Language Superiority:** Assuming that one's native language is superior, resulting in communication barriers.
- **Cultural Traditions:** Viewing local customs, rituals, or festivals of other cultures as strange or primitive.
- **Dietary Choices:** Considering vegetarian or non-meat-eating cultures as inferior or unhealthy.
- **Religious Practices:** Treating beliefs and rituals of other religions as incorrect or misguided.
- **Fashion and Lifestyle:** Judging traditional clothing or lifestyles as outdated or unusual.

Origins of the Concept

While William Graham Sumner formally introduced the term, ideas related to ethnocentrism can be traced to earlier thinkers such as Charles Darwin, whose emphasis on group loyalty and in-group cooperation helped explain how distinctions between social and cultural groups develop.

Why Is Ethnocentrism Problematic?

Although ethnocentrism can strengthen cultural identity, it often results in prejudice, discrimination, conflict and social division. It obstructs cultural exchange and mutual understanding, promoting hostility rather than harmony. Ethnocentric thinking may also influence political decision-making and negatively affect both international relations and internal social cohesion.

Key Impacts Include:

- Disregard or dismissal of other cultures
- Reinforcement of stereotypes
- Contribution to racial and ethnic discrimination

Cultural Relativism: The Empathetic Perspective

Definition and Meaning

Cultural relativism emphasises understanding cultural practices and beliefs within their own social and cultural context, rather than judging them based on external standards. Originating in anthropology and sociology, it promotes the idea that cultural norms and values are meaningful and valid within the environments in which they develop.

Core Principles

- **Respect for Diversity:** Acknowledges that moral values and customs differ across cultures.
- **No Universal Judgment:** Avoids labelling cultural practices as universally right or wrong.
- **Opposition to Ethnocentrism:** Encourages empathy and understanding instead of cultural superiority.
- **Understanding Context:** Recognises that culture is shaped by historical, geographical and social influences.

Examples of Cultural Relativism

- **Dress Codes:** Respecting cultural attire such as headscarves or traditional clothing.
- **Dietary Customs:** Accepting practices like vegetarianism or halal food as culturally rooted.

Notes

- **Family Structures:** Understanding joint family systems in India compared to nuclear families in Western societies.
- **Greetings and Gestures:** Respecting customs such as bowing in Japan or handshakes in Western cultures.
- **Perceptions of Time:** Acknowledging cultural differences in punctuality and time management.

Types of Cultural Relativism

- **Absolute Cultural Relativism:** Holds that no cultural practice should be criticised, as all practices are shaped by cultural context.
- **Critical Cultural Relativism:** Adopts a balanced approach by recognising cultural context while also considering human rights, power relations and ethical concerns, allowing for limited critique.

Significance and Application

Cultural relativism plays a vital role in anthropology, sociology and intercultural relations by promoting acceptance, respect and deeper understanding of human diversity. It helps interpret cultural practices without bias and reduces ethnocentric judgments that often lead to misunderstanding and conflict. By encouraging empathy and contextual analysis, cultural relativism contributes to more harmonious global interactions.

The key distinctions between Ethnocentrism and Cultural Relativism revolve around how cultures are perceived, evaluated and understood, particularly in terms of judgment, attitudes and interpretation of cultural practices, as shown in the table below.

Aspect	Ethnocentrism	Cultural Relativism
Meaning	Evaluating other cultures using one's own cultural norms and standards, often viewing one's culture as superior	Interpreting and understanding cultures within their own social and cultural context, without external judgment
Attitude	Subjective, critical and frequently dismissive of cultural differences	Open-minded, respectful and empathetic toward cultural diversity
Viewpoint	Assumes cultural superiority and prioritises one's own way of life	Emphasises equality and validity of different cultural values
Consequences	May result in prejudice, discrimination, misunderstanding and conflict	Encourages tolerance, acceptance and effective intercultural interaction
Illustration	Considering Western lifestyles or practices as more advanced than others	Respecting and valuing diverse dietary customs without bias

Critical Analysis

Ethnocentrism is grounded in cultural bias and frequently contributes to social tension and conflict, whereas cultural relativism promotes respect for diversity and cross-cultural understanding. However, when applied to ethics, cultural relativism is sometimes criticised for potentially legitimising harmful practices if they are assessed only within their cultural framework. For instance, critics argue that it may be used to defend practices such as female genital mutilation in the name of cultural tradition. Therefore, ethical evaluation often requires a balanced approach—one that acknowledges cultural differences while simultaneously safeguarding fundamental human rights.

2.8 Case Study**Case Study: Cultural Perspectives in a Multinational Workplace****Background**

Global Tech Solutions is a multinational IT consulting firm with offices in India, the United States and Japan. The company encourages cross-border teamwork and employees from different cultural backgrounds frequently collaborate on international projects.

The Scenario

During a project meeting in the U.S. office, Rohan Sharma, a software engineer from India, joins the team wearing traditional attire on a cultural festival day. Some team members perceive his clothing as unprofessional and outdated. They also express discomfort when Rohan declines non-vegetarian food at a team lunch, assuming his dietary choice limits his adaptability to the workplace culture.

At the same time, Aiko Tanaka, a Japanese team member, prefers bowing slightly during greetings rather than shaking hands. This behaviour is misinterpreted by a few colleagues as a lack of confidence or engagement.

Ethnocentric Response

Certain team members evaluate these behaviours using their own cultural standards, assuming Western dress codes, food habits and greeting styles to be superior. These judgments reflect ethnocentrism, leading to subtle stereotyping, reduced collaboration and communication barriers within the team.

Cultural Relativist Approach

The project manager, Ms. Laura Mitchell, addresses the situation by encouraging the team to understand cultural practices within their respective contexts. She explains that traditional attire, dietary choices and greeting customs are culturally meaningful and do not affect professional competence. By promoting cultural relativism, she fosters respect for diversity and emphasises that different cultural norms are equally valid.

Notes

Outcome

Following this discussion, team members become more inclusive and respectful. Collaboration improves, misunderstandings reduce and the team successfully completes the project. Employees gain a deeper appreciation of cultural diversity, leading to a more harmonious and productive work environment.

Conclusion

This case highlights how ethnocentrism can create bias and hinder cooperation, while cultural relativism supports empathy, acceptance and effective intercultural interaction. Understanding cultural practices in context helps organisations build inclusive workplaces and strengthen global collaboration.

Summary

- Employees might utilise a professional code of ethics as a set of rules to help them make excellent judgments in the workplace. It enables you to establish a standard for what is socially acceptable and how professionals should address issues.
- It takes time to develop a professional code of ethics, but it can assist your organisation's workers operate honestly and with integrity, which may lead to a more peaceful workplace. A right is something you have the legal right to, while responsibility is something you should do.
- Businesses care about the well-being of society when they act ethically. It comprises of commitments that go beyond what is required by law or by a collective bargaining agreement. The employee-employer relationship is evolving, as is our concept of commitment and loyalty.
- As workers, we have a duty of loyalty and to give our best effort, but what those terms mean might alter.
- Personal boundaries are the physical, emotional and mental boundaries that people set to safeguard themselves from being too involved in their clients' lives, as well as from being deceived or abused by others.
- They enable professionals to preserve psychological safety for themselves and their clients, as well as make objective judgments regarding the therapy process to help clients reach their objectives more successfully.

Glossary

- **Professional Code of Ethics:** A professional code of ethics is a set of principles designed to help professionals distinguish right from wrong to govern their decision-making.

- **Right:** A right is something you are entitled to receive, e.g. to be treated in a fair, ethical and legal way. **Responsibility:** A responsibility is a duty or something you should do, e.g. to treat others with respect.
- **Whistleblowing:** A whistle-blower is a person who exposes any kind of information that reveals illegal, unethical, or not correct activities within an organisation that is either private or public.
- **Corporate Social Responsibility:** Acting in an ethical manner is the concern of businesses for the welfare of society. It consists of obligations beyond those required by law or union contract.

Check Your Understanding

1. **The three elements of fraud triangle are:**
 - a. Pressure, Weakness, Justification
 - b. Position, Opportunity, Rationalisation
 - c. Pressure, Opportunity, Rationalisation
 - d. Position, Weakness, Justification
2. **IMA's Ethical Principles include:**
 - a. Honesty, Fairness, Objectivity and Responsibility
 - b. Honesty, Truthfulness
 - c. Honesty, Fairness, Transparency and Responsibility
 - d. Honesty, Truthfulness, Transparency and Accountability
3. **To be covered by whistleblowing, a worker must reasonably believe that the disclosure should be:**
 - a. Criminal offences, failure to comply with an obligation set out in law
 - b. Miscarriages of justice, endangering of someone's health and safety
 - c. Both a and b
 - d. None of the above
4. **Whistle blowing is not justified unless:**
 - a. The individual has exhausted all external channels for dissent
 - b. The individual has exhausted all public channels for dissent
 - c. The individual has exhausted all government channels for dissent
 - d. The individual has exhausted all internal channels for dissent

Notes

5. Which of the following are the part of corporate social responsibility to consumers are:

- Reasonable chances and a proper system for accomplishment and promotion
- To supply goods at reasonable price even when there is seller's market
- Improving the efficiency of the business operations
- To provide an opportunity for being heard and redress genuine grievances

Exercise

- Explain the importance of professional ethical codes in maintaining integrity and accountability within organisations.
- Discuss workplace rights and responsibilities with special reference to whistle blowing and its ethical implications.
- Analyse the role of Corporate Social Responsibility (CSR) in promoting ethical business practices.
- What is a conflict of interest? Explain how conflicts of interest can affect professional decision-making and organisational trust.
- Differentiate between ethnocentrism and cultural relativism, highlighting their impact on ethical behaviour in a global work environment.

Learning Activities

- Review a short case involving professional ethical codes, whistle blowing, or conflicts of interest. Identify the rights and responsibilities of employees, discuss the role of organisational loyalty and suggest ethically appropriate actions based on professional standards.
- Examine a brief scenario involving ethnocentrism vs. cultural relativism and issues such as socialising with clients or managing multiple relationships. Discuss how cultural perspectives influence ethical behaviour and propose strategies for maintaining professional boundaries while respecting diversity.

Check Your understanding- Answer

- c
- a
- c
- d
- c

Further Readings and Bibliography

- Boatright, J. R. (2012). *Ethics and the conduct of business*. Pearson Education.
- Carroll, A. B. and Buchholtz, A. K. (2015). *Business and society: Ethics, sustainability and stakeholder management*. Cengage Learning.
- Ferrell, O. C., Fraedrich, J. and Ferrell, L. (2021). *Business ethics: Ethical decision making and cases*. Cengage Learning.
- Treviño, L. K. and Nelson, K. A. (2021). *Managing business ethics: Straight talk about how to do it right*. Wiley.
- Velasquez, M. G. (2018). *Business ethics: Concepts and cases*. Pearson Education.



AMITY
UNIVERSITY
ONLINE

Notes**Module 3: Ethical Considerations****Learning Objectives**

At the end of the module, you will be able to:

- Define the legal aspects of professional ethics
- Understand intellectual property rights and confidentiality
- Interpret principles of natural justice
- Understand the concept of working with minors
- Explain the redressal mechanism

Introduction

Professional ethics are principles that govern the behaviour of a person or group in a business environment. Like values, professional ethics provide rules on how a person should act towards other people and institutions in such an environment.

Unlike values, professional ethics are often codified as a set of rules, which a particular group of people use. This means that all those in a particular group will use the same professional ethics, even though their values may be unique to each person.

3.1 Legal Aspects of Professional Ethics

Ethical principles underpin all professional codes of conduct. Ethical principles may differ depending on the profession; for example, professional ethics that relate to medical practitioners will differ from those that relate to lawyers or real estate agents. However, there are some universal ethical principles that apply across all professions, including:

- Honesty
- Trustworthiness
- Loyalty
- Respect for others
- Adherence to the law
- Doing good and avoiding harm to others
- Accountability

1. **Non-Admirable:** Conduct may be non-admirable, or even repellent, but not be civilly actionable or criminal. Such conduct also might not be professionally unethical,



malpractice, or contrary to the licensing law. This category could include activities outside the professional realm (e.g., knowing membership in a discriminatory club or defrauding the purchaser in selling one's home), as well as professional conduct that does not transgress a specific rule (such as never entertaining less affluent clients or constantly belittling colleagues). Some non-admirable conduct, of course, does violate civil laws, criminal law, or ethics rules.

2. **Civil Action** - Conduct may be civilly actionable (that is, it confers on the party harmed the right to sue for money damages or another remedy). Some such conduct will be outside professional ethics rules, malpractice standards, licensing laws, or criminal laws (e.g., failure to deliver a book manuscript despite receiving an advance or breaching an HMO contract). But some civilly actionable conduct also violates these other systems of standards, such as violating confidentiality or billing fraudulently.
3. **Criminal Conduct** - Conduct may be criminal or unlawful but not malpractice, not a violation of a professional's licensure statute and not contrary to a profession's ethics code. This would include conduct that is primarily personal and not professional (such as violating a court order concerning custody of children) and crimes not involving "moral turpitude," which often are not covered by the licensing laws (such as disturbing the peace). Conduct may also be unlawful but not criminal (such as most income tax evasion) without necessarily triggering these other sanctions. However, spousal abuse, use of controlled substances, or driving while intoxicated may well trigger licensure or ethics proceedings.
4. **Unethical Conduct** - Conduct may be unethical, but not contrary to the licensing statute and not an act of malpractice. For example, it may be "unethical" in a broad sense to take on so many clients that one really is not performing up to one's true capacity.
5. **Contrary to Licensing Statutes** - Conduct may be both unethical and a violation of the licensing law—for example, false advertising.
 - Conduct may violate the licensing law but not be unethical or malpractice—for example, forgetting to file reports with the state board.
 - Conduct may be unethical and malpractice but not violate the licensing law. This would be a rare case. There are harmless technical ethics violations and mistaken or biased jury verdicts in malpractice cases, so that all such events should not trigger licensure sanctions.
 - Conduct may be unethical, contrary to the licensing law and malpractice, such as an establishing relationship with clients.
 - Conduct might conceivably be deemed to be malpractice and a violation of the licensing law but not be unethical in a broad sense. This could be a single case of erroneous diagnosis by an otherwise meticulous practitioner, which nevertheless resulted in a jury finding of negligence.
6. **Malpractice** - Conduct may be malpractice but not unethical or contrary to the licensing statute. If a competent, conscientious professional makes a poor decision, a jury might

Notes

find him or her “negligent.” But it is only by stretching the concept of “ethics” to the breaking point that one could consider him or her as “unethical” merely based on one incident

3.2 Understanding IPR & Confidentiality Breaches

Intellectual Property – refers to creations of the mind, such as inventions; literary and artistic works; designs; and symbols, names and images. Intellectual Property rights provide protection for creations and inventions, to enable creators and inventors to earn recognition and financial benefit from their work.



Types of Intellectual Property

The Types of Intellectual Properties are stated herewith:

1. Copyrights

“Copyright” literally means the right to copy but has come to mean that body of exclusive rights granted by law to copyright owners for protection of their work. Copyright protection does not extend to any idea, procedure, process, system, title, principle, or discovery. Copyright, a form of intellectual property law, protects original works of authorship including literary, dramatic, musical and artistic works, such as poetry, novels, movies, songs, computer software and architecture. Copyright is the right to copy. This means that the original creators of products and anyone they give authorisation to, are the only ones with the exclusive right to reproduce the work. A Copyright is granted for 60 years.

What can be protected using copyright? - Broadly speaking, works commonly protected by copyright throughout the world include:

- Literary works such as novels, poems, plays, reference works, newspaper articles
- Computer programs, databases
- Films, musical compositions and choreography
- Artistic works such as paintings, drawings, photographs and sculpture
- Architecture and
- Advertisements, maps and technical drawings

Copyright protection extends only to expressions and not to ideas, procedures, methods of operation or mathematical concepts as such. Copyright may or may not be available for several objects such as titles, slogans, or logos, depending on whether they contain sufficient authorship. What rights does copyright gives the author? - There are two types of rights under copyright:

A. Economic rights, which allow the rights owner to derive financial reward from the use of their works by others; and

B. Moral rights, which protect the non-economic interests of the author

Most copyright laws state that the rights owner has the economic right to authorise or prevent certain uses in relation to a work or, in some cases, to receive remuneration for the use of their work. The economic rights owner of a work can prohibit or authorise:

- Its reproduction in various forms, such as printed publication or sound recording
- Its public performance, such as in a play or musical work
- Its recording, for example, in the form of compact discs or DVDs
- Its broadcasting, by radio, cable or satellite
- Its translation into other languages; and
- Its adaptation, such as a novel into a film screenplay. Examples of widely recognised moral rights include the right to claim authorship of a work and the right to oppose changes to a work that could harm the creator's reputation

2. Patents

A patent is an exclusive right granted for an invention, which is a product or a process that provides a new way of doing something, or offers a new technical solution to a problem. A patent protection is granted for a limited period, generally 20 years from the filing date of the application. Protection offered through

Patent - In principle, the patent owner has the exclusive right to prevent or stop others from commercially exploiting the patented invention. In other words, patent protection means that the invention cannot be commercially made, used, distributed, imported or sold by others without the patent owner's consent.

3. Trademarks

A trademark is a sign capable of distinguishing the goods or services of one enterprise from those of other enterprises. The term trademark refers to a recognisable insignia, phrase, word, or symbol that denotes a specific product and legally differentiates it from all other products of its kind. A trademark exclusively identifies a product as belonging to a specific company and recognises the company's ownership of the brand. A trademark is allotted for a period of 10 years.



What constitute a trademark - A word or a combination of words, letters and numerals can perfectly constitute a trademark. However, trademarks may also consist of drawings, symbols, three-dimensional features such as the shape and packaging of goods, non-visible signs such as sounds or fragrances, or colour shades used as distinguishing features – the possibilities are almost limitless.

Notes

Rights that trademark registration provides - a trademark registration will confer an exclusive right to the use of the registered trademark. This implies that the trademark can be exclusively used by its owner or licensed to another party for use in return for payment. Registration provides legal certainty and reinforces the position of the right holder, for example, in case of litigation.

4. Trade Secrets

In general, to qualify as a trade secret, the information must be:

- Commercially valuable because it is secret
- Be known only to a limited group of persons and
- Be subject to reasonable steps taken by the rightful holder of the information to keep it secret, including the use of confidentiality agreements for business partners and employees

The unauthorised acquisition, use or disclosure of such secret information in a manner, contrary to honest commercial practices by others, is regarded as an unfair practice and a violation of the trade secret protection. A trade secret has an eligibility of 20 years. Information that is protected by a trade secret - In general, any confidential business information which provides an enterprise a competitive edge and is unknown to others may be protected as a trade secret.

Trade secrets encompass both technical information, such as information concerning manufacturing processes, pharmaceutical test data, designs and drawings of computer programs and commercial information, such as distribution methods, list of suppliers and clients and advertising strategies.

A trade secret may be also made up of a combination of elements, each of which by itself is in the public domain, but where the combination, which is kept secret, provides a competitive advantage. Other examples of information that may be protected by trade secrets include financial information, formulas and recipes and source codes.



Protection offered by Trade Secret - Depending on the legal system, the legal protection of trade secrets forms part of the general concept of protection against unfair competition or is based on specific provisions or case law on the protection of confidential information. While a final determination of whether trade secret protection is violated or not depends on the circumstances of each individual case, in general, unfair practices in respect of secret information include industrial or commercial espionage, breach of contract and breach of confidence.

A trade secret owner, however, cannot stop others from using the same technical or commercial information, if they acquired or developed such information independently by themselves through their own R&D, reverse engineering or marketing analysis, etc.

Since trade secrets are not made public, unlike patents, they do not provide “defensive” protection, as being prior art. For example, if a specific process of producing Compound X has been protected by a trade secret, someone else can obtain a patent or a utility model on the same invention, if the inventor arrived at that invention independently.

5. Industrial Designs

An industrial design constitutes the ornamental aspect of an article. An industrial design may consist of three-dimensional features, such as the shape of an article, or two-dimensional features, such as patterns, lines or colour. Protection through industrial designs - The owner of a registered industrial design or of a design patent has the right to prevent third parties from making, selling or importing articles bearing or embodying a design which is a copy, or substantially a copy, of the protected design, when such acts are undertaken for commercial purposes.

What it covers? - Industrial designs are applied to a wide variety of products of industry and handicraft items: from packages and containers to furnishing and household goods, from lighting equipment to jewellery and from electronic devices to textiles. Industrial designs may also be relevant to graphic symbols, graphical user interfaces (GUI) and logos.

6. Geographical Indications

A geographical indication (GI) is a sign used on products that have a specific geographical origin and possess qualities or a reputation that are due to that origin. To function as a GI, a sign must identify a product as originating in each place. In addition, the qualities, characteristics or reputation of the product should be essentially due to the place of origin. Since the qualities depend on the geographical place of production, there is a clear link between the product and its original place of production.

Rights provided by Geographical Indication - A geographical indication right enables those who have the right to use the indication to prevent its use by a third party whose product does not conform to the applicable standards.

For example, in the jurisdictions in which the Darjeeling geographical indication is protected, producers of Darjeeling tea can exclude use of the term “Darjeeling” for tea not grown in their tea gardens or not produced according to the standards set out in the code of practice for the geographical indication. However, a protected geographical indication does not enable the holder to prevent someone from making a product using the same techniques as those set out in the standards for that indication.

Protection for a geographical indication is usually obtained by acquiring a right over the sign that constitutes the indication. What is covered under Geographical Indications? - Geographical indications are typically used for agricultural products, foodstuffs, wine and spirit drinks, handicrafts and industrial products.

Notes

Objectives of Intellectual Property

The main objective of intellectual property law is to encourage innovation and to provide incentives for innovation by granting protection to inventors that will allow them to recover research and development investments and reap the benefits of their inventions for a limited period. Why is IPR Important? Intellectual property protection is critical to fostering innovation. Without protection of ideas, businesses and individuals would not reap the full benefits of their inventions and would focus less on research and development.



Why promote and protect Intellectual Property?

There are several reasons for promoting and protecting intellectual property. Some of them are:

- Progress and the good of humanity remain in the ability to create and invent new works in the field of technology and culture
- IP protection encourages publication, distribution and disclosure of the creation to the public, rather than keeping it a secret
- Promotion and protection of intellectual Property promote economic development, generates new jobs and helps industries
- Intellectual Property helps in balancing the innovator's interests and public interest, provide an environment where innovation, creativity and invention can flourish and benefit all

Nature & Characteristics of Intellectual Property Rights

1. Intangible property.

- IP does not cover the created physical object but retains the conceptual development behind the physical object
- IP is about a person's ability to produce a new idea and put it before the public. The product does not have any property as such but the strength, judgment and initiative of the mind that is included in the product

2. Rights & Duties.

The owner of the IP has the right to perform certain functions in relation to his work/product. He has the exclusive right to produce the work, make copies of the work, market work, etc. There is also a negative right to prevent third parties from exercising their statutory rights.

3. Creation of Statute.

- Intellectual property is derived from common law and it is covered under specific laws
- In accordance with relevant legislation, IPRs are statutory rights
- Intellectual property, to put it differently, is statute formation
- The right holder is protected by proposals, technical solutions or any other knowledge conveyed in a legally acceptable manner and subject in some instances to registration procedures

4. Territoriality.

- Intellectual property laws are mainly territorial and apply only within the relevant competence
- Although the agreement sets the minimum standard in its respective municipal laws for all nations, the IP laws around the world are not harmoniously united

5. Assignable.

- They should obviously be granted (licensed), because they are privileges
- IP may be bought, sold or licensed, employed or affiliated

6. Dynamism.

- The IPR is constantly changing
- The IP sector is also developing accordingly, as technology in all areas of human activities is changing exponentially
- In accordance with the demand for scientific and technological advancement, the scope of its defence is being extended and new items are being added to the IPRs sector

7. Subject matter of IPR Protection.

- Intellectual property rights eligibility depends solely on the protection issue. The products specifically identified and acknowledged in the law as the subject of protection are entitled to intellectual property rights
- While the minimum requirements laid down in law may be included, protection may still be denied if it is expressly omitted from the subject matter entitled to protection

8. Different rights co-exist

- In relation to a particular job, different types of IPR will coexist
- An invention can, for example, be patented and an innovation drawing may be copyrighted
- Under the Design Law, a design can be covered and the design also incorporated into a logo

Notes

- There are many similarities and differences between different IP rights

9. Exhaustion of rights

- The definition of exhaustion is usually regulated by intellectual property rights
- Exhaustion essentially means that the right is terminated after the first selling by the right holder or his exhalation authorisation and he can't stop moving goods further
- As a result, the subsequent resale of this product can't be prohibited once the IP right holder has sold the concept to which its IPRs are attached

Confidentiality

Confidentiality is the obligation and right not to disclose information to unauthorised individuals, entities, or processes if it would harm the organisation, its business relationships, or an individual. It's part of a duty of loyalty for the management.

Confidentiality is the keeping of another person or entity's information private. Certain professionals are required by law to keep information shared by a client or patient private, without disclosing the information, even to law enforcement, except under certain specific circumstances. The principle of confidentiality is most expected in the medical field and the legal field. Breach of confidentiality is a common law tort, which means it can be brought as a civil lawsuit against the individual who breached the agreement.

Penalties that may be handed down include monetary damages, which could be quite substantial, depending on the damage done by the breach, as well as an injunction ordering the individual to stop disclosing protected information.

If a breach of confidentiality occurs regarding medical or legal information, the breaching individual may be subject to penalties by his employer, or by the board that issued his professional license

What is confidentiality in an Organisation?

Confidential information means personal communication or information relating to an organisation's business that is unknown to the public and only shared between a few people. Workplace confidentiality refers to any confidential information that you come across during business. This information comes into the possession of the Organisation through its work. It is the crucial information about the stakeholders and business processes used in specific decision making.

There are three main types of information with any organisation, leak of which could lead to breach in confidentiality:

- The personal information of customers

- Employee information that managers collect and
- “Proprietary Information”

Why is confidentiality important for an Organisation?

Confidentiality builds trust between employer and employee and business owners have an obligation to keep stakeholder's information secure and trusted. To have their information shared is not only a breach in privacy, but it will destroy employee trust, confidence and loyalty. It may cause a loss in productivity and legal repercussions. Failure to protect and secure confidential information may not only lead to the loss of business or clients, but it also unlocks the danger of confidential information being misused to commit illegal activity such as fraud. A key element of confidentiality is that it helps build trust.

Principles of Confidentiality

Give below are the main principles of confidentiality which help in protection of information:

1. Justify the purpose(s)

Every proposed use or transfer of identifiable information within or from an organisation should be clearly defined and scrutinised, with continuing uses regularly reviewed, by an appropriate guardian

2. Don't use identifiable information unless it is necessary

The identifiable information items should not be included unless it is essential for the specified purpose(s) of the work. The need for information use should be identified and considered at each stage of work and should be used in case it is necessary to use the information for completion of work

3. Use the minimum necessary identifiable information

Where use of identifiable information is essential, the inclusion of each individual item of information should be considered and justified so that the minimum amount of identifiable information is transferred or accessible as is necessary for a given function to be carried out

4. Access to identifiable information should be on a strict need-to-know basis

Only those individuals who need access to identifiable information should have access to it and they should only have access to the information items that they need to see. This may mean introducing access controls or splitting information flows where one information flow is used for several purposes

5. Everyone with access to identifiable information should be aware of their responsibilities

Action should be taken to ensure that those handling identifiable information – at various levels of management – are made fully aware of their responsibilities and obligations to

Notes

respect the subject's confidentiality. Understand and comply with the law Every use of patient identifiable information must be lawful. Someone in each organisation handling patient information should be responsible for ensuring that the organisation complies with legal requirements

Employee Consequences for Breach of Confidentiality

1. **Termination of Employment** The first and the most obvious consequence is termination. No employer will be willing to retain employees who maliciously or carelessly lose confidential information, they're no longer assets for the business. An employer is usually within his legal rights to terminate the employment, even if there is no confidentiality clause signed up. Breach of confidentiality is breach of employment agreement
2. **Paying Civil Lawsuit Damages** The employer can even file a lawsuit and if successful, the employee will be required to pay lawsuit damages. For instance, if some secret is revealed to the competitor and the employer can prove the loss of business or image, the employee must pay the same. Even if the employer cannot prove the quantitative damage, he is entitled to punitive damage
3. **Standing Trial in a Criminal Case** In extreme information, a breach of confidentiality can even lead to criminal charges against the employee. It may happen if the employee is involved in theft of proprietary data or Intellectual Property
4. **Loss of Reputation** In a specialised industry where businesses are well-aware about the other businesses such acts of breach can permanently tarnish an employee's reputation. This is a long-term consequence wherein an employee's future job aspects maybe doomed



Unintentional Breach in Confidentiality

Seen very commonly, the unintentional breach of confidentiality may occur due to Carelessness and for legal reporting. There are various ways in which the confidentiality might be breached. Perhaps the most obvious and common threat to confidentiality protection arises from simple carelessness such as:

- Not removing identifiers from the data files
- Leaving cabinets unlocked
- Not encrypting files containing identifiers

Talking about specific respondents with others not authorised to have this information and so on. It is very important for the organisations to be alert to these issues, provide employee guidelines for appropriate data management and ensure that the guidelines are observed. Some of the examples where breach in confidentiality is experienced are:

- Loyalty card – during billing, the executive asks your phone number in public
- Social Engineering, where people intentionally come close to fetch crucial information
- Loss of phone and other electronic gadgets
- Using information without removing the identifiers. People will come to know the respondents of information in case of research
- The collected information may be shared to unintended people, especially the managers, since they are part of the organisation

3.3 Principles of Natural Justice

About Natural Justice

Natural justice is identified with the two constituents of a fair hearing, which are the rule against bias (*nemo iudex in causa sua*, or “no man a judge in his own cause”) and the right to a fair hearing (*audi alteram partem*, or “hear the other side”). Essentially, natural justice requires that a person receive a fair and unbiased hearing before a decision is made that will negatively affect them.

The three main requirements of natural justice that must be met in every case are: adequate notice, fair hearing and no bias. Sometimes, all three of these concepts are grouped together as “the right to a fair hearing.”

- The notice requirement means that the people affected by the decision must be told about the important issues and be given enough information to be able to participate meaningfully in the decision-making process
- The fair hearing requirement means that the people affected are given a reasonable opportunity to present their point of view and to respond to facts presented by others and that the decision-maker will genuinely consider what each person has told them when making the decision
- The no bias requirement means that the person making the decision must act impartially when considering the matter and must not have any relationships with anyone that could lead someone to reasonably doubt their impartiality

Historically, obligations of natural justice were owed only in court and other very formal legal proceedings and today the specific procedures to be followed to ensure the principles of natural justice are upheld in courts are set out in detailed written laws.

However, it is now recognised that the broader concepts of procedural and administrative fairness can give rise to less extensive procedural rights in other, less formalised types of decision-making.

Notes

The expressions “procedural fairness” and “administrative fairness” usually refer to the set of rules and conventions that are used to ensure that the principles of natural justice are upheld, in a somewhat less formal manner, in the field of administrative law or in other contexts where the power of the government or other authority may be brought to bear against an individual or group.

The principles of natural justice have great significance in the study of administrative law. It is also known as substantial justice or fundamental justice or Universal justice or fair play in action.

Bias

‘Bias’ means an operative prejudice whether conscious or unconscious in relation to a party or issue. Therefore, the ‘Rule Against Bias’ strikes against those factors which may improperly influence a judge in arriving at a decision in any case. The requirement of this principle is that the judge must be impartial and must decide the case objectively based on the evidence on record. Therefore, if a person, for whatever reason, cannot take an objective decision based on evidence on record he shall be said to be biased.



A person cannot take an objective decision in a case in which he/she has an interest for, as human psychology tells us, very rarely can people take decisions against their own interests. This rule of disqualification is applied not only to avoid the possibility of a partial decision but also to ensure public confidence in the impartiality of the administrative adjudicatory process because not only must “no man be judge in his/her own cause” but also “justice should not only be done but should manifestly and undoubtedly be seen to be done”. Minimal requirement of natural justice is that the authority must be composed of impartial persons acting fairly and without prejudice and bias.

A decision which is a result of bias is a nullity and the trial is “Coram non-judice”. Inference of bias, therefore, can be drawn only based on factual matrix and not merely based on insinuations, conjectures and surmises.

Bias manifests variously and may affect the decision in a variety of ways:

- **Personal Bias** - Personal Bias arises from a certain relationship equation between the deciding authority and the parties which incline him/her unfavourably or otherwise on the side of one of the parties before him/her. Such equation may develop out of varied forms of personal or professional hostility or friendship
- **Pecuniary Bias** - The judicial approach is unanimous and decisive on the point that any financial interest, howsoever small it may be, would vitiate administrative action
- **Subject Matter Bias** - Those cases fall within this category where the deciding officer is directly, or otherwise, involved in the subject matter of the case. Here again

mere involvement would not vitiate the administrative action unless there is a real likelihood of bias

- **Departmental Bias** - The problem of 'departmental bias' is something which is inherent in the administrative process and if it is not effectively checked, it may negate the very concept of fairness in the administrative proceeding. The problem of 'departmental bias' arises when the functions of judge and prosecutor are combined in the same department. It is not uncommon to find that the same department which initiates a matter also decides it, therefore, at times departmental fraternity and loyalty militate against the concept of fair hearing
- **Preconceived Notion Bias** - 'Bias' arising out of preconceived notions is a very delicate problem in fair justice. On the one hand, no judge as human being is expected to sit as a blank sheet of paper, on the other, preconceived notions would vitiate a fair trial.

Exceptions to Principles of Natural Justice

Though the rule of natural justice has now a definite meaning and connotation in law and their content and implications are well understood and firmly established, they are nonetheless not statutory rules. Each of these rule yields to and changes with the exigencies of different situations. They do not apply in the same manner to situations which are alike. These rules are not cast in a rigid mould, nor they be put in a legal straight jacket. They are not immutable but flexible. These rules can be adopted and modified by statutes and statutory rules and by the constitution of the tribunal which must decide a particular matter and the rules by which such tribunal is governed.

There is exceptional situation that overtake the natural justice, which may be excluded:-

- **Exclusion in Emergency** - In exceptional cases of emergency where prompt preventive or remedial action, is needed; the requirement of notice and hearing may be obviated. Such as, in situations where a dangerous building is to be demolished, or a company must be wound up to save depositors.
- **Confidentiality** – Exclusion of natural justice can also take place when confidentiality is demanded and is necessary to be maintained.
- **Statutory exclusion** – A ground on which hearing may be excluded is that the action of the Administrative in question is legislative and not administrative in character.
- **Impracticability** – Natural justice can be followed and applied when it is practicable to do so but, in a situation, when it is impracticable to apply, the principle of natural justice then it can be excluded.
- **Legislative actions** – When the law-making body itself propounds that this principle will not be applicable in the said statute, this principle is not applicable in the cases which will come under the statute.
- **Academic Evaluation** – Where the nature of authority is purely academic, then no right of hearing can be claimed. The academic administration can take any action towards the students or the staff members if they feel that things are not working

Notes

properly inside the institution. And it cannot be challenged until and unless the contrary is proved.

- **Contractual Arrangement** – In case of termination arrangement in contract, principle of natural justice is not applicable.
- **Inter-Disciplinary Action** – In inter-disciplinary action like suspension etc, there is no requirement to follow the principle of natural justice.
- **Government Policy Decision** – For developmental policy decision, there is no need to follow principles of natural justice.
- **No right of the person is infringed** – Where no right has been conferred on a person by any statute nor any such right arises from common law, the principles of natural justice are not applicable.
- **Interim Preventive Action** – If the action of the administrative authority is a suspension order in preventive action and not a final order, the application of the principles of natural justice may be excluded.
- **Public Interest** – Any act or thing done against the interest of the public will be held void ab initio. As being a democratic country, the laws are made for the benefit of the public. Hence, if there is a hidden interest of the public in any issue, then the principle of Audi Alterem Partem will be excluded.
- **Useless Formality Theory** – 'Useless formality' is yet another exception to the application of the principles of natural justice. Where on the admitted or undisputed facts only one conclusion is possible and under the law only one penalty is permissible, the court may not insist on the observance of the principles of natural justice because it would be futile to order its observance.

Therefore, where the result would not be different and it is demonstrable beyond doubt, order of compliance with the principles of natural justice will not be justified.

Types and concept of Natural Justice

Whether these rules are grounded in human consensus or societal norms, they are supposed to ensure that all members of society receive fair treatment. Issues of justice arise in several different spheres and play a significant role in causing, perpetuating and addressing conflict. Just institutions tend to instil a sense of stability, well-being and satisfaction among society members, while perceived injustices can lead to dissatisfaction, rebellion, or revolution.



Each of the different spheres expresses the principles of justice and fairness in its own way, resulting in different types and concepts of justice: distributive, procedural, retributive and restorative. These types of justice have important implications for socioeconomic, political, civil and criminal justice at both the national and international level.

- **Distributive justice, or economic justice**, is concerned with giving all members of society a “fair share” of the benefits and resources available. Debate – What is a fair Share? Some possible criteria of distribution are equity, equality and need. (Equity means that one’s rewards should be equal to one’s contributions to a society, while “equality” means that everyone gets the same amount, regardless of their input. Distribution based on need means that people who need more will get more, while people who need less will get less.)
- **Procedural justice** is concerned with making and implementing decisions according to fair processes that ensure “fair treatment.” Rules must be applied to generate an unbiased decision. Those carrying out the procedures should be neutral and those directly affected by the decisions should have some voice or representation in the decision-making process. (Employee Unions) If people believe procedures to be fair, they will be more likely to accept outcomes, even ones that they do not like.
- **Retributive justice** appeals to the notion of “just desert” -- the idea that people deserve to be treated in the same way they treat others. It is a retroactive approach that justifies punishment as a response to past injustice or wrongdoing. The central idea is that the offender has gained unfair advantage through his or her behaviour and that punishment will set this imbalance straight. In other words, those who do not play by the rules should be brought to justice and deserve to suffer penalties for their transgressions. The notion of deterrence also plays in here: the hope is that the punishment for committing a crime is large enough that people will not engage in illegal activities because the risk of punishment is too high.

But, because there is a tendency to slip from retributive justice to an emphasis on revenge, some suggest that restorative justice processes are more effective. It is concerned with healing victims’ wounds, restoring offenders to law-abiding lives and repairing harm done to interpersonal relationships and the community. Offenders are encouraged to understand the harm they have caused their victims and take responsibility for it.

3.4 Working with Minors

Business and Engagement of Minors:

Employing the minors must be done with great care. Employing Minors can harm the child’s well-being and hinders his or her education, development and future livelihood.

Two International Labour Organisation (ILO) Conventions – the Minimum Age Convention No. 138 and the Worst Forms of Child Labour Convention No. 182 - provide the

Notes

framework for national law to define a clear line between what is acceptable and what is not, including a minimum age for admission to employment or work.

This minimum age should not be less than the age for completing compulsory schooling and in general not less than 15 years. The 1998 ILO Declaration on Fundamental Principles and Rights at Work calls for the effective abolition of child labour.

This means that all ILO member States have an obligation to abolish child labour within their territories regardless of whether they have ratified the relevant Conventions; and all companies should contribute to such efforts in the country they operate in as well as to the global effort to eliminate all forms of child labour. Developing countries have the option to set the minimum age at 14 and 12 for “light work” as a transitional measure. Many developing countries, however, have chosen to adopt the minimum ages of 15 or even 16, so it is essential to check national legislation on minimum age to ensure compliance with the national law.

The minimum age for hazardous work is 18 years for all countries. Hazardous work is defined as work which is likely to harm the health, safety or morals of the child because of its nature or the working conditions and must be listed by national legislation after consultation with employers and trade unions. Even young persons who have attained the minimum age for employment in general but are not yet 18 years of age should not be engaged in hazardous work.

Hazardous child labour is one of the “worst forms of child labour” which requires urgent and immediate action.

All ILO member States have ratified the Worst Forms of Child Labour Convention No. 182, so it is important to be aware of national legislation on “hazardous work”. Not all work by a person under the age of 18 is child labour.

It depends both on the age and on the types and conditions of work. Child labour should not be confused with “youth employment” as from the minimum working age, young people should be able to engage in decent work but still need protection from hazardous work and other worst forms of child labour. There are also flexibilities for “light work” which is permissible as from 13 (or 12, if the minimum age is set at 14) years of age by school-going children if authorised and monitored by the relevant authorities.

Using Minors Effectively

- Small business owners and employment analysts agree that the key to securing skilled and motivated minors as employees lies at the very beginning, with the application and interview. To find top-notch minor employees, business is encouraged to pay close attention to the information provided in the job application

form. Are the students high academic achievers in high school? Do they participate in extracurricular activities? Do they provide good references, such as former employers or schoolteachers/administrators?

- Distinguish the teen employees and group them appropriately (with other teen and grown-up employees) forming effective teams
- Remarkably, some employers tend to lump teen employees together into one indistinguishable mass, but dramatic differences exist within this demographic group in such areas as punctuality, honesty, ambition, talent, intelligence and all-around quality
- In addition, employers should take the time to conduct a thorough interview with minor applicants, even if it is for a part-time entry level position. Every employee plays a part in shaping company culture and if the new hire has a bad attitude, it has the potential to influence other teen employees. This is particularly true for businesses that have a significant number of minor employees. For example, an employer who hires a minor for a floor sales position only to discover that the new hire has a previously undetected predilection for emotionally distant, “cool” behaviour may find other emotionally malleable—and previously customer friendly—staffers adopting some of the same mannerisms
- Employers who hire minors also need to recognise that, as Bess Ritter May said in Supervision, “adolescence is a transitional period. Those who are in this age group are forming their personalities and identities.” This sometimes is awkward period of development and will likely manifest itself in all phases of the teen’s life— including work
- But while employers may experience some frustration dealing with teens who are buffeted by school, societal and peer pressures, they can take comfort in the fact “that it’s easy to train these kids since they have little or no prior work experience and have consequently acquired little or no work-related bad habits”. “Most intelligent youngsters can also be instructed quickly concerning specific business systems and procedures, pick up and remember new things easily and have few or no preconceived ideas concerning how specific workplace tasks should be handled. Such aptitudes have surprised and astonished many supervisors.”
- Minor employees may require closer supervision than other employees. Often, they are unfamiliar with various facets of the workplace and they may be so intimidated that they will be reluctant to ask questions about issues or tasks that they do not fully understand. Employers should anticipate this and do two things, first, fully explain projects and tasks and second, maintain a work environment that is clearly receptive to their questions
- In addition, employers should adopt a firm, but positive and constructive manner in various areas of training. This includes communication that may be necessary to correct errors. Adopting a tactful, reasonable, but firm approach in such instances is important. “Adolescents who are starting out on their first or second jobs are often more sensitive to corrections concerning their work by those who are older and

Notes

(presumably) wiser. Such youngsters do not always understand that it is only their skills that are being faulted and not their innate characters and consequently, are often very defensive.”

- Organisations who employ minors should also consider giving their top workers opportunities to show their abilities. Young employees are fully capable of contributing to the business’s success in ways other than filing paperwork or sweeping floors and they sometimes develop into valued employees after reaching adulthood.
- Finally,
 - Employers should always remain cognizant of the importance of adhering to state and federal laws
 - “Conduct periodic check-ups of your compliance with child labour law,” Be sure to keep the managers up to date on the child labour issue
 - Make sure not to hire new employees without obtaining proper age documentation
 - Be assured and know the minor employees and what type of job duties they may perform. After all, it won’t do your company much good if you are well-versed in the laws, but the managers who directly oversee workers are unaware of the requirements.”
 - Additionally, in order to try to prevent infractions, experts advise owners (or knowledgeable managers) to make it a regular practice to monitor the schedules of minor employees

3.5 Redressal Mechanism- Organisational Complaint Procedure

Employees Grievances:

Resolving employee complaints is a daily task in contemporary businesses. For workers who are unhappy with their jobs or the management, the complaints could be real or even fake. Employee morale may suffer, inefficiencies may arise and absenteeism may rise if the issue is not promptly remedied. To put it briefly, your ability to resolve employee complaints can directly affect your workplace efficiency.



Defining Employee Grievances

The dissatisfaction brought on by the discrepancy between what employees expect and what they do not receive can be summed up as employee grievances. It must be handled extremely carefully, regardless of whether it is warranted. To find out about the employees' grievances, the HR representative needs to talk to them for a considerable

length of time. Determining employee complaints can be challenging in human management.

Nonetheless, there are several strategies that can support you in your work. The following points help in knowing that the employees are not happy:

- **Transformed Behaviour:** People's actions reveal a great deal about their emotions. Every competent HR manager should possess the emotional intelligence required to address grievances. Regular direct observation can help identify an employee's level of dissatisfaction. Such observation is most effective during one-to-one interactions, group meetings, collective bargaining sessions, and employee counselling.
- **Suggestion Boxes:** These can be placed in easily accessible locations within the workplace to collect anonymous concerns. This method helps reduce fear of negative managerial reactions.
- **Open-door Policy:** One of the most effective employee empowerment practices in organisations. An open-door policy promotes transparency and open communication, allowing employees to approach senior management and have their grievances addressed.
- **Opinion Surveys:** These are used to understand employees' perspectives on job satisfaction. Surveys can be conducted regularly using self-report tools and structured questionnaires.
- **Effective Exit Interviews:** When responses are honest, exit interviews provide valuable insights into how organisational culture impacts employees. By understanding the reasons for employee turnover, management can improve practices and make necessary adjustments.

Reasons of Employee Grievances:

- Unwanted physical working conditions
- Modifications without warning
- Employee relations are poor
- Inappropriate pay changes
- Inadequate office procedures when:
 - Promotion
 - Demotion
 - Transfer
 - Discharge
 - Leaves
 - Overtime

Notes

- Violation of laws
- Inadequate safety, health, and welfare amenities
- Labor-management hostility
- Incidences of workplace favouritism and nepotism
- Lack of organisational discipline

Problems arise in everyday work contexts, regardless of the type of organisation, necessitating rational answers. Each complaint must be handled carefully and appropriately.

Dealing with complaints informally should be the main goal. However, the employee may file a formal grievance if the complaint is significant.

The law mandates that every company have a grievance policy. In addition to outlining the process and the due dates for each stage, the formal written document should let the staff know who to contact in the event of any issues. Businesses might take the following actions to handle employee complaints that need to be addressed right away.

Redress Mechanism - Steps to Handle Employee Grievances Most Effectively:

1. **Establish the system:** To assist your employees in filing complaints and grievances so that they may be addressed, your companies should first establish a grievance redressal system. The grievance procedure needs to be included in the employee handbook's content so that everyone may quickly access it.

Grievance receipts need to be handled by someone. The confidentiality of the employees' complaints must be guaranteed. It should typically be a part of the HR department. The site where complaints are received must be accessible to all. It ought to be situated in the middle. If you use a grievance box, it should be easily accessible.

When handling employee concerns, confidentiality must be prioritised because it may contain personal matters. By involving as few people as possible, the issue is kept from spreading widely. The allegations must be promptly investigated. Nothing should be put on wait for an extended period of time. It should follow a schedule so that employees may expect a certain level of responsiveness in a specific amount of time.

2. **Acknowledge the grievance:** When handling employee grievances, you should listen more than you speak. Give your staff a sympathetic ear when they come to you complaining about a problem. That doesn't mean it has to be fixed right away, but it should let your staff know that their grievance has been taken seriously.

3. **Investigate:** A hearing is not always appropriate. Determining the claim's legitimacy is generally quite important. Enquire about the circumstances or incidents and gather any relevant information. Even while it might not always be necessary, if other employees are implicated, they should be notified and given the chance to defend themselves and provide their meagre evidence. You can set up an official meeting after the investigation is complete.
4. **Hold the formal meeting:** The formal hearing should include the employee who filed the grievance as well as any pertinent parties. The employee may present any supporting documentation for the complaint and describe how they would like the issue to be fixed. The meeting notes and minutes can be distributed later.
5. **Take your decision and act accordingly:** This stage involves making decisions. After obtaining all relevant information and thoroughly examining the situation, you ought to make a choice. You can decide to accept the grievance in part, reject it completely, or do both. The employee must receive written notice of the actions you intend to take. Simultaneously, you can advise the employee on how to deal with similar situations.
6. **Appeal process:** If your employee doesn't agree with your decision, they can file an appeal.

 Again, your grievance policy should specify the terms and conditions of the appeals process. Employees should draft an appeal letter explaining why they would like the decision to be reviewed. To ensure fairness, the appeal should be heard by a separate manager or supervisor who was not present at the first meeting.

 An appeal hearing with fresh evidence ought to come next. The employee should be notified in writing of the decision. Both mediation and escalation to the employment tribunal are options if your employee is still dissatisfied.
7. **Review the situation:** It is always helpful to examine your decisions objectively. If the employee is happy with the solution, you were successful in fixing the problem. It can, in fact, greatly enhance the culture of your business. If the present policy ensures fairness, employees can develop a sense of pride and accountability in their work.

This is the benefit of establishing a prompt and effective grievance procedure. 8. Get rid of the main complaint: Finding a long-lasting solution is your aim. To put it another way, a formal complaint must be settled definitively. This prevents your employees from coming back with the same issue. Finding the problem's underlying cause and ensuring that it is fully resolved, including any necessary adjustments, are the main components of this approach.

Maintaining enough documentation, experience and treating everyone fairly are necessary for a grievance system to be successful.

Notes

However, there may be some unique situations in which the aforementioned procedure has to be improved. The Human Resources Department retains the right to make any necessary and reasonable revisions.

3.6 The Ethics in Accounting, Finance and Investment with Case study

Ethics in Accounting

Accounting ethics is a critical subject because accountants occupy a central role in accessing and preparing the three financial statements—the income statement, balance sheet and statement of cash flows, all of which are interrelated. Accounting ethics falls within the domain of applied ethics and forms an integral part of business ethics and human ethics, as it examines moral values, judgments and standards as they relate to the accounting profession, making it a key example of professional ethics.



The foundations of accounting were laid by Luca Pacioli and over time the discipline has been further developed through various professional bodies, regulatory groups and independent associations. Ethics is incorporated into accounting education at higher education institutions and is also emphasised through training programs conducted by organisations for accountants and auditors.

Given the nature of the responsibilities performed by accountants and auditors, a high standard of ethical conduct is essential. Shareholders, investors and other users of financial statements rely extensively on annual financial reports to make informed decisions. They depend on the professional judgment of accountants who prepare these statements and on auditors who examine and verify them to ensure that they present a true and fair view of the company's financial position.

A sound understanding of ethics enables accountants and auditors to effectively navigate ethical dilemmas and make appropriate decisions that serve the public interest, particularly for users who rely on the accuracy and integrity of accounting and auditing reports.

Ethics in Finance

Ethics in finance refers to the system of moral principles and standards that guide the behaviour and decision-making of individuals and institutions operating within the financial industry. Its purpose is to influence conduct in a manner that goes beyond mere compliance with laws and regulations, emphasising a strong commitment to honesty, transparency, integrity and fair dealing.

Ethical finance involves the responsible management of financial resources, protection of clients' interests and the cultivation of trust in financial markets.

The stability and integrity of the global economic system depend on ethical behaviour since financial institutions are vital to capital allocation and economic growth.

Therefore, ethics in finance—which includes the moral principles and values that direct people and organisations in their economic endeavours—is an essential part of the financial industry. It extends beyond legal obligations to include ethical considerations that directly shape professional conduct and decision-making.

Importance of Ethics in Finance

Integrity and trust are essential in a commercial setting. Financial professionals are guided towards responsible, transparent and accountable practices by ethical norms. Maintaining accuracy and objectivity in information communicated with clients, investors and the public is ensured by a dedication to honesty and candour.

The successful and efficient operation of financial markets depends on this ethical basis, which also fosters a culture of integrity.

Scope of Ethics in Finance

The scope of ethics in finance includes the following aspects:

- In order to increase confidence in financial transactions, financial institutions must uphold high standards of honesty and transparency in all of their interactions by giving clients, investors and stakeholders accurate and true information
- Ethical financial conduct requires the identification, disclosure and reduction of conflicts of interest, ensuring that client and stakeholder interests take precedence over personal gain
- Ethical treatment of clients and investors is a core requirement, including offering investment recommendations aligned with clients' needs and risk tolerance, along with clear and complete disclosures to support informed decision-making
- Financial decision-making should extend beyond profit maximisation to consider social, environmental and ethical impacts, highlighting the importance of sustainable and socially responsible investing

Principles of Ethics in Finance

The key principles guiding ethics in finance are as follows:

- Financial decisions should be based on objective analysis and unbiased judgment, with professionals actively avoiding personal biases and conflicts of interest

Notes

- Confidentiality is a fundamental principle; financial institutions must protect client information and ensure that sensitive data is disclosed only with proper authorisation
- Ethical finance requires awareness of the broader social, environmental and ethical consequences of financial decisions, supporting sustainable and responsible investment practices
- Strong emphasis is placed on accountable and transparent corporate governance, supported by clear responsibility structures and effective accountability mechanisms

Code of Ethics in Finance

The code of ethics in finance includes the following commitments:

- Maintaining honesty and transparency in all financial activities and providing accurate information to clients and stakeholders
- Acknowledging the social impact of financial decisions by adopting socially responsible practices and supporting community development
- Strict adherence to applicable laws, regulations, and professional standards to safeguard the integrity of the financial system
- Protecting client confidentiality and ensuring robust data protection and privacy practices
- Promoting fair and responsible lending practices, avoiding discrimination, and preventing financial hardship for borrowers
- Establishing safeguards for individuals who report unethical conduct
- Prohibiting the misuse of non-public information for personal benefit and ensuring fair and transparent trading practices
- Incorporating environmental, social, and governance (ESG) factors into investment decisions and encouraging environmentally sustainable initiatives
- Fostering diversity and inclusion within organisations and valuing varied perspectives and backgrounds

Examples of Ethics in Finance

Example 1

Think about Jim, a bank executive who is in charge of loan approval. He assures impartiality, closely examines loan applicants using predetermined standards and complies with lending regulations. Jim is transparent with applicants about the conditions of the loan, the dangers involved and the responsibilities involved.



Sam, another executive, on the other hand, regularly grants loans based on personal connections or unreported incentives. The integrity of the loan process is compromised by such acts. Jim exemplifies ethical finance by maintaining justice, openness and professional responsibility, whereas Sam participates in unethical loan tactics.

Importance of Ethics in Finance

The importance of ethics in finance can be explained as follows:

- Ethics in finance plays a vital role in establishing and sustaining trust in financial transactions. Clients, investors, and other stakeholders must be assured that their interests are safeguarded and that financial professionals act with honesty and integrity
- Ethical behaviour is fundamental to preserving the integrity of financial markets. Transparent and fair practices help prevent market manipulation and other unethical activities that could undermine the efficiency and credibility of financial systems
- Ethical conduct strengthens investor confidence and promotes active participation in financial markets. When investors believe that their funds are managed ethically, they are more willing to invest, thereby improving market liquidity and operational efficiency
- Ethics in finance is essential for protecting customers from exploitation and ensuring that financial products and services are suitable for their needs. Financial professionals are responsible for acting in the best interests of clients while avoiding deceptive practices and managing conflicts of interest responsibly

Ethics in Investment

The process of choosing financial instruments that align with one's own, one's community's, or society's ideals is known as ethical investing. It entails avoiding investments in sectors like tobacco, fossil fuels, or other industries deemed unethical while backing organisations that exhibit responsible behaviour, such as a dedication to sustainable energy, fair employment practices, or social welfare. Fundamentally, the idea that financial choices can have a positive impact on social and environmental transformation is reflected in investment ethics.



For instance, investors who are worried about climate change can decide to put money into ESG (Environmental, Social and Governance) funds or renewable energy firms. While still aiming for respectable financial results, ethical investing enables people to match their investment portfolios with their moral principles.

Notes

Types of Ethical Investing

Ethical investing includes several approaches, each guided by specific ethical standards:

Socially Responsible Investing (SRI)

Investing in businesses that demonstrate great social responsibility, such as ethical supply chains, fair employment standards and community development programs, is the main focus of SRI.

Environmental, Social and Governance (ESG) Funds

ESG is a commonly used framework in ethical investing since it gives preference to businesses that excel in social responsibility, environmental sustainability and solid corporate governance.

Impact Investing

Impact investing focusses on companies or initiatives that produce quantifiable positive social or environmental results, including investments in healthcare access, education, or green infrastructure.

Faith-Based Investing

Faith-based investing aligns investment choices with religious or spiritual values, avoiding sectors such as alcohol, gambling, or weapons that conflict with ethical guidelines of a particular faith.

Examples of Ethical Investing

- **Green technology companies:** Investing in firms engaged in renewable energy solutions such as solar, wind, or hydro power
- **Microfinance institutions:** Encouraging financial inclusion by supporting businesses that provide small loans to marginalised groups
- **Social housing projects:** Financing initiatives aimed at developing affordable housing for low-income communities

Advantages of Ethical Investing

- **Alignment with personal values:** Ethical investing ensures that investment portfolios reflect individual moral, social, or environmental beliefs
- **Driving positive change:** Investors can actively contribute to sustainability, social justice and responsible corporate behaviour
- **Encouraging corporate accountability:** Companies adopting ethical practices often attract investors, encouraging industries to implement responsible policies
- **Market resilience:** Many ethical investments, particularly ESG-focused assets, demonstrate long-term stability and lower volatility

Disadvantages of Ethical Investing

- **Limited investment options:** Excluding certain industries reduces the pool of available investments, making diversification across sectors more challenging
- **Subjectivity in ethics:** Ethical standards vary among individuals; what is considered ethical by one investor may not be viewed the same by another
- **Potentially lower returns:** Avoiding high-performing sectors such as fossil fuels, tobacco, or gambling may limit short-term profit opportunities
- **Complex and time-intensive research:** Assessing whether a company genuinely meets ethical standards requires detailed analysis of ESG reports, sustainability disclosures and governance practices to avoid greenwashing

Building an Ethical Investment Portfolio

- **Define ethical priorities:** Identify the values or causes most important to you, such as environmental protection, gender equality, or community development
- **Research ethical investment options:** Select companies, mutual funds, or ETFs that align with your ethical principles; ESG funds offer a broad entry point
- **Assess performance and impact:** Review financial performance alongside social or environmental outcomes to ensure meaningful impact
- **Monitor and revise regularly:** Ethical portfolios require ongoing evaluation to maintain alignment with both values and financial objectives

Addressing the Challenges of Ethical Investing

- **Expand investment scope:** Explore emerging ethical sectors such as green technology, healthcare and sustainable infrastructure
- **Use technology and tools:** Leverage ESG rating platforms, sustainability indices and ethical screening tools to simplify research
- **Adopt a long-term outlook:** Ethical investments often benefit from long-term global shifts toward sustainability and responsible business practices

3.7 Case Study

Case Study: The Case of Orion Global Services Ltd.

Background of the Organisation

Orion Global Services Ltd. is a publicly listed multinational company operating in manufacturing, financial services and investment advisory. Headquartered in Mumbai, the company attracts a wide base of shareholders, institutional investors



Notes

and international clients. Due to its diversified operations, Orion relies heavily on accurate accounting records, ethical financial management and responsible investment decisions.

Key professionals involved in this case include:

- **Mr. Rakesh Malhotra** – Chief Financial Officer (CFO)
- **Ms. Neha Iyer** – Senior Chartered Accountant and Head of Financial Reporting
- **Mr. Arjun Verma** – Investment Manager handling client portfolios

The Ethical Situation

1. Ethics in Accounting: Financial Reporting Pressure

During the preparation of annual financial statements, Neha Iyer identifies that the company's profits are significantly lower than market expectations due to rising costs and declining overseas demand. Senior management pressures her to recognise revenue prematurely and defer certain expenses to present a stronger income statement.

Neha is reminded that lower profits may:

- Reduce share prices
- Disappoint investors
- Affect management bonuses

Although the adjustments may not immediately violate accounting standards, they compromise the principle of presenting a true and fair view of the financial statements.

2. Ethics in Finance: Conflict of Interest in Lending Decisions

As CFO, Rakesh Malhotra oversees major financing decisions. A proposal is placed before him to approve a large loan to a subsidiary company in which one of the board members has a personal financial interest. The loan carries higher risk but promises short-term liquidity benefits.

Rakesh is aware that approving the loan without proper disclosure may create a conflict of interest, violate corporate governance norms and expose shareholders to unnecessary risk.

3. Ethics in Investment: Misrepresentation to Clients

Meanwhile, Arjun Verma, the investment manager, is under pressure to promote a high-return investment fund to clients. The fund performs well financially but invests heavily in companies involved in environmentally harmful practices. Marketing materials downplay ESG risks attracting more investors.

Clients trust Arjun to act in their best interests, believing the investments align with ethical and sustainable principles.

Ethical Dilemmas Faced

Area	Ethical Dilemma
Accounting	Should profits be manipulated to meet expectations or reported honestly?
Finance	Should a risky loan be approved due to internal influence?
Investment	Should clients be informed fully about ESG risks or only financial returns?

Ethical Analysis

Ethics in Accounting

- **Principles involved:** Integrity, objectivity, transparency
- Manipulating financial results violates professional ethics and undermines stakeholder trust
- Accountants have a duty to serve the public interest, not management pressure

Ethics in Finance

- **Principles involved:** Fair dealing, accountability, conflict-of-interest management
- Approving biased financial decisions compromises governance and financial stability

Ethics in Investment

- **Principles involved:** Fiduciary responsibility, disclosure, ESG accountability
- Misrepresentation erodes investor confidence and damages long-term market integrity

Ethical Decision and Action

After internal deliberations:

- Neha Iyer refuses to alter financial records and insists on full compliance with accounting standards
- Rakesh Malhotra escalates the loan issue to the audit committee and ensures proper disclosure and independent risk assessment
- Arjun Verma revises investment disclosures, clearly communicating ESG risks and offering alternative ethical investment options

Outcomes

Short-Term Consequences

- Lower reported profits affect share prices temporarily

Notes

- The loan approval is delayed for further evaluation
- Some clients withdraw from the high-risk fund

Long-Term Impact

- Orion Global Services gains recognition for ethical governance and transparency
- Investor confidence strengthens over time
- The company adopts a formal Code of Ethics covering accounting, finance and investment decisions

Learning from the Case

This case demonstrates that ethics in accounting, finance and investment are deeply interconnected. Ethical lapses in one area can affect the credibility of the entire organisation. Professionals must balance profitability with responsibility, transparency and long-term sustainability.



Conclusion

The case of Orion Global Services Ltd. highlights that ethical conduct is not merely a legal obligation but a strategic necessity. Upholding ethics in accounting ensures accurate reporting, ethics in finance promotes sound decision-making and ethics in investment protects investor interests and societal well-being. Ethical leadership ultimately strengthens trust, stability and long-term success.

Summary

- The process of choosing financial instruments that align with one's own, one's community's, or society's ideals is known as ethical investing
- It entails avoiding investments in sectors like tobacco, fossil fuels, or other industries deemed unethical while backing organisations that exhibit responsible behaviour, such as a dedication to sustainable energy, fair employment practices, or social welfare
- Fundamentally, the idea that financial choices can have a positive impact on social and environmental transformation is reflected in investment ethics
- For instance, investors who are worried about climate change can decide to put money into ESG (Environmental, Social and Governance) funds or renewable energy firms
- While still aiming for respectable financial results, ethical investing enables people to match their investment portfolios with their moral principles

Notes
Glossary

- **Intellectual Property:** Intellectual Property – refers to creations of the mind, such as inventions; literary and artistic works; designs; and symbols, names and images
- **Copyrights:** “Copyright” literally means the right to copy but has come to mean that body of exclusive rights granted by law to copyright owners for protection of their work
- **Patents:** A patent is an exclusive right granted for an invention, which is a product or a process that provides a new way of doing something, or offers a new technical solution to a problem
- **Trademarks:** A trademark is a sign capable of distinguishing the goods or services of one enterprise from those of other enterprises. The term trademark refers to a recognisable insignia, phrase, word, or symbol that denotes a specific product and legally differentiates it from all other products of its kind
- **Geographical Indications:** A geographical indication (GI) is a sign used on products that have a specific geographical origin and possess qualities or a reputation that are due to that origin
- **Confidentiality:** Confidentiality is the obligation and right not to disclose information to unauthorised individuals, entities, or processes if it would harm the organisation, its business relationships, or an individual. It's part of a duty of loyalty for the management
- **Bias:** ‘Bias’ means an operative prejudice whether conscious or unconscious in relation to a party or issue

Check Your Understanding

1. Which of the following is correct definition of ‘Audi alteram partem’?
 - a. Listening to the appeal
 - b. Right of fair hearing
 - c. Right to know reasons of decision
 - d. All of the above
2. Principles of natural justice are NOT applicable against which of the following actions?
 - a. An Administrative actions
 - b. Rulemaking action
 - c. Quasi-judicial actions
 - d. Judicial process

Notes

3. Intellectual Property Rights (IPR) protect the use of information and ideas that are of
 - a. Ethical value
 - b. Moral value
 - c. social value
 - d. Commercial value
4. The term 'Intellectual Property Rights' covers
 - a. Copyrights
 - b. Know-how
 - c. Trade dress
 - d. All the above
5. Which of these is a geographical indication?
 - a. BMW
 - b. Champagne
 - c. Hogwarts
 - d. PlayStation

Exercise

1. Explain the legal aspects of professional ethics and discuss how laws support ethical conduct in professional practice.
2. Describe the basics of Intellectual Property Rights (IPR) and explain the importance of confidentiality, including how unintentional breaches of confidentiality may occur.
3. Discuss the principles of natural justice and explain their significance in ensuring fairness and ethical decision-making within organisations.
4. Examine the ethical responsibilities involved in working with minors, highlighting the safeguards and professional duties required to protect their rights and well-being.
5. Analyse the importance of a redressal mechanism and organisational complaint procedure, with reference to ethics in accounting, finance and investment, supported by a suitable case study.

Learning Activity

- Analyse short case scenarios related to professional ethics, IPR, confidentiality breaches, or working with minors. Identify the legal and ethical issues involved, apply principles of natural justice and propose appropriate redressal mechanisms.

- Examine a brief case study on ethics in accounting, finance and investment, focusing on confidentiality, compliance and ethical decision-making. Discuss how legal requirements and ethical principles guide professional conduct and suggest preventive measures to avoid ethical violations.

Check Your Understanding- Answer

1. d
2. b
3. d
4. d
5. b

Further Readings and Bibliography

- Velasquez, M. G. (2018). Business ethics: Concepts and cases. Pearson Education
- Boatright, J. R. (2020). Ethics and the conduct of business. Pearson Education
- Cornish, W. R., Llewelyn, D. and Aplin, T. (2019). Intellectual property: Patents, copyright, trademarks and allied rights. Sweet & Maxwell
- Jain, M. P. (2018). Principles of administrative law. LexisNexis
- Duska, R. F., Duska, B. S. and Ragatz, J. A. (2011). Accounting ethics. Wiley

Notes

Module 4: Global Issues in Different Sectors

Learning Objectives

At the end of the module, you will be able to:

- Define the need for ethical conduct for businesses that work on the global level.
- Discuss the requirements of working in a diverse workspace.
- Analyse Issues faced by global business and how to improve global business ethics.
- Describe the types of ethics required in different industries

Introduction

Multinational corporations (MNCs) are known to largely drive the process of economic globalisation. The term "globalisation" refers to the spread and connectivity of production, communication and technology worldwide.

The process of products, resources, technology and information being traded across international borders is known as globalisation.

4.1 Globalisation of MNCs, International Trade

Globalisation provides new possibilities for businesses to maximise profits through expanding economies and increasing access to finance. Globalisation, on the other hand, exposes home markets to global competitors, lowering demand for locally produced items. Nations have committed to work together to encourage free trade and economic cooperation. They have developed regional customs and trade agreements, as well as unions, to encourage economic integration.



Multinational firms (MNCs) have been significantly responsible for these phenomena. In addition to their crucial role as "champions" of certain national economies, these businesses have created an increasingly global economy through their extensive activities, which have been made possible by advancements in technology and transportation. The majority of global production networks are today controlled by multinational corporations (MNCs) and the distribution of international trade is directly impacted by their political and economic actions. Because they are at the centre of the

global trade system, these economic actors—many of whom have strong connections to national governments and international politicians—have significant influence over transnational economic governance frameworks.

“The creation of global marketplaces is for standardised consumer items on a hitherto unimagined scale of magnitude’. Levit correctly observed. Corporations tailored to this new reality gain from massive economies of scale in manufacturing, distribution, marketing and management.” By turning these benefits into cheaper worldwide pricing, they might defeat rivals who are still bound by antiquated ideas about how the world works.

Global Performance Appraisal of MNCs:

When the majority of the world's wealthy and developing countries opted for socioeconomic openness to fit into a new vocabulary of globalisation at the end of the 20th century, multinational corporations (MNCs) arose as a unique species.

The following paragraphs evaluate how well multinational corporations (MNCs) have performed in terms of openness with expanding technical collaboration, foreign direct investment (FDI) flow, capital repatriation, joint ventures, mergers and acquisitions and subsidiaries in order to bolster the idea that these MNCs have emerged as major players in the global economic landscape. From the above discussion and analysis, multinational corporations (MNCs) are expanding at a spectacular rate all over the world.

The following elements are identified as the primary causes of this:

1. Growing size of the market
2. Varied field of operations
3. Improved marketing incentives
4. A sound financial background
5. Advanced technology

The factory style of production resulted in huge scale manufacturing and businesses began seeking for a large market to support this ever-expanding output. As a result, they expanded their economic operations outside the physical borders of their own nation. Large-scale business activities have expanded and they have developed an international reputation and loyalty. They began to broaden their scope of operations. Most large corporations began creating an excessive number of items under a single brand name.

They even outline their efforts in the consumer goods and service sectors. This gave these large corporations a new dimension, that of a worldwide business.

MNCs have superior marketing resources compared to domestic businesses because:

- They have an advanced and trustworthy marketing information system.
- Due to their positive reputation and image, they face very little competition from domestic businesses.

Notes

- Their advertising and sales promotion strategy is more effective and visually appealing.
- They have an effective inventory control and warehousing system.
- They are knowledgeable, professional staff who can adjust to the newest information and technologies.

The fundamental human rights of the citizens of the host nations should be respected by a few guidelines. These are:

1. MNCs should carry out welfare initiatives for the workers of the host nations and provide technical and economic benefits.
2. In addition to promoting the cultures of the host nations, MNCs must respect the laws and political systems.
3. MNCs are required to pay their employees in the host nations fairly.
4. When employees are involved in risky activities, MNCs should ensure their safety and get their "informed consent."



Technology is the most dynamic factor determining the global economy's future. A MNC brings the most advanced and sophisticated technology to the host country. Because they lack technology, underdeveloped nations invited these MNCs to participate in their industrial development process. Global market openness, competitiveness and importance to a globalised economy have all increased as a result of the large number of market participants.

Due to the rising globalisation, previous research has addressed the problems and offered solutions, enabling multinational firms to capitalise on new market opportunities.

The home and host nations may have different economic and environmental circumstances. Multinational organisations must take the necessary precautions to avoid upsetting or disrupting the social and cultural norms of their home nations. Tensions may arise if the compensation is as large as in the home nation and exploitation will result if it is too low. They should receive fair recompense for the extra risks they took.

International Trade

The exchange of capital, goods and services across international borders or territories in response to a need for or shortage of goods or services is known as international trade.

Raw materials, food, machinery and consumer goods like television sets and clothing are all often traded. Payments for foreign patents and travel services are examples of additional transaction types.

International financial flows are greatly aided by the central banks of trading nations and the private banking sector. Giving a nation commodities it lacks in return for those it produces in great amounts is usually the aim of international trade and the financial transactions that accompany it. These transactions, when combined with other economic strategies, provide a country with goods it lacks in return for those it produces in vast numbers, which tends to improve a nation's standard of life.

Seven Ethical issues in International Trade

Businesses must comprehend their mission, vision, goals, policies and strategies as well as the ethical and legal ramifications of doing business globally. International trade's ethical concerns:

1. **Workplace Procedures:** If the labour conditions in a host country are clearly worse than those in a multinational's home country, should corporations implement the following?
 - Home country standards
 - Host country standards
 - Something in between
2. **Human Rights:** In developed countries, fundamental human rights such as freedom of association, freedom of speech, freedom of assembly and freedom of movement are taken for granted. Other countries might not have these rights.
3. **Pollution of the Environment:** When different environmental laws in the host country are significantly worse than those in the home country, ethical problems occur. Since certain aspects of the environment are a public good that no one owns but anybody can destroy, environmental issues are given more weight. The tragedy of the commons happens when people exploit a resource that everyone shares but no one owns, causing it to deteriorate.
4. **Corruption:** Paying bribes to foreign government officials in order to obtain business was prohibited in the US by the Foreign Corrupt Practices Act. The Organisation for Economic Cooperation and Development (OECD) approved the Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, which requires member governments to criminalise bribery of foreign public officials.



Notes

5. Moral Duties: The idea of "social responsibility" refers to the idea that companies should take into account how their economic decisions will affect society and that decisions that have both positive social and economic repercussions should be given preference. Some contend that companies should acknowledge their noblesse oblige and contribute to the communities that have enabled their prosperity.

Additionally, cultural considerations have the power to make or ruin a company that conducts business abroad. Every nation, civilisation and culture has its own ethical code, history and traditions.

- Another cultural obstacle is language barriers, which frequently require interpreters when interacting with customers and business associates
- Gender issues can arise in countries where women do not enjoy the same rights as men
- Religious holidays and other cultural events can occasionally make trading difficult
- When conducting business internationally, employees need to be aware of the norms and regulations to minimise ethical dilemmas
- Importance of ethics in international business

All participants to a commercial transaction, including partners and customers, gain confidence when ethical standards are upheld. Organisations build this trust by exhibiting a continuous pattern of moral behaviour over time, gaining a reputation for integrity, social responsibility and respect for human rights. Employees must make everyday decisions based on a shared set of moral and ethical standards in order for a corporate organisation to function properly. Laws and regulations regulate many ethical standards, including worker safety rules and environmental protections. Management leadership models ethical behaviour and decision-making for employees, demonstrating and promoting other ethics in international company. Companies that conduct business internationally are required to abide by all federal and state regulations, as well as laws pertaining to the environment, financial and financial reporting and civil rights.

A leader must fire a good employee in order to increase an organisation's output and the legal notice must be present in order to persuade all employees to comply.

4.2 Business Ethics and Corporate Governance

The moral standards that determine what is right and wrong in society are referred to as ethics. Consequently, business ethics are a collection of professional standards that emphasise the ideas of integrity and accountability to the organisation and the general public. The following are some more important corporate ethics principles:

- Fairness
- Integrity
- Commitment to agreements
- Broad-mindedness and considerateness
- Importance given to human esteem and self-respect
- Responsible citizenship
- Attempt to excel
- Accountability

Strict adherence to these values fosters positive connections inside the company and a respectable corporate environment. However, the following circumstances may lead to notable departures from these guidelines:

- Ignorance and indifference to issues
- Selfishness
- **Imperfect reasoning:** The human activity of purchasing and selling goods in order to create or acquire wealth is known as business.

Business ethics and principles are essential to a corporate organisation's successful expansion. In the context of business, ethics refers to a set of guidelines that can be applied to decide what is appropriate and inappropriate for a company. Corporate ethics are governed by a number of principles, including fairness, honesty, regard for human dignity and self-respect, open-mindedness, consideration and adherence to agreements. What is right and wrong in the workplace is the focus of business ethics.



According to Wallace and Pekel, "moral ideals that were not taken seriously are aggressively questioned at that time, so attention to corporate ethics is vital during times of profound change." Business ethics are what empower executives and staff to take action during times of crisis and uncertainty in the company. One way to handle ambiguous business issues is through business ethics.

Benefits of Business Ethics

The following are some of the many advantages of managing ethics in a business:

- They support the establishment of government agencies, unions, laws and regulations in society.

Notes

- They assist an organisation in upholding moral principles in times of crisis. Programs for business ethics teach executives how to handle difficult situations and how they should behave in such situations.
- They assist employees in acting in accordance with the moral principles that an organisation's upper management favours. An company finds a lot of discrepancies between the values that employees exhibit and the values that they like. Workers perceive a strong connection between the organisation's ideals and their own. Teamwork is fostered by ethical ideals, which boosts workers' total productivity.
- Employee development is aided by ethics. When an employee is concerned about ethics, he or she gains confidence in their ability to cope with reality and deal with both good and negative situations. Bennett highlighted in his paper 'Unethical Behaviour and Stress Appear to Be Linked' that the more emotionally well an employee is, the more ethical he is.
- Ethics has developed into a legal instrument. Numerous cases pertaining to personnel concerns and the effects of the company's services on investors and customers are currently underway. The main ethical principles used in the organisation are those found in the laws of the government. Strong ethical procedures and regulations in the workplace are ensured by the government's greater attention to ethical issues. A breach of contract could occur, for instance, if the terms and conditions of the agreement are not followed.
- These help lower fines and prevent criminal acts of omission. Ethics helps identify ethical issues and address any transgressions committed by the organisation. By adhering to an organisation's ethical values policies, fines can be decreased. For instance, a company that wilfully violates a contract is considered to have committed a crime and faces consequences.
- The values related to diversity management, strategic management and quality management are identified and managed with the use of ethics. Ethical programs document these principles, create rules and procedures and train staff members on these policies and processes in order to manage these values. Reliability, performance, measurement and feedback are some of the quality management values that these moral programs oversee. In a similar vein, these initiatives also oversee a number of strategic principles, like cutting expenses and growing market share.
- They also aid in creating a solid and favourable public perception of an organisation. An organisation can improve its goodwill in the market by upholding ethical standards. Businesses that cherish their clients have a beneficial impact on the market.



- Establishing a successful and socially responsible firm is made possible by ethical beliefs. Additionally, they make the organisational culture stronger. Relationships between a company and its clients are enhanced by ethical principles. By guaranteeing consistency in the standard and quality of the output, they fortify the organisation. They ensure that the proper tasks are carried out inside a company.

Corporate Governance

Controlling, directing and assessing an organisation's actions is characterised as corporate governance. The corporate governance structure requires that certain rights and responsibilities be granted to other members of the company, including shareholders, the board of directors, board managers and other stakeholders. Giving participants in an organisation authority makes it possible to monitor employee performance. Corporate governance assists a business in achieving its aims and objectives in a desirable manner.

Because corporate governance prioritises the corporation's and society's economic health, it has been a huge success in drawing public attention. Corporate governance, on the other hand, encompasses a vast range of unique economic phenomena. Consequently, a number of definitions of corporate governance have been put forth. The following are some definitions of corporate governance:

According to Shleifer and Vishny, 'Corporate governance deals with the ways in which suppliers of finance to corporations assure themselves of getting a return on their investment.

According to the J. Wolfensohn, 'Corporate governance is about promoting corporate fairness, transparency and accountability.'

The Need for Corporate Governance

There are various reasons for the need for corporate governance in an organisation. These are:

- In all its transactions with its stakeholders, a corporation, which is a union of numerous stakeholders such as employees, consumers, investors, vendors and so on, must be fair and transparent. It is critical in today's globalised corporate environment, where firms must be able to access global pools of money to recruit and retain the greatest human resources from all over the world. A company is not deemed successful if it does not embrace and demonstrate ethical behaviour.



Notes

2. Corporate governance refers to business ethics, as well as the code of values and principles that guide an individual in deciding between right and wrong, or making the best decision among the options or alternatives available. Managers make decisions based on guiding principles that are shaped by the organisation's culture, setting and values. An organisation that adheres to ethical ideals believes that it is better for business since it benefits in the long term and stakeholders see that the management is operating the company in the right direction.
3. It is beyond the scope of the law, which means it is based on the management's history and viewpoint and cannot be governed only by laws. It is concerned with conducting a company's operations in such a way that all stakeholders are treated fairly and that the company's dealings benefit the maximum number of stakeholders. It's all about sincerity, accountability and duty. Laws should establish a unified foundation for upholding standards. Because content is so closely tied to management's thinking and ethical norms, it will ultimately determine the process's credibility and integrity.
4. Corporations should recognise that to assist progress, all stakeholders must work together. Only by following best practises in corporate governance can such collaboration and assistance be achieved. In this framework, management must assume responsibility for all shareholders and put an end to any unequal advantages to various shareholder groups.
5. Corporate governance may help a firm enhance its economic competency. Corporate governance also guarantees that businesses consider the interests of a diverse variety of stakeholders as well as the communities in which they operate. Corporate governance also makes sure that the boards of directors are responsible to the shareholders. This also aids in ensuring that firms operate for the good of society, including labour and environmental issues.
6. If good governance is not implemented properly, it can result in significant financial losses in addition to regulatory issues. Many companies that do not place a high priority on corporate governance wind up paying a high-risk premium in the public markets as they compete for scarce capital. Stock market experts have recently begun to recognise, embrace and appreciate the link between returns and company governance.
7. The credibility that comes from effective company governance maintains and upholds the confidence of both international and domestic investors. The cost of capital should be reduced to attract more long-term investment. Corporate governance aims to increase an organisation's long-term value for its shareholders as well as partners. It represents a synthesis of all those participating in a socioeconomic process. It is imperative for all organisations to govern and manage. Corporate governance involves all stakeholders and the process is both economically and socially beneficial.



Studies related to corporate governance practices conducted worldwide by various institutions clearly indicate that no single model is available for good corporate governance. The OECD also recognises this.

It also accepts the fact that a wide range of approaches to corporate governance have developed due to the differences that exist in institutional frameworks, legal systems as well as traditions in various countries.

All good corporate governance regimes place high preference on the interests of shareholders, as the latter place their trusts on corporations to use their investment funds in an effective and wise manner.

Principles of Corporate

Corporate governance includes principles such as honesty, trust, integrity, responsibility, accountability, and commitment to the organisation. In addition, the key principles of corporate governance are as follows:

1. **Rights and Equitable Treatment of Shareholders:** Organisations must acknowledge the rights of shareholders and assist them in exercising those rights effectively. Shareholders should be encouraged to participate in general meetings and decision-making processes of the organisation.
2. **Stakeholder Interests:** Organisations have a duty to recognise the legal and other obligations of stakeholders, including employees, customers, suppliers, creditors, and the community.
3. **Integrity and Ethical Behaviour:** To promote ethical and responsible decision-making, organisations must develop and implement a code of conduct for directors and members. Ethical standards should guide all actions and decisions within the organisation.
4. **Disclosure and Transparency:** Organisations must clearly define the roles and duties of directors and implement procedures to safeguard organisational integrity. Financial and operational information should be disclosed accurately and timely to investors and shareholders.

Role and Responsibilities of the Board

To address various business challenges effectively, an organisation requires a board composed of members with diverse skills and expertise. The board is responsible for providing strategic direction, overseeing management, ensuring accountability, and acting in the best interests of the organisation and its stakeholders. Board members must perform their duties with diligence, integrity, and a strong sense of responsibility.

Notes

4.3 Environmental Ethics and Bioethics

Environmental ethics is concerned with the ethical interaction that exists between humans and their environmental surroundings. Humans make several ethical judgments that affect the environment. These decisions could include whether a forest area should be cleared to make room for humans or for human consumption, whether zero-emission vehicles should be used to save on fossil fuel resources, whether consumption should be reduced to preserve resources for future generations, whether it is acceptable to be oblivious to the extinction of certain species simply because it is convenient for society and so on.



It is a discipline of ethics that analyses the relationship between humans and the environment, as well as how ethics affects this relationship. Humans, as well as other living beings such as plants and animals, are seen to be members of society. These objects are an essential aspect of the world and are seen as a necessary part of human life.

As a result, every human being must respect and honour this, as well as utilise morality and ethics while dealing with these species.

They aid in the definition of man's moral and ethical responsibilities to the environment. When it comes to environmental ethics, however, human values play a role. Human values are the things that matter to people and they use them to assess actions and occurrences. To put it another way, people give value to specific things and then use that value to determine whether something is proper or incorrect. Human values are unique to everyone since not everyone values each aspect of life equally. For example, a poor individual in an underdeveloped area may consider it ethically acceptable to clear the forest to make place for a farm where he can feed his family. With the emergence of several theories, several environmental ethics have emerged.

While some protect human beings, others protect plants, animals and other elements of nature. The types include:

- **Social ecology:** Social ecology, which is the study of human beings and their relation to their environment
- **Deep ecology:** Deep ecology promotes that all beings have an intrinsic value
- **Ecofeminism:** Ecofeminism is a branch of feminism that helps us look at earth as a woman so that we can respect it in a better way

Managing Environmental Issues

Reinhardt suggests five different approaches to managing environmental issues:

1. Investing in environment friendly processes or products
2. Managing environmental regulations
3. Investing in environmental performance improvement, without increasing costs
4. Combining all the three methods mentioned above to change the basis for competition
5. Looking at environmental issues from a risk management perspective

Bioethics

Bioethics is more than just a term or an academic discipline; it also encompasses environmental ethics. Although the word *bioethics* was introduced in 1970, the underlying concept has existed for thousands of years as part of human heritage. It reflects ideas of care, compassion and the balancing of benefits and risks involved in human choices and decisions. Evidence of bioethical thinking can be found across cultures, religions and ancient texts worldwide.



The term *bioethics* is composed of two elements, each requiring clarification. The word “ethics” refers to the identification, examination and resolution—or mitigation—of conflicts between competing values or goals. At its core, ethics seeks to answer the question: *What should we do, all things considered?* The prefix “bio” places this ethical inquiry within the specific context of life and living systems.

To determine whether concern for the environment falls within the scope of bioethics, it is necessary to further clarify the meaning of bioethics. Broadly, bioethics can be viewed in three distinct ways:

Descriptive Bioethics

Descriptive bioethics examines how individuals and societies understand life, their everyday interactions with living organisms and their responsibilities toward them. It also describes the institutional systems, policies and social structures developed by societies to promote and regulate bioethical behaviour. This approach focuses on observation and analysis rather than judgment.

Prescriptive Bioethics

Prescriptive bioethics addresses what is ethically right or wrong and identifies the principles that should guide ethical decision-making. It also considers whether

Notes

individuals, groups, or entities possess rights and whether others have corresponding duties toward them. This perspective actively evaluates moral choices and behaviours.

Interactive Bioethics

Interactive bioethics involves dialogue, discussion and debate among individuals, social groups and institutions regarding both descriptive and prescriptive bioethics. This can occur through meetings, conferences and forums at local, national and global levels, aimed at exchanging perspectives on how best to protect shared biological and environmental interests.

While descriptive bioethics focuses on examining and comparing existing systems, policies and decisions without judgment, prescriptive bioethics evaluates both the decisions themselves and the processes through which they are made, at individual as well as collective levels. Clarifying and developing prescriptive bioethics enables societies to make better-informed choices—choices that enhance individual well-being and social progress.

In the modern technological era, numerous ethical decisions must be made. Increasing population growth and a consumer-oriented society have intensified pressure on the environment, compelling greater reflection on human actions and their long-term consequences.



Environmental degradation has significant public health implications, reinforcing the importance of bioethical analysis.

Moral dilemmas in Bioethics

Some of the moral dilemmas in bioethics are as follows:

- IPR Infringement
- IPR protection
- Physician patient relationship
- Death and dying
- Resource Allocation
- Assisted reproductive techniques and their use
- Genetic testing and screening
- Clinical research ethics
- Consent, vulnerability and/or coercion

- Mental health illness, treatments and care for patients
- Ethical treatment of research subjects in clinical trials

Importance of Bio ethics

- They support the goal of medical care, which is to reduce suffering
- Ethical norms promote traits like trust, accountability, respect for one another and fair medical treatment that are essential for good communication
- People's respect is ensured by a number of ethical standards in medical care, including informed consent, privacy protection and confidentiality
- The public's acceptance of medical care is aided by these standards
- If people have faith in the program's integrity and quality, they are more likely to donate to health-related programs and pay for medical services
- Ethical standards may encourage cooperative and collaborative work attitudes
- Other fundamental moral and social values that they support include patient safety, legal and regulatory compliance, human rights, social responsibility and patient welfare. A pleasant environment for patients and medical staff can be greatly enhanced by adherence to ethical norms

Bioethics as a Field of Applied Ethics

Bioethics is a specialised branch of applied ethics that addresses ethical issues related to biology and biological systems. It generally encompasses medical ethics, animal ethics and environmental ethics, as well as the interactions among these areas.

Bioethicists raise questions such as:

- How should a person's genomic data be used?
- Is it ethical to use animals to grow human organs?
- How should limited medical resources, such as new vaccines, be distributed?
- How should emerging technologies like brain-computer interfaces be managed?

A widely used framework in bioethical reasoning is the Four-Principal Approach, developed by Tom Beauchamp and James Childress. This approach is based on four universal ethical principles:

1. Autonomy
2. Non-maleficence
3. Beneficence
4. Justice

These principles serve as foundational tools for ethical analysis and decision-making in bioethics.

4.4 Sustainable Development Goals

Sustainable development is the process of moving from today's society to one that is more ecologically friendly. With the globe facing a possible climatic catastrophe - water shortages, drought, starvation and extreme weather - the purpose of sustainable development is to assure a commitment and balance between economic growth, environmental preservation and social well-being.

The Sustainable Development Goals (SDGs), sometimes known as the Global Goals, are a set of 17 interconnected global goals aimed at creating a “blueprint for a better and more sustainable future for all.” The United Nations General Assembly (UNGA) established the Sustainable Development Goals (SDGs) in 2015, with the goal of achieving them by the year 2030. They are part of the 2030 Agenda, often known as Agenda 2030, which was adopted by the United Nations General Assembly. The SDGs were created as part of the Post-2015 Development Agenda as a replacement for the Millennium Development Goals, which expired in 2015.



These goals are –

The focus on People:

SDG 1 - End poverty in all its forms everywhere

SDG 2 - End hunger, achieve food security and improved nutrition and promote sustainable agriculture

SDG 3 - Ensure healthy lives and promote well-being for all at all ages

SDG 4 - Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all

SDG 5 - Achieve gender equality and empower all women and girls The focus on the Planet and on Prosperity

SDG 6 - Ensure availability and sustainable management of water and sanitation for all

SDG 7 - Ensure access to affordable, reliable, sustainable and modern energy for all

SDG 8 - Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all

SDG 9 - Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation

SDG 10 - Reduce inequality within and among countries.

SDG 11 - Make cities and human settlements inclusive, safe, resilient and sustainable

SDG 12 - Ensure sustainable consumption and production patterns

SDG 13 - Take urgent action to combat climate change and its impacts

SDG 14 - Conserve and sustainably use the oceans, seas and marine resources for sustainable development

SDG 15 - Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification and halt and reverse land degradation and halt biodiversity loss

The focus on Peace:

SDG 16 - Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels

The focus on Partnerships:

SDG 17 - Strengthen the means of implementation and revitalise the Global Partnership for Sustainable Development Finance.

Even though the objectives are wide and interrelated, a UN Resolution voted by the General Assembly two years later (6 July 2017) made the SDGs more “actionable.” The resolution includes detailed targets for each aim, as well as markers for tracking progress toward those goals. The year by which the goal is supposed to be met is generally between 2020 and 2030. There is no set deadline for several of the goals.



Several technologies exist to measure and visualise progress toward the goals, making monitoring easier. The goal is to make data more accessible and understandable. For instance, the online magazine SDG Tracker, which was published in June 2018, compiles data from all indicators. The SDGs pay attention to multiple cross-cutting issues, like gender equity, education and culture cut across all the SDGs.

There were serious impacts and implications of the COVID-19 pandemic on all 17 SDGs in the year 2020

Notes

The 2030 agenda for sustainable development

The United Nations approved the 2030 Agenda for Sustainable Development in September 2015 as a new roadmap for achieving sustainable development. The 2030 Agenda for Sustainable Development lays out the Sustainable Development Goals, a set of common goals to protect the environment and ensure social well-being. By adopting this new plan, the governments agreed to mobilise the necessary resources over the following fifteen years to carry it out.

The United Nations Development Program (UNDP) is tasked with assisting in the implementation of the Goals. The Sustainable Development Goals, often known as the Global Goals, aim to achieve a balance between economic growth, environmental balance and social advancement, guaranteeing that all people have equal opportunities and may live better lives without jeopardising the planet. Climate change, respect for human rights, hunger, water shortages and other issues confront humans. These issues can only be addressed by taking a global approach and encouraging sustainable development via a variety of programmes. Many organisations and businesses are conducting events or launching new projects to promote sustainable development and mobilise citizens.

4.5 Manufacturing and Marketing Ethics

Ethics in manufacturing and marketing refers to the moral standards that guide how products are produced and how they are presented to the market. Since these functions directly influence consumers, employees, and society, ethical conduct in these areas is essential for long-term organisational success and public trust.



Ethical Practices in Manufacturing

Manufacturing ethics focuses on responsible production processes that prioritise safety, quality, sustainability, and fairness. Ethical manufacturers ensure that goods are produced without causing harm to workers, consumers, or the environment.

Key ethical responsibilities in manufacturing include:

- **Product Safety and Quality:** Products must meet established safety standards and perform as promised. Cutting corners to reduce costs at the expense of quality is unethical and may endanger consumers.
- **Workplace Safety:** Employees should work in safe and healthy conditions. Proper training, protective equipment, and compliance with safety regulations are fundamental duties.



- **Environmental Responsibility:** Manufacturing processes should minimise pollution, manage waste effectively, and use resources efficiently. Sustainable sourcing and energy conservation are important aspects of responsible production.
- **Fair Labour Practices:** Exploitation of workers through unfair wages, forced labour, or unsafe conditions is unethical. Equal opportunity and non-discrimination must be ensured.
- **Honest Sourcing and Supply Chain Management:** Companies must verify that suppliers follow ethical standards and do not engage in child labour, environmental violations, or illegal practices.

Ethical manufacturing builds brand credibility, reduces legal risks, and contributes to sustainable development.

Ethical Practices in Marketing

Marketing ethics deals with fairness and honesty in promoting products and interacting with customers. Marketing activities should respect consumer rights and provide accurate information.

Important principles of ethical marketing include:

- **Truthful Communication:** All promotional messages must accurately represent the product's features, benefits, and limitations.
- **Transparency in Pricing:** Prices, additional charges, and terms of sale should be clearly disclosed without hidden conditions.
- **Respect for Consumer Privacy:** Customer data must be collected and used responsibly, with proper consent.
- **Responsible Targeting:** Marketing strategies should avoid exploiting vulnerable groups such as children or the elderly.
- **Fair Competition:** Businesses should compete based on product merit rather than spreading false information about competitors.

When both manufacturing and marketing functions operate ethically, organisations strengthen stakeholder confidence and maintain a sustainable competitive advantage

4.6 Ethics Pertaining to Different Discipline

Technology- Ethical Hacking, Teaching Ethics, Media Ethics, Bio Ethics, Legal ethics, Business ethics, management law, journalism.

4.6.1 Ethics in Marketing and Sales

Ethics in marketing and sales specifically concerns the behaviour of organisations and sales professionals during the process of promoting, negotiating, and delivering products

Notes

or services to customers. While marketing creates awareness and interest, sales activities directly influence purchase decisions. Therefore, integrity in these areas is crucial.

Ethics in Marketing

Ethical marketing requires organisations to design campaigns that inform rather than mislead. Marketing communication should help customers make informed decisions.



Core ethical considerations include:

- **Accuracy of Claims:** Statements regarding performance, durability, or benefits must be supported by evidence.
- **Avoidance of Manipulative Techniques:** Fear-based messaging, exaggerated urgency, or emotional exploitation should not be used to pressure customers.
- **Social Responsibility:** Advertisements should not promote harmful stereotypes, unhealthy behaviour, or socially irresponsible conduct.
- **Digital Marketing Ethics:** Online promotions must clearly distinguish between advertisements and organic content. Influencer partnerships should be disclosed transparently.

Ethics in Sales

Sales ethics relates to the conduct of sales representatives during customer interactions.

Key principles include:

- **Honest Representation:** Sales personnel must not misrepresent product specifications, availability, or warranty terms.
- **Informed Consent:** Customers should fully understand contract terms before agreeing to a purchase.
- **No Undue Pressure:** Aggressive or coercive tactics undermine trust and damage long-term relationships.
- **After-Sales Commitment:** Promises made during the sale must be honoured through reliable service and support.
- **Equal Treatment of Customers:** Discriminatory pricing or service practices without justification are unethical.

Ethical marketing attracts customers, but ethical sales practices retain them. Together, they create customer loyalty, protect brand reputation, and contribute to sustainable business growth.

4.6.2 Ethics in Media and Journalism

In essence, ethics are the voluntary self-control that journalists must exercise in order to uphold their own credibility, safeguard and advance the public's trust and avoid betraying the public's confidence. A democracy cannot exist without the press. It collects and shape's public opinion. Parliamentary democracy can only flourish when it is subject to media scrutiny. In addition to reporting on events, the media acts as a conduit between the public and the government. The Internet and social media are creating new ethical challenges for the media, which have long existed.



- These are the subset of applied ethics that deals with the particular ethical rules and principles of media, such as print, broadcast, film, theatre, the arts and the internet
- The field encompasses a wide range of contentious issues, from advertising campaigns to war reportage
- They successfully uphold and promote principles such as the rule of law, legality and universal respect for life
- Media ethics describes and addresses moral issues around the use of citizen-provided words and images by the media

The media worldwide has voluntarily acknowledged that a code of ethics ought to address at least the following aspects of behaviour:

1. The obligation to guarantee integrity and equity
2. The obligation to get the subject's opinion before publishing any critical reporting
3. The need to rectify factual mistakes
4. The obligation to refrain from fabricating images or using them deceptively
5. The obligation to give a chance to respond to both critical factual reporting and critical viewpoints.
6. The obligation to discern between opinion and fact
7. The obligation to refrain from inciting hatred or discrimination based on factors like gender, race, nationality, or religion
8. The need to avoid obtaining knowledge by dishonest means
9. The obligation to protect others; ix. basic criteria of taste and decency
10. The need to announce the dismissal of charges or acquittal of anyone about whom the paper had previously reported that charges had been filed or that a trial had begun, as well as to refrain from prejudging the guilt of an accused person

Notes

4.6.3 Ethics in Technology, Cybersecurity and Rights Protection in Cyberspace

The rapid expansion of digital technologies has transformed communication, commerce, governance, and personal interaction. Alongside these developments, ethical responsibilities in technology and cyberspace have become increasingly significant. Ethical conduct in digital environments ensures that technological innovation benefits society without compromising security, privacy, or fundamental rights.

Ethics in Technology

Technology ethics examines how digital tools and systems are designed, developed, and used. Since technology influences decision-making, employment, healthcare, education, and governance, ethical oversight is essential.

Major ethical concerns in technology include:

- **Responsible Innovation:** Developers must consider the social consequences of emerging technologies such as artificial intelligence, automation, and biotechnology.
- **Data Responsibility:** Organisations should collect only necessary data, store it securely, and avoid misuse or unauthorised sharing.
- **Digital Divide:** Ethical technology development should promote inclusion and accessibility rather than widening inequalities.
- **Environmental Impact:** Disposal of electronic devices, energy consumption of data centres, and overproduction of hardware raise sustainability concerns.
- **Algorithmic Fairness:** Automated systems must be monitored to prevent bias or discrimination in outcomes.

Ethical technology management requires transparency, accountability, and a commitment to human welfare.

Cybersecurity Ethics

Cybersecurity ethics refers to the moral principles guiding the protection of networks, systems, and digital assets. Security professionals hold significant power, as they can access sensitive data and critical infrastructure.

Ethical responsibilities in cybersecurity include:

- **Lawful Conduct:** Security testing and monitoring must be performed with proper authorisation.
- **Confidentiality:** Sensitive information accessed during security assessments must remain protected.



- **Responsible Disclosure:** Vulnerabilities discovered should be reported promptly to prevent exploitation.
- **Proportional Monitoring:** Surveillance measures must balance organisational security with individual privacy rights.

Rights Protection in Cyberspace

Cyberspace is not beyond ethical or legal accountability. Individuals retain fundamental rights online, including:

- Right to Privacy
- Freedom of Expression (within lawful limits)
- Protection from Online Harassment and Exploitation
- Data Protection and Identity Security

Governments, corporations, and users share responsibility for maintaining a safe and rights-respecting digital environment. Ethical behaviour in cyberspace ensures that technological progress does not undermine democratic values or human dignity.

4.6.4 Ethics in Management and Psychology

Ethics in management refers to the moral principles and standards that guide managerial behaviour and decision-making within organisations. Managers are responsible not only for achieving organisational goals but also for ensuring fairness, transparency and accountability in their actions. Ethical management involves treating employees, customers and stakeholders with honesty and respect, complying with laws and regulations and balancing profit motives with social responsibility. When ethical values are embedded in leadership practices, they help build trust, enhance organisational reputation and create a positive work culture.

Psychology plays a crucial role in understanding ethical behaviour in management because managerial decisions are deeply influenced by human attitudes, perceptions, motivations and biases. Psychological factors such as moral reasoning, cognitive biases, stress, power dynamics and group behaviour can affect how managers perceive ethical dilemmas and choose to respond to them. For example, pressure to meet targets may lead to unethical choices, while conformity and obedience can cause individuals to follow questionable practices.

Understanding these psychological influences helps managers become more self-aware and make more ethical decisions.

Notes

The integration of ethics and psychology in management highlights the importance of ethical leadership and ethical decision-making frameworks. Managers who understand psychological processes can better promote ethical behaviours by encouraging open communication, setting clear ethical standards and leading by example. Training programs, ethical codes and supportive organisational climates can reduce unethical conduct and promote moral responsibility. Ultimately, combining ethical principles with psychological insight enables managers to create sustainable organisations that value both performance and human well-being.

Ethics in Psychology

Ethics in psychology focuses on protecting the dignity, rights and well-being of individuals involved in psychological practice and research. Core principles include informed consent, confidentiality, competence and non-maleficence. Ethical psychologists must avoid harm, respect autonomy and ensure responsible use of psychological assessments and interventions.



Protection of Dignity and Rights

- Ethics in psychology focuses on protecting the dignity, rights and well-being of individuals involved in psychological practice and research
- Because psychologists work with thoughts, emotions and behaviour, ethical responsibility is especially critical

Informed Consent

- Informed consent requires individuals to clearly understand the nature, purpose, risks and benefits of psychological assessment, therapy, or research
- Participation must be voluntary, without coercion or deception
- This principle supports personal autonomy and informed decision-making

Confidentiality

- Psychologists are ethically obligated to protect personal and sensitive information shared by clients or research participants
- Confidentiality helps build trust and encourages honest communication
- The limits of confidentiality must be explained, such as situations involving risk of harm or legal obligations

Competence

- Psychologists must practice only within the boundaries of their education, training and professional expertise

- Continuous learning and professional development are necessary to maintain ethical competence
- Use of outdated or unverified methods is considered unethical

Non-Maleficence and Beneficence

- The principle of non-maleficence requires psychologists to avoid causing physical, emotional, or psychological harm
- Beneficence emphasises actively promoting the well-being of individuals and society
- Interventions should be chosen only when benefits outweigh potential risks



Professional Boundaries and Integrity

- Psychologists must avoid exploitation, conflicts of interest and dual relationships that may impair objectivity
- Ethical practice requires honesty, fairness and professional integrity in all interactions

Ethics in Psychological Research

- Research must ensure fair participant selection and special protection for vulnerable groups
- Deception, if used, must be justified and followed by proper debriefing
- Data must be reported honestly and used responsibly

Importance of Ethical Practice

- Ethical guidelines provide a moral framework for decision-making in psychology
- They help maintain public trust in the profession
- Ethical practice ensures psychology is used responsibly for the benefit of individuals and society

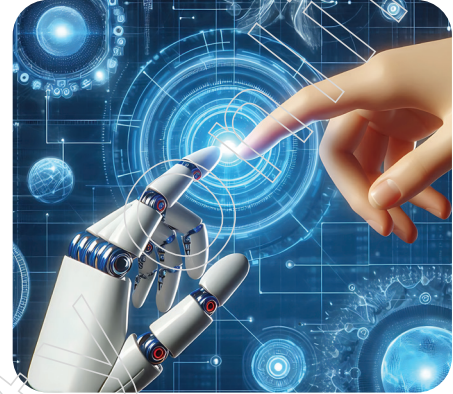
4.6.5 Digital Intellectual Property Rights and Emerging Ethical Challenges

Digital Intellectual Property Rights (IPR) concern the ownership and protection of creations that exist in electronic form, including software, digital art, e-books, online courses, databases, multimedia content, and technological innovations. The digital environment makes copying, modifying, and distributing content effortless, raising complex ethical questions beyond legal compliance.

Notes

Ethics of Digital Intellectual Property

Ethical use of digital intellectual property requires respect for creativity and innovation. Creators invest time, knowledge, and resources into developing original works; therefore, unauthorised use undermines both fairness and economic sustainability.



Key ethical principles include:

- **Respect for Ownership:** Digital content should not be reproduced, shared, or modified without permission from the rights holder.
- **Proper Attribution:** Acknowledging the original creator prevents plagiarism and maintains academic and professional integrity.
- **Compliance with Licensing Terms:** Users must adhere to conditions specified in software licenses, open-source agreements, and subscription services.
- **Prevention of Digital Piracy:** Illegal downloads, cracked software, and unauthorised streaming violate ethical standards and harm industries.

Ethical awareness is particularly important in academic institutions, research environments, and technology-driven businesses.

Emerging Ethical Challenges

Technological advancements are continuously reshaping intellectual property concerns.

1. Artificial Intelligence and Content Creation

AI-generated works raise questions about authorship and ownership. Determining who holds rights—the developer, user, or machine—creates ethical ambiguity.

2. Big Data and Content Training

Using copyrighted material to train algorithms without explicit permission challenges traditional notions of consent and compensation.

3. Blockchain and NFTs

While blockchain offers proof of ownership, it also raises concerns about speculative markets, authenticity, and environmental impact.

4. Global Accessibility vs. Protection

Strict digital rights enforcement may limit access to knowledge in developing regions, while weak enforcement discourages innovation.

5. Temporary and Cloud-Based Storage

Cloud computing and streaming services blur the line between access and ownership, creating new ethical dilemmas regarding control and usage rights.

As digital ecosystems evolve, ethical judgment must complement legal frameworks. Individuals, businesses, educators, and policymakers must strive for a balanced approach that protects creators while promoting innovation, knowledge sharing, and social progress.

4.7 Case Studies

Global and Indian Examples of Ethical Dilemmas

Case Study: The Case of NovaTech Solutions Pvt. Ltd.

NovaTech Solutions Pvt. Ltd. is an Indian multinational IT and data analytics company headquartered in Bengaluru, with major clients in the United States and Europe. The company provides cloud-based data management services to global corporations, including healthcare providers, e-commerce firms and financial institutions. Due to its international presence, NovaTech must comply with Indian IT laws, global data protection regulations and ethical standards expected by international stakeholders.



Key individuals involved:

- Mr. Aniket Rao – Chief Executive Officer (CEO), India
- Ms. Laura Bennett – Global Compliance Officer, USA
- Mr. Kunal Mehra – Head of Data Analytics, India

The Ethical Situation

NovaTech secures a lucrative contract from a European retail corporation to analyse customer behaviour using large-scale consumer data. The project promises high revenue and global recognition. During implementation, Kunal Mehra discovers that a portion of the data includes personally identifiable information collected without explicit user consent.

When the issue is raised internally, senior management argues that:

- The data was obtained through a third-party vendor
- Similar practices are common in global analytics projects
- Delaying or rejecting the project could result in financial loss and job cuts

Notes

However, Laura Bennett, the Global Compliance Officer, warns that using such data may violate GDPR (General Data Protection Regulation) and ethical principles of data privacy, transparency and informed consent. She also points out that Indian data protection norms are evolving and that reputational damage could affect NovaTech's credibility worldwide.

The Ethical Dilemma

The company faces a complex ethical dilemma involving global and Indian perspectives:

- Should NovaTech proceed with the project to secure profits and maintain global competitiveness?
- Or should it halt the project to uphold ethical standards, data privacy and stakeholder trust, even at the cost of financial loss?

This dilemma reflects the conflict between:

- Profit maximisation vs. ethical responsibility
- Business pressure vs. legal and moral compliance
- Global competitiveness vs. individual rights

Ethical Issues Involved

- **Ethics in Technology:** Responsible use of data and digital privacy
- **Ethics in Management:** Leadership accountability and decision-making
- **Ethics in Law:** Compliance with international regulations like GDPR
- **Ethics in Business:** Transparency, trust and corporate integrity

Ethical Analysis

- **Utilitarian Perspective:** Short-term benefits favour proceeding with the project, but long-term harm from legal penalties and loss of trust outweighs immediate gains.
- **Deontological Perspective:** Using data without consent is inherently unethical, regardless of outcomes, as it violates individual rights.
- **Virtue Ethics:** Ethical leadership requires integrity, responsibility and moral courage, even under financial pressure.



Notes

Decision and Action

After extensive deliberation, Aniket Rao decides to suspend the project temporarily. NovaTech:

- Conducts a full audit of the data sources
- Rejects datasets lacking proper consent
- Revises contracts with third-party vendors
- Implements stricter ethical and compliance frameworks

The company informs the client transparently and proposes an alternative solution using ethically sourced data.

Outcome

- NovaTech initially faces financial setbacks and criticism from investors
- Over time, the company earns recognition for its ethical data governance practices
- International clients view NovaTech as a trustworthy partner
- Internally, the case becomes a benchmark for ethical decision-making across global operations.

Conclusion

The NovaTech Solutions case highlights how ethical dilemmas in a globalised business environment often require balancing commercial success with moral responsibility. It demonstrates that ethical decision-making, though challenging in the short term, strengthens long-term sustainability, trust and global credibility. The case underscores the importance of integrating ethical values with global and Indian business practices in an interconnected world.

Summary

- When enterprises are conducted in different nations by different MNCs throughout the world, ethical behaviour is now a need.
- Managers must adhere to the concept of corporate ethics and a code of conduct. Similarly, the concerns of corporate governance and their relevance in today's world must be considered.
- Another point to consider is why environmental ethics is essential and how companies may help protect the natural environment, as well as why sustainable development is critical for the planet's, people's and business's well-being.
- Different marketing ethics and what a manufacturer's responsibilities are when making items are equally important for any firm and must be followed.

Notes

- There are multiple industries that are prevalent today such as medical care, mass media, journalism, technology etc. and to succeed they need to have certain ethics and be on their path to be profitable as well as trustworthy.

Glossary

- **Globalisation:** Globalisation is a term that describes the interconnectedness and expansion of technology, manufacturing and communication around the world.
- **Multinational Firms (MNC):** Multinational firms (MNCs) have been significantly responsible for these phenomena. In addition to their essential position as “champions” of specific national economies, these companies have formed an increasingly global economy through their vast operations, which have been aided by new technology and transportation revolutions.
- **Business:** Business is defined as a human activity in which somebody buys and sells products to generate or obtain riches.
- **Environmental Ethics:** Environmental ethics is concerned with the ethical interaction that exists between humans and their environmental surroundings.
- **Sustainable Development Goals:** The Sustainable Development Goals (SDGs), sometimes known as the Global Goals, are a set of 17 interconnected global goals aimed at creating a “blueprint for a better and more sustainable future for all.”
- **Manufacturing Ethics:** Businesses have a significant effect on their communities, whether it is via environmental stewardship or contributions to the lives of their employees.

Check Your Understanding

1. Obeying the law of the home country is a business's _____.
 - a. Right
 - b. Choice
 - c. Economic responsibility
 - d. Legal responsibility
2. Ethical dilemmas in the form of _____ may occur where a manager takes a bribe or kickback or extraordinary gift in return for making the decision favourable to the gift giver.
 - a. Discrimination
 - b. Sexual harassment.
 - c. Conflicts of interest.
 - d. Customer confidence.

3. Which of the following best describes a diverse workforce?

- a. A company hires white men and women to work for their company.
- b. company hires only women because they are part of a protected workforce.
- c. A company hires only African Americans because they are part of a protected workforce.
- d. A business hires men, women and people of different races, religions and backgrounds.

4. Which of the following regarding corporate governance is correct?

- a. Corporate governance can hamper the growth of the company.
- b. Good corporate governance can result in excessive risk-taking.
- c. Corporate governance often results in ineffective decision-making.
- d. Corporate governance aims to protect the interests of shareholders and the local economies.

5. Which of the following describes an ecologically sustainable organisation?

- a. A company conducts business to meet the needs of current customers without compromising future generations' ability to live
- b. A business operates inconsistently with the principles of sustainable development
- c. A company cuts corners to avoid embracing safety, health and environmental regulation
- d. A business treats society as their dumpsite for manufacturing waste

Exercise

1. Explain how globalisation of MNCs and international trade create ethical challenges related to labour practices, cultural diversity and regulatory compliance
2. Discuss the role of business ethics and corporate governance in promoting transparency, accountability and stakeholder trust in organisations
3. Examine the importance of environmental ethics and bioethics in addressing ecological sustainability and ethical concerns in scientific and medical practices
4. Explain how the Sustainable Development Goals (SDGs) influence ethical decision-making in businesses and multinational corporations
5. Analyse ethical issues in manufacturing and marketing practices, highlighting how ethics vary across different professional disciplines.

Learning Activates

- Analyse a short case involving an MNC operating across borders, focusing on issues related to globalisation, international trade, environmental ethics and

Notes

corporate governance. Identify ethical dilemmas and propose solutions aligned with SDGs and ethical standards.

- Examine ethical challenges in different disciplines such as manufacturing, marketing, healthcare, or technology. Present how ethical principles apply differently across disciplines and how businesses can ensure ethical consistency globally.

Check Your Understanding- Answer

1. d
2. c
3. d
4. d
5. a

Further Readings and Bibliography

- Rugman, A. M. and Collinson, S. (2012). *International business*. Pearson Education.
- Solomon, R. C. (1992). *Ethics and excellence: Cooperation and integrity in business*. Oxford University Press.
- Singer, P. (2011). *Practical ethics*. Cambridge University Press.
- Sachs, J. D. (2015). *The age of sustainable development*. Columbia University Press.
- Ferrell, O. C., Fraedrich, J. and Ferrell, L. (2019). *Business ethics: Ethical decision making and cases*. Cengage Learning.

Module 5: Name of Module: Research Ethics and Academic Integrity

Learning Objectives

At the end of the module, you will be able to:

- Determine best research practices
- Understand the academic misconducts
- Understand redundant publications and their violation
- Interpret the usage of plagiarism software

Introduction

Trust is a major factor in research publication. It takes place in a setting where strong financial, intellectual and occasionally political interests may clash or compete. Academic societies, publication houses, editors, writers, research funders, readers and publishers will all gain from effective research and editing that balances these interests and promotes a long-lasting and effective publishing system.



5.1 Best practices in Research/Standards Setting Initiatives and Guidelines: COPE, WAME, etc

It takes intentional promotion to establish good publication practices; they don't just happen. The World Association of Medical Editors (WAME), the Committee on Publication Ethics (COPE), the Directory of Open Access Journals (DOAJ) and the Open Access Scholarly Publishers Association (OASPA) are academic bodies that promote excellent research and its publication.

Committee on Publication Ethics (Cope)

In order to transform the publishing culture and make ethical behaviour the norm, the Committee on Publication Ethics, or COPE, is committed to educating and supporting editors, publishers and others involved in publication ethics.

In addition to encouraging professional discourse in the larger community, the strategy is strongly focused on influencing through education, tools and member support. Founded in 1997 by just three editors, COPE has grown to be a fully multidisciplinary international association with over 12,000 members worldwide, mostly editors but also publishers and a few other connected institutions and individuals.

Notes

All of COPE's members receive tools and assistance on all facets of publishing ethics, including how to deal with instances of research and publication misconduct that occur at their publications. COPE encourages editors to make sure that cases are looked into by the proper authorities (often a research institution or employment), but it does not look into individual instances.

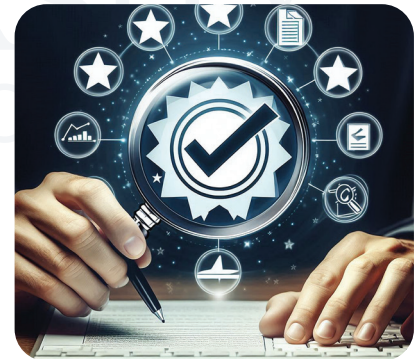
The Codes of Conduct for Journal Editors and Publishers are intended to be adhered to by all COPE members.

COPE has an objective to:

- Expand the scope of resources to meet the needs of all members, irrespective of discipline, and develop new resources to address the demands of academic institutions and creators of scholarly work that are not published in journals.
- Carry out targeted campaigns to increase awareness of COPE across all sectors, disciplines, and geographical regions, particularly in areas where it is currently under-represented, as well as within the existing membership.
- Be more responsive to ethical issues in scholarly work and its publication as they arise.

Core Practices of COPE:

The Code of Conduct was superseded in 2017 by the Core Practices. They apply to all parties engaged in the publication of scholarly works, including publishers, institutions, editors and their publications. The Core Practices are not meant to take the place of particular national and international rules of conduct for research; rather, they should be used in conjunction with them.



For their journals, publishers and journals should have strong, clearly defined and publicly recorded practices in the following areas:

1. **Misconduct claims:** Regardless matter how the allegations are brought to the journals' or publishers' notice, they should be handled according to a well-defined procedure. Allegations of misbehaviour both before and after publication must be taken seriously by journals. How to respond to claims made by whistleblowers should be covered by policies.
2. **Authorship and Contributorship:** Clear regulations that provide for clarity regarding who contributed to the work and in what capacity should establish requirements for authorship and contributorship as well as mechanisms for resolving such disputes.

3. **Complaints and appeals:** Journals should have a clear process in place for handling complaints against the editorial board, staff, publisher, or journal itself.
4. **Conflicts of interest and competing interests:** Whether discovered prior to or following publication, authors, reviewers, editors, journals and publishers must have their conflicts of interest clearly defined and handled.
5. **Data and reproducibility:** Journals ought to have policies for the availability of data, promote the use of reporting guidelines and register clinical trials and other study designs in accordance with industry standards.
6. **Ethical oversight:** Policies pertaining to consent to publication, publications on vulnerable populations, the ethical use of animals in research, the ethical use of human subjects in research, the handling of private information and ethical business and marketing practices are all examples of ethical oversight.
7. **Intellectual property:** All intellectual property laws, such as those pertaining to publication licenses and copyright, should be made explicit. Additionally, authors and readers should be able to see any publishing expenses. Policies should specify exactly what constitutes prepublication that will not be taken into account. It should be made clear what plagiarism and redundant/overlapping publications are.
8. **Journal management:** To run an editorially independent journal effectively, a well-described and implemented infrastructure is necessary. This includes the business model, policies, procedures and software, as well as the effective management and training of editorial boards and publishing and editorial staff.
9. **Peer review procedures:** Every peer review process must be transparent and well-managed. Journals should educate editors and reviewers in addition to establishing guidelines on various aspects of peer review, such as the adoption of appropriate models of review and methods for handling conflicts of interest, appeals and disagreements that may arise in peer review.
10. **Discussions and corrections after publication:** Journals must permit discussion after publication on their website, via letters to the editor, or on an outside, controlled website like PubPeer. After an article is published, it must be able to be corrected, revised, or retracted.



Directory of Open Access Journals (DOAJ)

With 300 open access journals, the DOAJ (Directory of Open Access Journals) was established in 2003. Over 16,500 peer-reviewed open access journals from all fields of science, technology, medicine, the social sciences, the arts and the humanities are currently included in this independent database. The database contains open access

Notes

journals in all languages and from all nations. DOAJ receives financial backing from numerous libraries, publishers and other organisations that share its values.

A strong commitment to open access and the infrastructure that supports it is demonstrated by supporting DOAJ. The Principles of Transparency and Best Practice in Scholarly Publishing, which form the foundation of DOAJ's fundamental inclusion criteria, were co-authored by DOAJ.

The mission of the DOAJ is:

- To promote the visibility, dissemination, discoverability, and appeal of open access journals by curating, maintaining, and developing an online source of reliable information on open access scholarly publications.
- To ensure that entries on the list comply with reasonable quality standards.
- To make information and services accessible to scholars, libraries, universities, research funders, and other stakeholders.
- To facilitate the integration of open access journals into library systems and aggregator services.
- To assist publishers and their journals in meeting acceptable digital publishing standards wherever possible.
- To support the transition of scholarly communication and publishing toward a model that benefits science, higher education, industry, innovation, societies, and the public.

In order to achieve these goals, DOAJ will cooperate and collaborate with all relevant parties.

By establishing standards for open access journals, DOAJ advances best practices and transparency in academic publication, including:

- **Website:** A journal's website, along with its content, must show that great effort has been taken to uphold the highest ethical and professional standards. It must not include anything that could mislead writers or readers, including any attempt to imitate the website of another journal or publisher. The website should have a clear definition of the readership and a "Aims & Scope" declaration. A statement outlining what a journal would consider for publishing should be included, along with authorship requirements (such as not taking into account redundant publications or repeated submissions). ISSNs (separate for print and electronic) should be prominently stated.



Notes

- **Journal name:** The journal name should be unique, not readily mistaken for another journal and not mislead potential authors and readers about the journal's connection or place of origin.
- **Peer review procedure:** Journal articles must indicate whether or not they have undergone peer review. Getting input on individual articles from reviewers who are experts in the subject but are not members of the journal's editorial staff is known as peer review. The peer review technique used, this protocol and any policies related to the journal's peer review procedures must all be thoroughly described on the journal's website. Websites for journals shouldn't promise quick peer reviews or approval of manuscripts.
- **Ownership and management:** A journal's website must provide clear information about its ownership and/or management. Publishers are not allowed to use journal or organisation names that could deceive editors and writers about the identity of the publication's owner.
- **Governing body:** Journals must have editorial boards or other governing bodies made up of people who are recognised authority in the topics they cover. The journal's website must list the complete names and affiliations of the editorial board and any other governing body.
- **Editorial team/contact details:** Journals are required to post the complete names and affiliations of their editors on their website, along with the full address and contact information of the editorial office.
- **Copyright and Licensing:** All published articles must identify the copyright holder and include a clear copyright policy in the author instructions. Similarly, the website's standards must provide a clear description of the license information and all published articles—both HTML and PDFs—must include the licensing terms. Any particular licensing conditions must be mentioned if writers are permitted to publish under a Creative Commons license. Any guidelines regarding the uploading of published articles or final, approved versions on third-party repositories must be made explicit.
- **Author fees:** Before submitting their work for review, prospective authors must be made aware of any fees or costs required for processing manuscripts and/or publishing content in the journal, or they must be informed before authors begin preparing their work for submission. It should also be made known if there are no such fees.
- **Procedure for identifying and addressing claims of research misconduct:** Publishers and editors are required to take reasonable measures to detect and stop the publication of papers that contain instances of research misconduct, such as plagiarism, citation manipulation and data fabrication or falsification. A journal or



Notes

its editors are not permitted to intentionally permit or encourage such misbehaviour. The publisher or editors of a journal must adhere to COPE's rules (or an equivalent) when handling claims of research misconduct pertaining to a published article in their publication.

- **Publication Ethics:** A journal must have publication ethics policies. These should be prominently displayed on its website and pertain to:
 - i) Authorship and contributorship policies of the journal
 - ii) How complaints and appeals will be handled by the journal
 - iii) Journal rules regarding conflicting interests and conflicts of interest
 - iv) Journal guidelines regarding repeatability and data sharing
 - v) The journal's ethical supervision policy
 - vi) The journal's intellectual property policy
 - vii) The opportunities for comments and revisions following publication
- **Publishing schedule:** A journal must explicitly state how often it publishes.
- **Access:** The methods by which readers can access the journal and individual articles, as well as any associated subscription or pay-per-view fees, must be specified.
- **Archiving:** In the event that a journal is no longer published, the plan for electronic backup and preservation of access to the journal content (e.g., access to main articles via CLOCKSS or PubMedCentral) must be made clear.
- **Revenue sources:** The journal's website must make clear any business models or revenue streams, such as author fees, subscriptions, advertising, reprints, institutional assistance and organisational support. Editorial decisions should not be influenced by publishing costs or waiver status.
- **Advertising:** If applicable, journals must disclose their advertising policy, including what kinds of advertisements will be accepted, who decides whether to accept them and whether they are randomly shown or connected to content or reader behaviour (online only). Advertisements must be kept apart from published material and should not be connected in any way to editorial decision-making.
- **Direct marketing:** Any direct marketing initiatives, such as asking for manuscripts on the journal's behalf, must be suitable, focused and inconspicuous. For readers or authors, information about the publisher or journal must be accurate and not deceptive.

The World Association of Medical Editors (WAME)

Introduction

The World Association of Medical Editors (WAME) was established in 1995 as a global, non-profit, voluntary organisation comprising editors of peer-reviewed medical journals.

It aims to strengthen the quality, integrity, and professionalism of medical editing worldwide.

Objectives of WAME

WAME works to enhance editorial excellence and promote ethical standards in medical publishing. Its primary objectives include:

- Improving editorial standards through education, self-regulation, and critical evaluation.
- Encouraging professionalism in medical editing practices.
- Facilitating global collaboration and communication among medical journal editors.
- Supporting research on the theory and practice of medical editing.
- Providing guidelines, best practice recommendations, and a structured curriculum for editors.

Commitments and Shared Goals of Members

Members of WAME are committed to maintaining the highest scientific and ethical standards in medical publishing. Their shared goals include:

- Publishing original, significant, and rigorously peer-reviewed research in laboratory and clinical medicine.
- Supporting physicians and healthcare professionals in staying informed within their fields.
- Enhancing medical care, disease prevention, and research to improve global public health.
- Promoting continuing education in basic and clinical sciences for informed decision-making.
- Strengthening and advancing the peer-review process as a tool for scientific discussion and quality assurance.
- Encouraging balanced and responsible debate on controversial medical and healthcare issues.
- Upholding integrity and ethical responsibility in medical reporting.
- Promoting evidence-based improvements in editorial processes.
- Anticipating emerging trends and challenges in medicine and healthcare.
- Producing publications that are accurate, relevant, credible, and engaging.
- Educating readers about broader non-clinical aspects of healthcare, including ethical, political, environmental, economic, historical, and cultural issues.
- Recognising the social responsibility of medical journals in safeguarding scientific integrity and promoting human welfare.

Notes

Open Access Scholarly Publishers Association (OASPA)

Introduction

The Open Access Scholarly Publishers Association (OASPA) was founded in 2008 as a trade association representing Open Access (OA) publishers across all academic disciplines worldwide. Its primary purpose is to support and advance sustainable and ethical open access publishing.

Mission and Objectives

OASPA seeks to secure a sustainable and economically viable future for open access publishing by:

- Promoting collaboration in developing effective economic models for OA publishing.
- Establishing standards and best practices for high-quality open access publications.
- Encouraging innovation in publishing tools and systems.
- Advocating for open access policies and practices globally.
- Facilitating information sharing among members and the broader academic community.
- Supporting education and awareness initiatives related to open access publishing.

Activities and Engagement

OASPA actively engages with policymakers, funding agencies, librarians, and leaders within the open access community. Its key activities include:

- Organising an annual conference that brings together stakeholders to discuss trends, innovations, and best practices in OA publishing.
- Hosting public webinars and discussions on important issues related to open access.
- Providing a platform for knowledge exchange and collaboration among publishers and academic institutions.

Through these efforts, OASPA contributes to the development of transparent, accessible, and ethically responsible scholarly communication systems.

5.2 Academic misconducts: Falsification, Fabrication and Plagiarism (FFP), Teaching Ethics

Research misconduct

Fabrication, falsification, or plagiarism in the planning, execution, evaluation, or reporting of research is referred to as research misconduct.

- (a) Fabrication is the act of documenting or reporting fictitious data or results.
- (b) Falsification is considered to occur when research materials, tools, or procedures are manipulated, or when data or findings are altered or deleted so that the research is not accurately represented in the research record
- (c) Plagiarism refers to using someone else's ideas, methods, results, or words without giving proper credit.
- (d) Honest mistakes or differences of opinion are not regarded as research misconduct.



Fabrication

Data fabrication is the deliberate falsification of study findings in academic and scientific investigations. Similar to other types of scientific misconduct, fabrication is considered unethical due to its purpose to deceive, which sets it apart from scientists lying to themselves. Data can be falsified in a variety of ways. Experimental data can be fabricated by reporting trials that were never conducted, while accurate data can be manipulated or misinterpreted to achieve a desired outcome. One of the primary problems with this kind of scientific fraud is that "university investigations into research misconduct are often inadequate, opaque and poorly conducted". They contest the notion that academic institutions have the authority to enforce research integrity.

It can occasionally be challenging to discern between deliberate fabrication and inadvertent academic malfeasance or incompetence. Examples of this include inadequately controlling experiments for any parameters being measured or failing to account for measurement error. Additionally, fabrication can happen when a student fabricates a lab or homework project for their undergraduate or graduate studies.

When such cheating is found, it is typically dealt with within the school and does not spread to the wider academic community as a scandal.

Falsification

Keep in mind that it's not always simple to tell "fabrication" from "falsification." Fabrication is the act of fabricating data, such as reporting on patients or studies that never took place. Falsification differs in that some measures may have been changed even if an experiment may have been conducted. The reuse of a picture to represent two distinct studies could be construed as either fabrication (making up data) or

Notes

falsification (altering data), despite the definitions seeming to be very different. I'll file these under falsification for the time being.

Here are a few instances of research falsification; however, keep in mind that some of these could also be considered fabrications.

- Eliminating an anomaly from a set of measurements
- Modifying a measurement to appear higher or lower
- Changing one gel band's brightness while leaving the other bands in the same picture unchanged
- Including error bars to indicate that more than one measurement was taken
- Reusing the same Western blot to represent a different experiment, either in the same orientation or mirrored, rotated, or stretched
- Displaying two microscope images that overlap to show two distinct experiments.
- Data was collected from cell line B, however it was presented as though it came from cell line A
- A photo's cell density increased when some cells were duplicated to provide the impression of a treatment



Plagiarism

Plagiarism is the use of someone else's ideas or work in your own writing without giving proper credit, whether you have their consent or not. All published and unpublished content, whether in handwritten, printed, or electronic format, is included by this definition. Plagiarism can be intentional, negligent, or unintentional.

Forms of plagiarism

1. Verbatim (word for word) quotation without clear acknowledgement

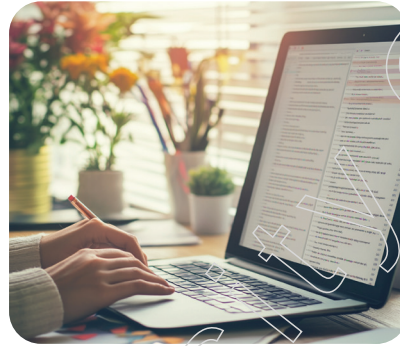
Quotations must always be identified as such using either quotation marks or indentation, along with complete citations to the referenced sources. It must always be clear to the reader which portions are unique to you and where you have taken ideas and vocabulary.

2. Cutting and pasting content from the Internet without giving due credit

Information from the internet must be appropriately credited and included in the bibliography. It is important to carefully analyse whatever you encounter online because it is less likely to have completed the same scientific peer review process as traditional sources.

3. Paraphrasing

Paraphrasing someone else's work by altering a few words and their order or by closely following their argument structure is deemed plagiarism if you do not provide due acknowledgement to the author whose work you are borrowing. Mentioning the original author briefly in your own writing may not be enough; you must be careful not to give the impression that the ideas or wording are all your own. It is better to summarise the author's key themes in your own words and make it obvious that you are doing so rather than paraphrasing specific passages of their text. This will guarantee that you truly understand the idea and prevent the challenge of paraphrasing without plagiarising. Additionally, you ought to give due credit to whatever information you take from lectures.



4. Collusion

This could involve students collaborating without authorisation, not giving credit where credit is due, or not rigorously following project criteria for group work. It is your responsibility to ensure that you are aware of the precise amount of cooperation that is permitted and the parts of the task that must be done by you.

5. Inaccurate citation

It is crucial to properly reference sources in accordance with your discipline's traditions. A footnote or an in-text reference must be used to identify the source of a quoted section in addition to naming your sources (i.e., in a bibliography). Furthermore, nothing that you haven't truly consulted should be included in your bibliography or references. You must explicitly state in your citation that you learnt about the work from a secondary text if you are unable to obtain a primary source (for instance, Bradshaw, D. Title of Book, discussed in Wilson, E., Title of Book (London, 2004), p. 189).

6. Failure to acknowledge assistance

You must expressly thank everyone who helped you produce your work, including lab technicians, other students and other sources. This does not necessarily apply to regular editing or the help you receive from your supervisor or teacher, but it is important to mention other advice that results in significant modifications to your strategy or substance.

7. Use of material written by professional agencies or other persons

You should not submit content that has been authored for you, even with the author's permission, or employ professional services to produce your work. Doing the study on your own is essential to your intellectual growth and training. According to Statute XI on University Discipline, it is forbidden for any member of the university to give information that students at this university or any other institution might use for an exam.

Notes

8. Auto-plagiarism

You are not permitted to submit work for assessment that you have already submitted (in whole or in part) for your present course or for another qualification at this or any other institution, unless otherwise noted in the special regulations for your course. You must properly cite any prior work you have done that is citable, meaning it has already been published. Concurrent submissions of identical work will also be considered auto-plagiarism.

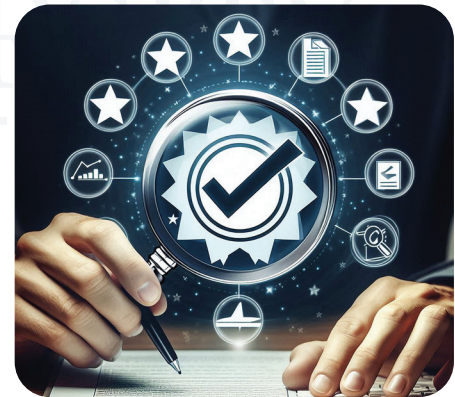
Plagiarism is a violation of academic integrity. As a matter of intellectual integrity, all members of the academic community should acknowledge their responsibility to the authors of the ideas, phrases and data that constitute the basis of their own work. Passing off someone else's work as your own not only demonstrates bad scholarship but also shows that you have not completed your education.

In addition to undermining the standards of your university and the degrees it grants, plagiarism is immoral and can have detrimental effects on your future career.

Why should an author avoid plagiarism?

Plagiarism should be avoided for many reasons. Instead of merely repeating other people's opinions—at least not without acknowledgment—you came to university to learn how to understand and express your own beliefs. Developing your own viewpoints may seem difficult at first and you will probably find yourself paraphrasing other people's writing to understand and internalise their points of view. But it's imperative that you discover your own voice. It is not expected of you to become an original thinker, but you are expected to be an independent one, which entails developing the ability to assess other people's work critically, weigh competing viewpoints and arrive to your own conclusions.

While avoiding a crucial part of the learning process, students who plagiarise undermine the spirit of academic scholarship. Avoid plagiarism if you want to produce high-quality work. Avoiding plagiarism should be rather simple after you grasp the principles of source usage and citation. You will also benefit from improvements in your writing's quality and clarity. It is crucial to understand that mastering academic writing techniques is more than just a useful talent; it gives your work authority and credibility and demonstrates your commitment to the scholarly ideal of intellectual honesty.



Teaching Ethics

Beyond the general ethical responsibilities expected of professionals, teaching possesses distinct moral dimensions. One of the central purposes of educational institutions is the moral development and moral education of students. Some secondary teachers may resist this view, arguing that moral development is primarily the responsibility of the family. However, debates surrounding moral neutrality have demonstrated two important conclusions: schools cannot remain neutral on moral issues, nor should they attempt to do so.

As social institutions, schools are inherently committed to certain values, such as truth, honesty, fairness and respect for persons. At the same time, they also convey other values—sometimes unintentionally—such as competition, credentialism and a utilitarian approach to learning. Classroom and playground contexts require teachers to adopt positions on authority, property, fairness toward others and the equitable use of limited resources, particularly teachers' time. Similarly, assessment practices demand that teachers demonstrate justice, impartiality and fairness in visible and consistent ways.

Teachers are therefore constantly required to make moral judgments that are observed by students and often questioned by them. This characteristic distinguishes the moral role of teachers from that of many other professionals. Teachers must not only make ethical decisions but must also be capable of justifying those decisions competently and convincingly. In this sense, teachers must serve as models of sound moral reasoning and argumentation. To teach students how to reason well, teachers themselves must exemplify strong reasoning. Failure to do so implicitly teaches false lessons—that moral views lack justification, that any opinion is equally valid, or that authority is unsupported by reason and vulnerable to critical scrutiny.

Because teachers are entrusted with helping students develop better moral judgment, they must themselves possess strong moral reasoning skills.

Respecting Students' Autonomy and Rationality

The moral position of teachers differs significantly from that of other professionals because teaching fundamentally involves taking responsibility for the learning of others. This responsibility gives rise to two central moral dilemmas: respect for students' autonomy and respect for their rationality.

These concerns are of fundamental importance in educational philosophy. A long-standing tradition holds that the development of rationality and autonomy represents the aim of education and provides the primary justification for compulsory schooling. Moreover, rationality and autonomy are often viewed as the foundation of morality itself. Philosophers such as Plato and Kant asked what distinguishes humans in a way that makes harming them morally wrong. The commonly accepted response is that humans are rational beings,



Notes

capable of reasoning, choosing based on reasons, forming values and being morally accountable for those choices. These characteristics are not merely descriptive facts but are what give human life moral significance.

Autonomy

With respect to autonomy, every student has the right to form their own judgments, beliefs and values and to have these respected by teachers. At the same time, teachers have a professional obligation to challenge students' understanding, guide them toward more informed perspectives and promote intellectual and moral growth. The ethical dilemma arises from the need to respect students as autonomous individuals while simultaneously seeking to influence and develop their thinking. This tension represents one of the most fundamental ethical challenges inherent in teaching.

Rationality

Similarly, teachers are ethically obligated to respect students' capacity for reasoning and to actively teach reasoning skills. This requires teachers to submit their own arguments and explanations to students' critical evaluation. Education aims not only to transmit conclusions, but also to teach the methods of arriving at conclusions, evaluating evidence, developing skills and forming reflective attitudes. Teachers must therefore encourage students to adopt thoughtful, critical approaches when forming their own views.

These ethical dilemmas lie at the heart of the teaching profession. Teachers should be made aware of them and supported in engaging thoughtfully with these challenges. Teaching methods are significantly influenced by the central importance placed on students' rationality and autonomy, which together form the foundation of teachers' moral responsibility.

Teachers and the Moral Complexity of Working with Children

A further aspect distinguishing teaching from many other professions is that most students are children. This introduces additional ethical complexity, often framed through the question of who the teacher's primary client is. A more appropriate approach is to consider the respective rights and entitlements of children, parents or guardians, schools, communities and the state in decisions affecting children's futures.

While all professions encounter conflicts among stakeholder interests, education involves not only competing interests but also competing rights to determine what constitutes the best interests of children.

Navigating these overlapping claims requires careful ethical judgment, reinforcing the uniquely demanding moral role of teachers.

5.3 Redundant Publications: Duplicate and Overlapping Publications, Salami Slicing, Selective Reporting and Misrepresentation of Data

Redundant Publication

A publication is called redundant when:

1. A work, or sections of a work, are published multiple times in the same or different languages without proper acknowledgement, cross-referencing, or justification.
2. The same or substantially overlapping data are presented in multiple publications without adequate cross-referencing or justification, particularly when done in a way that reviewers or readers are unlikely to notice.

The content of an article as well as previously released figures and data sets are considered duplicate publications. A figure may be protected by copyright or have previously been published if the author uses it in a blog post, an abstract, another journal article, a teaching file, or published lecture notes. This figure may be a graph, an author-made drawing, or a radiological image. The majority of peer-reviewed journals permit you to assign the copyright to the journal that accepts the material for publication and once published, it cannot be used in another work without acknowledgement.



When a dataset is used in an article, it has already been published. Future research can make use of different portions of the dataset, but not the previously released dataset.

Salami Slicing

"Salami publication" or "salami slicing" refers to the "slicing" of research that would make up a single pertinent paper into multiple independent publications. Salami slicing is the division or segmentation of a noteworthy study into two or more articles, as opposed to duplicate publication, which involves reporting the identical data in two or more journals. These sections are referred to as "slices" of a study.

Generally speaking, it is undesirable to use "slices" of a broken-up study that share the same population, hypothesis and methodology. There should never be more than one instance of the same "slice." This is because salami slicing can distort the literature by tricking unsuspecting readers into thinking that each salami slice (i.e., journal article) contains data from a different topic sample.

In addition to distorting the "scientific database," this leads to repetition, which wastes readers' time and the effort of editors and reviewers who have to handle each manuscript separately. Additionally, it falsifies the author's citation history. The majority of journals

Notes

mandate that authors who know or think that a manuscript they are submitting for publication has fragmented data disclose this information and include any other articles—published or unpublished—that might be relevant to the study being considered.

Redundant Publication and Salami Slicing: The Significance of Splitting Data

When academics are under constant pressure to increase the number of publications to their credit, it is tempting to divide a single set of results, or data set, into multiple articles. Although appealing, this is often considered unethical behaviour.

While not as bad as fraud or plagiarism, excessive publishing wastes the time of editors and reviewers (refereeing several papers, for example) and may mislead readers while also wasting their time. Producing several papers from a fairly sized research endeavour may give it unwarranted importance, which may initially appear advantageous to the research team in charge.



However, segmenting the data could affect each section's statistical significance and possibly diminish the findings themselves, turning a significant result into a number of somewhat intriguing findings. Redundant publication, also referred to as "salami slicing," is the practice of dividing results into multiple articles. It is often ridiculed as the least publishable unit.

'Nobody is well served by the practice of reporting the same study in two journals, publishing a review of the same subject nearly simultaneously in two journals, or splitting a study into two or more parts and submitting each to separate journals.' The redundant publication is sometimes supported by justifiable reasons for redundant publication; for example, wishing to reach different audiences, a desire for a longer discussion on one aspect of the results, restrictions in the standard article word count and so on.

It is extremely difficult to determine the prevalence of redundant publication (or redundancy), as basic plagiarism checkers frequently fail to detect it. The Committee on Publication Ethics (COPE) emphasises citation in their definition of redundant publication: The COPE states that 'When the same (or substantially overlapping) data is presented in more than one publication without adequate cross referencing or justification, reviewers and readers are unlikely to realise that most or all the findings have been published before.' The best way to write up their study, where to submit it and who they want to reach are all decisions that authors must make.

Authors may elect to divide their data into multiple articles rather than one³ and this decision may be valid and reasonable. However, they should have a good explanation for their decision and be willing to explain it. If they are unwilling to do this, it will be deemed that there was no valid reason. Furthermore, if they do not acknowledge other works based on the same research, this shows a degree of dishonesty and even a desire to deceive the readers.

Authors must carefully assess their publication strategy and the long- and short-term consequences. Redundant publication or salami slicing may appear to be lucrative in the short term, but in the long run, they can erode a reputation and, without proper acknowledgement, actually hurt it.

5.4 Violation of Publications Ethics, Authorship and Contributor Ship

Authorship

When a scientific journal names its authors, it ensures that the appropriate individuals are acknowledged and held responsible for the research. One instance of misbehaviour that erodes confidence in the work's reporting is when a scientist intentionally misrepresents their connection to their work. A "author" is often understood to be someone who has made a significant intellectual contribution to the study, while there is no universally accepted definition of authorship.

The International Committee of Medical Journal Editors (ICMJE) has set authorship guidelines. "All persons designated as authors should qualify for authorship and all those who qualify should be listed."

Four Criteria Must all be met to be Credited as an Author

- Contributed significantly to study design, data collection, analysis, and interpretation
- Drafted or revised the article for intellectual content
- Approval of the final version
- Accept responsibility for ensuring the correctness and integrity of work

Guidelines for Authorship and Contributor ship

Here are some general criteria that may differ from field to field:

- Authorship should be "a joint decision of the coauthors"
- Individuals who participated in a study but did not meet the journal's authorship criteria should be identified as "Contributors" or "Acknowledged Individuals". Examples include offering advise, giving research space, departmental oversight, and securing financial support



Notes

- Large multi-center trials often publish a list of clinicians and centres, as well as a summary of individual contributions
- Some groups list contributors alphabetically, with a remark indicating that all authors contributed equally to the study and publication

Unacceptable Authorship

Three types of authorship are deemed unacceptable:

- "Ghost" authors make significant contributions but are not acknowledged (sometimes compensated by commercial sponsors).
- "Guest" authors make no visible contributions but are added to boost the odds of publication.
- "Gift" contributors whose contributions rely primarily on a tenuous (weak and unconvincing) link with the study.

Authorship and Disputes

When authorship concerns are not addressed properly, they might lead to disputes.

- Some disputes stem from wrongdoing (e.g., lying about one's part).
- Interpretation issues, such as whether a person's contribution is regarded "substantial," may arise.
- Participating in a study but not credited as an author or collaborator.
- Plagiarism refers to publishing someone else's idea and claiming complete authorship, as well as an author's name appearing on a publication without their authorisation.

5.5 Use of Plagiarism Software Like Turnitin, Urkund and Other Open Source Software Tools

Plagiarism

The act of stealing, attempting to steal, or utilising someone else's work (in whole or in part) without giving credit to the original author is known as plagiarism. It could entail simple copy-and-paste, editing, or changing a few words of the original data from books, periodicals, newspapers, research, journals, the internet, or one's own knowledge or ideas.



Plagiarism Detection

The practice of identifying instances of plagiarism and/or copyright infringement inside a work or document is known as content similarity detection or plagiarism detection. Plagiarism has become more common due to the extensive use of computers and the development of the Internet. Plagiarism checkers are a very useful tool for examining essays or theses for any instances that might indicate plagiarism. There are several tools available to researchers that take their work seriously and seek to avoid errors.

Uses of Plagiarism Tools

Plagiarism checker software are a very effective technique to analyse essays or theses for any signs of plagiarism. Researchers that take their academic work seriously and want to avoid mistakes can use a variety of tools.

These software applications try to:

- **Verifying Originality:** When given an unknown piece of content, such as an essay, article, or poem, it's important to ensure the work is unique.
- **Tracking Content Misuse:** Using plagiarism techniques, content creators can identify if their original work is being misused by others in published studies.
- **In-Depth Plagiarism Analysis:** When a work is suspected of being plagiarised and the checker confirms it.

Advantages of using Plagiarism Checker

Some of the important advantages of plagiarism checkers for researchers:

1. Plagiarism checkers offer more resources

The majority of researchers would rather double-check their work online, line by line, using a search engine. As a result, plagiarism detectors offer larger cross-reference libraries and more references. Books and papers that aren't accessible online are often kept in repositories with plagiarism detection software that can't be found by just copying and pasting them into Google. Additionally, a lot of scanners seek for a sizable collection of earlier entries from other academics. You should reconsider if you think Google is sufficient for testing your work. Both their own extensive database and the Internet are used by plagiarism detection software.



2. Highlighting content makes it easy to find plagiarism

Every sentence or phrase that has already been found online is highlighted by the Plagiarism Checker. Your essay must never contain any plagiarised material. It

Notes

provides information on the origins of the original content and clicking on the provided link takes you directly to the source's website.

3. Provides you specific data on plagiarism

A total proportion of comparisons or matches is sometimes shown by plagiarism software. Teachers are shown a percentage of plagiarism when the text is scanned. At universities, students are frequently expected to follow a predetermined proportion. As a result, before submitting their research, students can use a plagiarism checker to ensure that the percentage of similarities is less than the required figure. Sometimes there are no magic percentages, but an investigation is prompted by a high percentage result.

Therefore, a matching percentage check removes any issues that can be interpreted as plagiarism and prevents any uncomfortable encounters with your supervisor. They would never want to be found guilty of alleged dishonesty. When you can be certain before turning in your work, why compromise?



4. Use plagiarism checker instead of paraphrasing all night

Sometimes paraphrasing is difficult, even for extremely clever researchers. Why take the chance of improper paraphrase when you may utilise plagiarism detection software to confirm? Any content in your work that resembles the author's original work will be highlighted by a plagiarism detector. Even if your text is thousands of lines long, you may quickly find any plagiarised sentence. As a result, if you have not properly paraphrased and quoted the text, it will be corrected automatically.

5. It shows your honesty if you use a plagiarism checker

If your professor continues to ask you about certain sections of your paper, you can submit a printed copy of the plagiarism check as proof that you took the appropriate safeguards. It demonstrates that you are entirely honest by submitting the plagiarism report generated by a plagiarism checking application. If you intended to commit plagiarism, you would not use a plagiarism checker in the first place and every teacher or supervisor understands this.

Plagiarism Detection Tools

1. Turnitin:

- Paradigms offers an effective web-based tool
- When a document is uploaded for plagiarism verification, a fingerprint is created and stored
- This tool enables remote detection and report generation

- Turnitin is widely recognised by 15,000 institutions and 30 million students due to its user-friendly interface, massive repository support, detailed plagiarism check and organised report generation
- It is regarded as one of the best plagiarism detectors for teachers

2. Urkund:

- This Web-based service detects plagiarism on the server side
- It is a fully automated solution for plagiarism detection
- This premium service uses a conventional email system to submit documents and view results
- The system processes 300 types of document inputs and searches all internet sources
- Educational sources are prioritised during document search

3. Grammarly Online Plagiarism Checker:

- Grammarly is a well-known tool for writers who need to rapidly determine whether an article is original or plagiarised from another source
- If you are a professor and need to check if the research paper is original or copied from multiple sources online, this tool is perfect for you
- This is a multi-feature application for webmasters that allows them to examine the originality of their material, grammar, and spelling
- This is a highly recommended plagiarism tool

4. Unicheck:

- Unicheck is a paid plagiarism checker with a nice UI and quick page inspections
- It is ideal for corporates and lecturers willing to pay for more accuracy

5. Ephorus:

- To use this tool, users must register on the Ephorus website; no downloads or installations are required.
- The search engine analyses a text content to millions on the web and provides an originality assessment.
- This tool is free to try but requires a license. It is widely used in European universities and organisations.

Many additional programs are available on the internet, including copyscape, DOC Cop, authenticate, Plagiarism Detect, Safe Assignment, copy catch and exactus.

Notes

5.6 Complaints and Appeals Examples and Fraud from India and Abroad

Case 1: Multiple Submission

Mr. X submitted a case report to the Journal of Pharmacology and Pharmacotherapeutics (JPP) on March 15, 2013.

- JPP decided to send it for modification on March 25, 2013.
- The amended manuscript was returned to the author for additional corrections after the editorial board's suggestions were not followed.
- Despite multiple reminders, the author did not respond.
- A member of the JPP editorial staff mistakenly identified an article with the same title published in "Journal Y" by the same author.
- The manuscript was submitted to the above journal on January 20, 2013.
- After being questioned, the author answered with a withdrawal request after one month.

The timeline for Mr. X's submission to "Journal Y" and JPP is as follows:

Important dates	Manuscript processing timeline in JPP	Manuscript processing timeline in Journal Y
Date of submission	15-Mar-2013	20-Jan-2013
Technical modification	21-Mar-2013	--
Sent for revision	25-Mar-2013	--
Revised manuscript received and sent for revision	25-Jul-2013	--
Date of decision	--	25-Mar-2013
Date of acceptance	--	12-Jul-2013
Date of web publication	--	6-Sep-2013
Manuscript withdrawal request received	03-Dec-2013	

JPP=Journal of Pharmacology and Pharmacotherapeutics

Journal On Web Journal of Pharmacology and Pharmacotherapeutics	
E-Mail	
Showing mail for : editor@jpharmacol.com	
Date	Tuesday, December 03, 2013 4:41:45 PM GMT
Subject	JPP manuscript withdrawal
Message	This manuscript was uploaded by oversight and authors regret and withdraw the same. Authors express sincere apologies for inconvenience and misunderstanding came up due to the error in protocol and ethical aspect. The article is published in XXXXXXXXXXXXXXXXXXXX recently. The e mail account has been hacked and no more in use. The new email id is XXXXXXXXXXXXXXXXXXXX Regards to Chief editor, Editorial team & Peer Reviewers for their consideration about the manuscript.

Outcome:

The author submitted a manuscript to JPP when it was under consideration elsewhere. This amounted to violation of publication ethics. Reference: The case and pictures courtesy <https://www.ncbi.nlm.nih.gov/pmc/articles/PMC4419256/> 5.6.2

Case 2: Author displays bullying behaviour towards handling editor <https://publicationethics.org/case/author-displays-bullying-behaviour-towardshandling-editor>



Author displays bullying behaviour towards handling editor

Case number: 20-08

Case text (Anonymised):

Following consultation with a senior editor, a managing editor rejected a paper without reviewing it. About two weeks later, the corresponding author filed an appeal, requesting that the article be reconsidered and forwarded for peer review. He further stated that if a fresh judgement to reject without review is made, the editor must submit a full answer to the appeal letter's concerns and remarks.

Additionally, he claimed that in order to illustrate the importance of the study, he ran a social media survey in which he asked readers if the paper in question was more pertinent to the journal's readership than another piece that had recently been published in the journal and whose link he included in the poll.

Notes

After reading the appeal, a senior editor chose to reject the work once more without offering any further justification because the behaviour was deemed to be on the verge of bullying.

The corresponding author contacted the journal three weeks after the second rejection, expressing his dissatisfaction with the outcome and threatening to submit a freedom of information request to get the editorial decision-making communication. He said that he would write about his negative diary experience. The head of the journal's research division responded to the author and copied the senior author when the handling editor perceived this as aggressive and litigious behaviour. In response, the senior author admitted that the author had acted improperly and promised to take internal corrective action.

Question(s) for the COPE Forum

- Did the journal handle the case properly?
- Could something have been done differently?
- How can this type of circumstance be avoided?

Advice:

The Forum agreed that the journal handled the case responsibly and correctly.

The COPE Audit highlights the significance of an appeals process, which should be explicitly stated in the author guidelines or on the journal's website. The journal should go over its author guidelines and include a statement on the editorial decision-making process in the appeals procedure, stating that the editor makes the final choice and that the associate editors offer suggestions to the editor if needed.

The journal may also want to highlight in the author instructions that discussions and judgements are often confidential and that a lawyer must specifically ask any enquiries.

Given that the corresponding author made the threats, the Forum proposed that, looking back, the journal ought to have included the other co-authors. It is likely that the co-authors were unaware of the threats made by the corresponding author.

With the benefit of hindsight, it is also possible that the situation could have been defused by giving more details about the reasons the appeal was rejected after the author finished the social media survey and asked for additional information.



Another suggested approach was to look at this from the viewpoint of a difficult personality with misdirected energy, someone who is involved and eager but does not completely understand the process and who would benefit from improved guidance and instruction.

Follow up: The journal considers the case closed

Resolution: Case Closed

Year: 2020

Case 3: Editor and Reviewers requiring authors to cite their own work. <https://publicationethics.org/case/editor-and-reviewers-requiring-authors-cite-theirown-work>

Editor and reviewers requiring authors to cite their own work

Case number: 18-03

Case text (Anonymised):

A decision letter instructing an author to mention a work published by the handling editor was seen by a staff member in our editorial office. The employee checked recent decision letters from that editor and asked if this had ever happened before. This revealed an unsettling pattern of behaviour: the handling editor asked authors to cite his work more than 50 times in decision letters (including reviewers' comments), which was three times more frequently than he asked authors to cite work on which he was not a collaborator.

Upon closer inspection, the handling editor consistently asked the same four reviewers to examine the articles he was in charge of. Both those reviewers and the handling editor alone requested further citations. The handling editor never asked for the citation of publications that weren't his own, but he did urge that his own papers be acknowledged more than twenty times.

The four regular reviewers asked for references to the handling editor's work significantly more often than they did to publications he had not written and most of the citations they requested that weren't from the handling editors came from coauthored works. In at least one instance, the handling editor sent the paper back to the author with a request that the citation be added since the author neglected to include the necessary citation for the managing editor's article.

This sparked worries that he was requesting these citations from authors before accepting their work. The ethics guidelines issued by COPE recommend that peer reviewers "refrain from suggesting that authors include citations to your (or an



Notes

associate's) work merely to increase citation counts or to enhance the visibility of your or your associate's work; suggestions must be based on valid academic or technological reasons." In order to determine whether there was a valid scientific basis for citing these works, the staff member brought the matter to the attention of the journal's chief editor. (Note: The editor-in-chief often does not see decision letters prior to their distribution; in our editorial structure, handling editors make final decisions regarding manuscripts).

The editor-in-chief reviewed the relevant papers and found no evidence that these extra citations were required by science. The journal's editorial board (which does not include managing editors) was then consulted by the chief editor. The editorial board concurred that there was no scientific justification for the request for these citations. The handling editor was asked to explain the trend and the reasons behind his request for these extra citations in a letter written by the editor-in-chief and editorial board. The chief editor and editorial board decided to hold off on contacting the reviewers until they had heard from the handling editor.

In response, the handling editor wrote that as he was most familiar with his own work, he asked for reference of it more frequently than that of others. He went on to say that he resigned right away because he thought the editorial board's inquiry was offensive. The case was closed once the editorial board and chief editor determined that the resignation was adequate. In order to make sure that all editors are aware of COPE and the journal's ethical standards, the journal staff has extended the duration of the yearly meeting with the handling editors for a review of editorial ethics. The manual given to all handling editors also contains the journal's code of ethics and each year editors will be required to sign a document attesting to their reading and acceptance of the code.

Question(s) for the COPE Forum

- What could have been done differently by the journal? Is there anything else the magazine ought to have done?
- Was contacting the handling editor enough, or should the journal have also contacted the reviewers?
- Do other journals contain precautions that would make it easier to spot a pattern like this one?

Advice:

The Forum recommended that any recommended citations to a paper should support the article's thesis. In some cases, there may be sincere recommendations for more citations that could enhance the paper's quality, but these shouldn't be a requirement for approval. Nonetheless, this instance seems to be a clear illustration of improper and immoral behaviour.



Notes

The Forum applauded the journal for educating its handling editors and agreed with its actions. The Forum recommended that the journal include in their decision letters the statement that admission is not dependent on the inclusion of certain references recommended by editors. Before they are distributed, the journal may additionally examine each decision letter. This would stop these behavioural tendencies in the future, even though it might be quite labour-intensive. The magazine might also want to think about reminding reviewers of their duties and educating them more. The COPE Ethical Guidelines for Peer Reviewers may be shared by the editor.

Follow up:

In order to avoid such problems in the future, the magazine is working on adding more steps to the submission procedure. The case is deemed closed by the editor.

Related resource

- **Spanish version:** El editor y los revisores solicitan que se cite su trabajo
- **Resolution:** Case Closed
- **Year:** 2018

Other Case:

- Lead author of a research paper disagrees with content of a linked editorial [https:// publicationethics.org/case/lead-author-research-paper-disagrees-content-linkededitorial](https://publicationethics.org/case/lead-author-research-paper-disagrees-content-linkededitorial)
- Editor found guilty of research misconduct <https://publicationethics.org/case/editor-found-guilty-research-misconduct>
- Submission of an already published case report <https://publicationethics.org/case/submission-already-published-case-report>
- Unresponsive authors delaying publication <https://publicationethics.org/case/unresponsive-authors-delaying-publication>
- Institutional investigation of authorship dispute <https://publicationethics.org/case/institutional-investigation-authorship-dispute>
- Data manipulation and institute's internal review <https://publicationethics.org/case/data-manipulation-and-institutes-internal-review>
- Author accused of stealing research and publishing under their name <https://publicationethics.org/case/author-accused-stealing-research-and-publishingunder-their-name>
- Multiple redundant submissions from the same author <https://publicationethics.org/case/multiple-redundant-submissions-same-author>

Notes

5.7 Case Study

Case Study: Research Ethics and Publication Integrity

The Case of Horizon Climate Analytics Consortium

Horizon Climate Analytics Consortium (HCAC) is a joint research initiative between an Indian university—Shivneri Institute of Environmental Studies, Pune—and an international research center, Nordic Centre for Climate Policy, Sweden. The consortium conducts climate-impact studies used by governments and global agencies to design environmental policies.

The consortium follows COPE and WAME publication standards and mandates plagiarism screening through Turnitin for international journals and open-source plagiarism tools for internal reviews.



Key Individuals

- **Dr. Kavita Deshpande** – Lead Researcher (India)
- **Dr. Erik Johansson** – International Collaborator (Sweden)
- **Dr. Manoj Kulkarni** – Data Analyst
- **Ms. Riya Shah** – Doctoral Research Scholar

The Ethical Challenges

1. Falsification and Selective Reporting

During data analysis on rising urban heat islands, Dr. Manoj Kulkarni removes several datasets showing inconsistent temperature trends without documentation. His justification is that such data may “confuse policymakers.” This constitutes selective reporting and data falsification, violating research transparency norms.

2. Plagiarism and Teaching Ethics

While preparing a policy brief, Ms. Riya Shah copies entire analytical frameworks from a European climate study, making only minimal wording changes. She later advises undergraduate interns that “policy reports don’t require strict citations,” raising serious concerns related to plagiarism and unethical teaching practices.

3. Redundant and Salami Publications

Dr. Kavita Deshpande, under pressure to meet institutional publication targets, submits three papers derived from the same dataset to different journals, each highlighting minor variations. One article is submitted to an Indian environmental journal, while another is sent to a Scandinavian policy journal—constituting salami slicing and overlapping publication.

4. Authorship and Contributorship Violations

Despite major contributions in data modelling, Dr. Erik Johansson is listed as a secondary author, while a senior university administrator with no research involvement is included as a co-author. This violates authorship and contributorship ethics under COPE and WAME standards.



5. Detection Using Plagiarism Software

The Scandinavian journal screens submissions using Turnitin, which flags:

- High textual similarity in policy analysis sections
- Substantial overlap between submitted manuscripts
- Missing citations

Internal checks using open-source tools confirm redundancy and duplication.

Complaints, Appeals and Investigation

Complaint Filing

Dr. Erik Johansson formally raises concerns with the consortium's Ethics Oversight Committee. Simultaneously, the international journal contacts HCAC seeking clarification under COPE investigation guidelines.

Inquiry and Appeals Process

The Ethics Committee initiates a transparent investigation ensuring:

- Right to explanation and appeal
- Examination of raw climate data
- Independent authorship review

This follows both Indian institutional ethics norms and international best practices.

Findings and Outcomes

- Dr. Manoj Kulkarni is found guilty of data falsification and removed from the project
- Ms. Riya Shah is required to undergo mandatory ethics training and her teaching responsibilities are suspended temporarily
- Journals withdraw overlapping submissions
- Authorship is corrected based on actual contributions
- HCAC revises its publication policy and introduces compulsory training on COPE, WAME and plagiarism prevention tools

Notes

Global and Indian Relevance

This case mirrors real-world academic misconduct incidents in India and internationally, demonstrating the universal relevance of ethical standards and transparent complaint mechanisms.



Ethical Lessons from the Case

- Ethical research practices are essential for public policy credibility
- Redundant publications distort academic metrics and policy impact
- Plagiarism tools are safeguards, not substitutes for ethical conduct
- Strong redressal and appeals systems protect research integrity
- Ethical training must be continuous, not reactive

Conclusion

The Horizon Climate Analytics Consortium case highlights how violations of research and publication ethics—if left unchecked—can undermine scientific trust and policy decisions. Adhering to COPE and WAME standards, maintaining transparent authorship and enforcing ethical teaching practices are critical in both Indian and global research environments.

Summary

- The essential concepts for performing qualitative research include academic honesty, integrity and research ethics. Honesty, ethics, openness, responsibility and trust in academic and research endeavours are all examples of academic integrity.
- In order to defend one's own unique material in research reports, which may take the form of an article, dissertation, or thesis, the researcher must demonstrate originality while researching and understanding current research.
- To avoid plagiarism issues when writing research papers, it is essential to understand and learn how to create an article ethically.
- When writing an essay, it is crucial to incorporate some already published information with appropriate citations and references.

Glossary

- **Committee on Publication Ethics (Cope):** The Committee on Publication Ethics, or COPE, is dedicated to educating and assisting editors, publishers and

others involved in publication ethics in order to change the publishing culture so that ethical behaviour is accepted as standard.

- **Open Access Scholarly Publishers Association (Oaspa):** In order to defend the interests of Open Access (OA) publishers worldwide in all fields, OASPA is a trade group that was founded in 2008.
- **Research misconduct:** Fabrication, falsification, or plagiarism in the planning, execution, evaluation, or reporting of research is referred to as research misconduct.
- **Fabrication:** Data fabrication is the deliberate falsification of study findings in academic and scientific investigations.
- **Falsification:** Fabrication is the act of fabricating data, such as reporting on patients or studies that never took place.

Check Your Understanding

1. The non-profit trade association that was established to represent the interests of Open Access publishers

- a. Open Access Scholastic Publishers Association
- b. Directory of Open Access Journals
- c. Open Access Scholarly Publishers Association
- d. Committee for Open Publication Ethics

2. The following is beyond the purview of research sponsors:

- a. Align regulatory policies with the promotion of research integrity
- b. Promote access to data and code
- c. Practice impartiality and transparency in research
- d. Promote peer review

3. Which are the best practices by researchers:

- a. Uphold research integrity with vigilance
- b. Assimilate research integrity into overall culture of the institution
- c. Manage research data effectively, responsibly and transparently
- d. Strive to be effective peer reviewer and maintain confidentiality

Codes:

- a. i, ii, iii and iv
- b. i, iii and vi
- c. ii, iii and iv
- d. i, ii and iii

Notes

4. If the study is based on a data that is never being collected from any sample, it is called:
 - a. Falsification
 - b. Deception
 - c. Fabrication
 - d. Adaptation
5. Which of the following is not a form of plagiarism?
 - a. Omitting or modifying data or sample
 - b. Collusion
 - c. Inaccurate Citation
 - d. Verbatim

Exercise

1. Explain the importance of best practices in research and standards-setting initiatives, with reference to guidelines issued by COPE and WAME.
2. Define academic misconduct and discuss falsification, fabrication and plagiarism (FFP) as major ethical violations in research and teaching.
3. What are redundant publications? Explain duplicate publication, overlapping publication, salami slicing and selective reporting with suitable examples.
4. Examine ethical issues related to authorship and contributor ship, including guest authorship and ghost authorship, in scholarly publications.
5. Discuss the role of plagiarism detection software such as Turnitin, Urkund and open-source tools and explain how complaints, appeals and fraud cases from India and abroad highlight the need for publication ethics.

Learning Activities

- Analyse real or simulated cases of publication ethics violations, including plagiarism, data misrepresentation, or authorship disputes. Identify the ethical breaches, apply COPE and WAME guidelines and suggest appropriate corrective actions and penalties.
- Make a short academic write-up to a plagiarism detection tool (such as Turnitin or an open-source alternative). Review the similarity report, reflect on citation practices and discuss how proper referencing and ethical writing prevent academic misconduct and research fraud.

Check Your Understanding- Answer

1. c
2. c
3. a
4. c
5. a

Further Readings and Bibliography

- Shamoo, A. E. and Resnik, D. B. (2015). *Responsible conduct of research*. Oxford University Press.
- Committee on Publication Ethics. (2017). *COPE core practices*. COPE.
- World Association of Medical Editors. (2019). *Recommendations on publication ethics policies*. WAME.
- Park, C. (2003). *In other (people's) words: Plagiarism by university students—literature and lessons*. Assessment and Evaluation in Higher Education.
- UGC. (2018). *Promotion of academic integrity and prevention of plagiarism in higher educational institutions regulations*. University Grants Commission.

Notes

Amity University Online

Notes

Amity University Online

Notes

Amity University Online